



U.S. Customs and Border Protection

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PUBLIC VERSION

EAPA Consolidated Case: 7522

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Re: Notice of Determination as to Evasion

Pursuant to an examination of the record in Enforce and Protect Act (EAPA) consolidated investigation 7522, U.S. Customs and Border Protection (CBP) has determined that there is substantial evidence that AAA Innovation LLC (AAA); Astera Kitchen and Bath, Inc. (Astera); FTR LLC (FTR); GHS Group (GHS), LLC; Gin Investments Corp. (Gin); Gold Stone Kitchen Depot Inc. (Gold Stone); Granite Collection Inc. (Granite Collection); Ilkem Marble & Granite Inc. (Ilkem); Next Generation Marble and Granite LLC (Next Generation); North Creation Granite Co. (North Creation); RQ Sales Co. LLC (RQ Sales Colorado); RQ Sales LLC (RQ Sales Nevada); The Top Shop, Inc. (Top Shop); Total Scope Cabinets and Tops LLC (Total Scope); and YNJ Management LLC (YNJ) (collectively, “the Importers”) entered merchandise covered by antidumping (AD) and countervailing (CVD) duty orders A-570-084 and C-570-085 (covered merchandise)¹ into the customs territory of the United States through evasion.² Substantial evidence demonstrates that the Importers imported certain quartz surface products (QSP) from the People’s Republic of China (China) into the United States by undervaluation, misclassification, and/or transshipment through Malaysia. The Importers did not declare that the merchandise was subject to the AD/CVD Orders on entry and, as a result, no cash deposits were collected on the merchandise.

Background

On October 16, 2020, Cambria Company LLC (the Alleger), a domestic producer of QSP, submitted allegations to CBP that the Importers were evading the AD/CVD Orders on QSP from China.³ The Allegations asserted that the Importers were importing QSP into the United States

¹ See 19 CFR 165.1.

² See *Certain Quartz Surface Products from the People’s Republic of China: Antidumping and Countervailing Duty Orders*, 84 FR 33053 (July 11, 2019) (collectively referred to as the AD/CVD Orders).

³ See Letter from the Alleger, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Aaa Innovation LLC,” dated October 16, 2020 (AAA Allegation); see also Letter from the Alleger, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Astera Kitchen and Bath, Inc.,” dated October 16, 2020; see also Letter from the Alleger, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of FTR LLC,” dated October 16, 2020; see also Letter from the Alleger, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Ghs Group Llc,” dated October 16, 2020; see also Letter from the Alleger, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Gin Investments Corp.,” dated October 16, 2020; see also Letter from the Alleger, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Gold Stone Kitchen Depot Inc.,” dated October 16, 2020; see also Letter from the Alleger, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Granite Collection Inc.,” dated October 16, 2020; see also Letter from the Alleger, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Ilkem Marble & Granite Inc.,” dated October 16, 2020 (Ilkem Allegation); see also Letter from the Alleger, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Next Generation Marble and Granite, LLC,” dated October 16, 2020 (Next Generation Allegation); see also Letter from the Alleger, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of North Creation Granite Co.,” dated October 16, 2020; see also Letter from the Alleger, “Quartz Surface Products from the People’s Republic of

that were Chinese origin and transshipped through MEDA ZZ Enterprise (MEDA ZZ) and Stone Direct Sdn Bhd (Stone Direct) in Malaysia.⁴ On October 30, 2020, CBP acknowledged receipt of the Allegations.⁵

CBP found the information in the Allegations reasonably suggested that the Importers entered covered merchandise for consumption into the customs territory of the United States through evasion.⁶ Consequently, on November 23, 2020, CBP consolidated the 15 allegations and initiated an EAPA investigation pursuant to Title IV, section 421 of the Trade Facilitation and Trade Enforcement Act of 2015.⁷ After the initiation of this investigation, CBP issued CF-28 questionnaires to each of the Importers concerning certain entries of QSP and requested the corresponding entry and production documentation. In addition, CBP added several memoranda to the administrative record that contained information on MEDA ZZ, Stone Direct, and other parties related to this investigation.⁸

China: Request for an Investigation under the Enforce and Protect Act of RQ Sales Co. LLC,” dated October 16, 2020; *see also* Letter from the Allegor, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of RQ Sales LLC,” dated October 16, 2020; *see also* Letter from the Allegor, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of The Top Shop, Inc.,” dated October 16, 2020; *see also* Letter from the Allegor, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Total Scope Cabinets and Tops, LLC,” dated October 16, 2020 (Total Scope Allegation); *see also* Letter from the Allegor, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of YNJ Management LLC,” dated October 16, 2020 (Collectively, “the Allegations”). The Allegor is a manufacturer in the United States of a domestic like product, *viz.* QSP, and thus, meets the definition of an interested party that is permitted to submit an EAPA allegation pursuant to 19 USC 1517(a)(6)(A)(ii), 19 CFR 165.1(2), and 19 CFR 165.11(a). *See also* Allegations at 4-5 and Exhibit 2.

⁴ *See* Allegations at 1-2, 6-14, and Exhibits 3-11.

⁵ *See* 19 CFR 165.12; *see also* Email from CBP, “EAPA 7522: Receipt-Ilkem,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7525: Receipt-AAA,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7526: Receipt-Astera,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7528: Receipt-FTR,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7529: Receipt-GHS,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7530: Receipt-Gin,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7531: Receipt-Gold,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7532: Receipt-Granite,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7536: Receipt-Next Gen,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7537: Receipt-North Creation,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7539: Receipt-Top Shop,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7540: Receipt-Total Scope,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7541: Receipt-YNJ,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7562: Receipt-RQ Sales Co,” dated October 30, 2020; *see also* Email from CBP, “EAPA 7563: Receipt-RQ Sales,” dated October 30, 2020.

⁶ *See* 19 USC 1517(b)(1); *see also* 19 CFR 165.15. After CBP officially received the 15 allegations, they constituted 15 separate cases, EAPA cases 7522, 7525-7526, 7528-7532, 7536-7537, 7539-7541, and 7562-7563.

⁷ *See* 19 USC 1517(b)(5); *see also* 19 CFR 165.13; *see also* CBP Memorandum, “Initiation of Consolidated Investigation for EAPA Case 7522,” dated November 23, 2020 (Initiation). At initiation CBP consolidated these 15 EAPA cases into one consolidated EAPA case in accordance with the relevant statutory and regulatory provisions. *See* Initiation at 9.

⁸ *See* CBP Memorandum, “Adding Information to the Administrative Record of EAPA Consolidated Case 7522,” dated February 9, 2021 (February 9 Memorandum); *see also* CBP Memorandum, “Adding Information to the Administrative Record of EAPA Consolidated Case 7522,” dated February 10, 2021 (February 10 Memorandum); *see also* CBP Memorandum, “Adding Information to the Administrative Record of EAPA Consolidated Case 7522,” dated February 16, 2021 (February 16 Memorandum).

After evaluating the information on the record, CBP determined that reasonable suspicion existed that the Importers imported Chinese-origin QSP into the United States that had been transshipped through Malaysia. This information included statements by Chinese QSP producer Amani Stone's (Amani/Betop) Director, James Zeng, which corroborated the existence of Amani/Betop's relationship to MEDA ZZ and Stone Direct; invoices from MEDA ZZ and Stone Direct that listed "[DESCRIPTION] Qingdao" and "[DESCRIPTION] China Port" as the payment basis and that listed "Betop Imp & Exp" [SITUATION DESCRIPTION]; QSP product names on these invoices that directly corresponded to product names in Amani/Betop's [DESCRIPTION]; photographs indicating that the QSP may have been sourced from China; and surreptitiously altered raw material invoices as explained below.⁹ Consequently, on March 1, 2021, CBP issued a notice of initiation of investigation and interim measures to the Importers and to the Alleger.¹⁰ This notice informed the Importers and the Alleger of the initiation of the investigation and of CBP's decision to impose interim measures based on a reasonable suspicion of evasion.¹¹ The notice also informed the Importers and the Alleger that the entries covered by the investigation are those entered for consumption, or withdrawn from warehouse for consumption, from October 30, 2019, through the pendency of this investigation.¹² As part of interim measures, CBP suspended the liquidation of the Importers' entries entered after the initiation of the investigation pursuant to its authority under 19 USC 1517(e).

To further investigate the Allegations' claims, CBP issued 43 requests for information (RFI) to the Importers, to the intermediaries Admire Heart Corporation (AHC) and StoneVic International Inc. (StoneVic), and to the Malaysian exporters Agrostone (Malaysia) Sdn Bhd (Agrostone), Beauquartz Industries (Beauquartz), [COMPANY] Sdn Bhd ([COMPANY]), [COMPANY] Sdn Bhd ([COMPANY]), MEDA ZZ, [COMPANY] Sdn Bhd ([COMPANY]), RHF Stone Sdn Bhd (RHF), Stone Direct, Top Quartz Specialist Sdn Bhd (Top Quartz) and [COMPANY]

⁹ See CBP Memorandum, "Notice of Initiation of Investigation and Interim Measures - EAPA Cons. Case 7522," dated March 1, 2021 at 26-28 (Interim Measures).

¹⁰ *Id.*

¹¹ *Id.*; see also 19 USC 1517(e); see also 19 CFR 165.24.

¹² See 19 USC 1517(b)(5); see also 19 CFR 165.13; see also 19 CFR 165.2. Entries covered by the investigation include entries up to one year prior to the date CBP officially received the Allegations, which was October 30, 2020.

Sdn Bhd ([COMPANY]).¹³ CBP subsequently received 33 responses to these RFIs.¹⁴ CBP

¹³ See Letter from CBP, “Request for Information – AAA Innovation LLC,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – Astera Kitchen and Bath, Inc.,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – FTR LLC,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – GHS Group, LLC,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – GIN Investments Corp.,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – Gold Stone Kitchen Depot Inc.,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – Granite Collection Inc.,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – Ilkem Marble & Granite Inc.,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – MEDA ZZ Enterprise,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – Next Generation Marble & Granite LLC,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – North Creation Granite Company,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – RQ Sales Co. LLC,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – RQ Sales LLC,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – Stone Direct Sdn Bhd,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – Top Shop Inc.,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – Total Scope Cabinets and Tops LLC,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – YNJ Management LLC,” dated March 1, 2021; *see also* Letter from CBP, “Request for Information – [COMPANY] Sdn Bhd,” dated March 22, 2021; *see also* Letter from CBP, “Request for Information – [COMPANY] Sdn Bhd,” dated March 22, 2021; *see also* Letter from CBP, “Request for Information – [COMPANY],” dated March 22, 2021; *see also* Letter from CBP, “Request for Information – [COMPANY],” dated March 22, 2021; *see also* Letter from CBP, “Request for Information – [COMPANY] Sdn Bhd,” dated March 22, 2021; *see also* Letter from CBP, “Request for Information – [COMPANY] Sdn Bhd,” dated March 22, 2021; *see also* Letter from CBP, “Request for Information – [COMPANY] Sdn Bhd,” dated March 22, 2021; *see also* Letter from CBP, “Request for Information – [COMPANY] Sdn Bhd,” dated March 22, 2021; *see also* Letter from CBP, “Supplemental Request for Information – Astera Kitchen and Bath, Inc.,” dated May 3, 2021; *see also* Letter from CBP, “Supplemental Request for Information – Top Shop, Inc.,” dated May 3, 2021; *see also* Letter from CBP, “Supplemental Request for Information – YNJ Management LLC,” dated May 3, 2021; *see also* Letter from CBP, “Supplemental Request for Information – RQ Sales LLC,” dated May 12, 2021; *see also* Letter from CBP, “Supplemental Request for Information – GHS Group, LLC,” dated May 14, 2021; *see also* Letter from CBP, “Supplemental Request for Information – GIN Investments Corp.,” dated May 14, 2021; *see also* Letter from CBP, “Supplemental Request for Information – Gold Stone Kitchen Depot Inc.,” dated May 14, 2021; *see also* Letter from CBP, “Supplemental Request for Information – Granite Collection Inc.,” dated May 18, 2021; *see also* Letter from CBP, “Supplemental Request for Information – Ilkem Marble & Granite Inc.,” dated May 18, 2021; *see also* Letter from CBP, “Supplemental Request for Information – Next Generation Marble and Granite LLC,” dated May 19, 2021; *see also* Letter from CBP, “Supplemental Request for Information – RQ Sales Co. LLC,” dated May 19, 2021; *see also* Letter from CBP, “Supplemental Request for Information – FTR LLC,” dated May 21, 2021; *see also* Letter from CBP, “Supplemental Request for Information – North Creation Granite Company,” dated May 21, 2021; *see also* Letter from CBP, “Request for Information – Admire Heart Corporation,” dated May 21, 2021; *see also* Letter from CBP, “Request for Information – StoneVic International Inc.,” dated May 24, 2021; *see also* Letter from CBP, “Supplemental Request for Information – [COMPANY] Sdn Bhd,” dated June 2, 2021; *see also* Letter from CBP, “Supplemental Request for Information – Top Quartz Specialist Sdn Bhd,” dated June 17, 2021; *see also* Letter from CBP, “Supplemental Request for Information – Admire Heart Corporation,” dated July 7, 2021.

¹⁴ See Letter from Gin, “Initial RFI Response,” dated March 23, 2021 (Gin RFI); *see also* Letter from Astera, “Request for Information – Astera Kitchen and Bath, Inc.” dated April 2, 2021 (Astera RFI); *see also* Letter from RQ Sales Colorado, “RFI Response,” dated April 2, 2021 (RQ Sales Colorado RFI); *see also* Letter from Top Shop, “Top Shop, Inc.’s Response to Request for Information,” dated April 2, 2021 (Top Shop RFI); *see also* Letter from FTR, “Re: FTR LLC Reply to Request for Information,” dated April 5, 2021 (FTR RFI); *see also* Letter from Next Generation, “Next Generation Marble and Granite, LLC’s Response to Request for Information,” dated April 5, 2021 (Next Generation RFI); *see also* Letter from Granite Collection, “Re: Granite Collection Inc. Reply to Request for Information,” dated April 6, 2021 (Granite Collection RFI); *see also* Letter from Ilkem, “Re: Ilkem Marble and Granite Inc. Reply to Request for Information,” dated April 6, 2021 (Ilkem RFI); *see also* Letter from RQ Sales Nevada, “Re: Request for Information – RQ Sales LLC,” dated April 8, 2021 (RQ Sales Nevada RFI); *see also* Letter from GHS, “RE: EAPA Case Number: 7522 GHS Group, LLC’s Partial Response to Request for Information

conducted case research based on the RFI responses and its internal records and added several memoranda of its findings onto the case record.¹⁵ On July 30 and August 2, 2021, the Alleger, Astera, FTR, Gold Stone, Granite Collection, Ilkem, Next Generation, RQ Sales Nevada, Top Shop, and YNJ submitted written arguments.¹⁶ The Alleger, FTR, Gold Stone Granite Collection, Ilkem, Next Generation, RQ Sales Nevada, and YNJ each submitted a response to

(Section D),” dated April 13, 2021 (GHS RFI 1); *see also* Letter from GHS, “RE: EAPA Case Number: 7522 GHS Group, LLC’s Partial Response to Request for Information (Sections A, B, C & E) Resubmission,” dated April 14, 2021 (GHS RFI 2); *see also* Letter from Gold Stone, “Re: Gold Stone Kitchen Depot LLC Reply to Request for Information,” dated April 16, 2021 (Gold Stone RFI); *see also* North Creation, “In Re: Business Confidential Version of RFI in Consolidated Case Number: 7522,” dated April 16, 2021 (North Creation RFI); *see also* Letter from YNJ, “RFI Response,” dated April 16, 2021 (YNJ Response); *see also* Letter from [COMPANY], “Response to request for information,” dated May 3, 2021 ([COMPANY] RFI); *see also* Letter from Top Shop, “Top Shop, Inc.’s Response to Supplemental Request for Information,” dated May 14 (Top Shop Supplemental RFI); *see also* Letter from YNJ, “Supplemental Request for Information – YNJ Management LLC,” dated May 17, 2021 (YNJ Supplemental RFI); *see also* Letter from Astera, “Supp RFI Response,” dated May 18, 2021 (Astera Supplemental RFI); *see also* Letter from Top Quartz, “RFI Response,” dated May 25, 2021 (Top Quartz RFI); *see also* Letter from Gin, “Supp RFI Response,” dated May 27, 2021 (Gin Supplemental RFI); *see also* Letter from RQ Sales Nevada, “Re: Supplemental Request for Information – RQ Sales LLC,” dated May 28, 2021 (RQ Sales Nevada Supplemental RFI); *see also* Letter from Next Generation, “Next Generation Marble and Granite, LLC’s Response to Supplemental Request for Information,” dated June 1, 2021 (Next Generation Supplemental RFI); *see also* Letter from North Creation, “In Re: EAPA Consolidated Case Number: 7522, Response to the Request for the Supplemental Information,” dated June 3, 2021 (North Creation Supplemental RFI); *see also* Letter from AHC, “Request for Information from CBP – Admire Heart Corporation,” dated June 4, 2021 (AHC RFI); *see also* Letter from GHS, “GHS Group LLC’s Response to Supplemental Request for Information,” dated June 7, 2021 (GHS Supplemental RFI); *see also* Letter from Gold Stone, “Re: Gold Stone Kitchen Depot LLC Reply to Supplemental Request for Information,” dated June 7, 2021 (Gold Stone Supplemental RFI); *see also* Letter from StoneVic, “EAPA Consolidated Case: 7522, Response to Request for Information...,” dated June 7, 2021 (StoneVic RFI); *see also* Letter from [COMPANY], “Re: Response to Supplemental Request for Information – [COMPANY] Sdn Bhd,” dated June 9, 2021 ([COMPANY] Supplemental RFI); *see also* Letter from FTR, “Re: FTR LLC Reply to Request for Information,” dated June 11, 2021 (FTR Supplemental RFI); *see also* Letter from Ilkem, “Re: Ilkem Marble and Granite Inc. Reply to Supplemental Request for Information,” dated June 11, 2021 (Ilkem Supplemental RFI); *see also* Letter from Granite Collection, “Re: Granite Collection Inc. Reply to supplemental Request for Information,” dated June 14, 2021 (Granite Collection Supplemental RFI); *see also* Letter from AHC, “Supplemental Request for Information – Admire Heart Corporation,” dated July 15, 2021 (AHC Supplemental RFI); *see also* Letter from Top Quartz, “Supplemental RFI Resp,” dated July 16, 2021 (Top Quartz Supplemental RFI).

¹⁵ *See* CBP Memorandum, “Adding Information to the Administrative Record of EAPA Consolidated Case 7522,” dated July 1, 2021 (July 1 Memorandum); *see also* CBP Memorandum, Adding Information to the Administrative Record of EAPA Consolidated Case 7522,” dated July 19, 2021 (July 19 Memorandum).

¹⁶ *See* Letter from Astera, “Written Arguments,” dated July 30, 2021 (Astera Written Arguments); *see also* Letter from RQ Sales Nevada, “Written Arguments,” dated July 30, 2021 (RQ Sales Written Arguments); *see also* Letter from Top Shop, “Top Shop, Inc.’s Written Argument for EAPA Consolidated Case Number 7522,” dated July 30, 2021 (Top Shop Written Arguments); *see also* Letter from the Alleger, “Written Comments,” dated August 2, 2021 (Alleger Written Arguments); *see also* Letter from FTR, “FTR LLC’s Written Argument,” dated August 2, 2021 (FTR Written Arguments); *see also* Letter from Gold Stone, “Gold Stone Kitchen Depot LLC’s Written Argument,” dated August 2, 2021 (Gold Stone Written Arguments); *see also* Letter from Granite Collection, “Granite Collection Inc’s Written Argument,” dated August 2, 2021 (Granite Collection Written Arguments); *see also* Letter from Ilkem, “Ilkem Marble & Granite’s Written Argument,” dated August 2, 2021 (Ilkem Written Arguments); *see also* Letter from Next Generation, “Next Generation Marble and Granite, LLC’s Written Argument,” dated August 2, 2021 (Next Generation Written Arguments); *see also* Letter from YNJ, “YNJ Management LLC’s Written Argument,” dated August 2, 2021 (YNJ Written Arguments).

written arguments on August 17, 2021.¹⁷ On September 8, 2021, CBP extended the deadline to make a determination as to evasion for this case, until November 18, 2021.¹⁸

Analysis as to Evasion

Under 19 USC 1517(c)(1)(A), to reach a final determination as to evasion in this case, CBP must, “make a determination, based on substantial evidence, with respect to whether such covered merchandise entered into the customs territory of the United States through evasion.” Evasion is defined as “the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material and that results in any cash deposit or other security of any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the covered merchandise.”¹⁹ As discussed in the foreign exporter, U.S. importer, and written argument sections below, the record of this investigation indicates that covered merchandise entered the United States through evasion. Further, substantial evidence indicates that the Importers’ imports were entered through evasion, resulting in the avoidance of applicable AD/CVD cash deposits or other security.

Foreign Exporter - Stone Direct

Granite Collection, Ilkem, and GHS claimed that the Chinese producers/exporters, Amani/Betop and [COMPANY], were affiliated with Stone Direct.²⁰ However, they did not provide any evidence substantiating their respective supplier’s claim of affiliation or attempt to explain or reconcile any competing claim of affiliation. Granite Collection and Ilkem could not provide any articles of incorporation for Stone Direct in response to CBP’s request.²¹ Nevertheless, CBP obtained a Malaysian government document indicating that Stone Direct has two owners with Malaysian addresses and that the company’s “origin” was Malaysia.²² As such, this document provided no indication that Stone Direct is affiliated with Amani/Betop, [COMPANY], or any other company outside Malaysia. The fact that Stone Direct is unaffiliated with Amani/Betop

¹⁷ See Letter from the Alleger, “Response to Written Arguments,” dated August 17, 2021 (Alleger Response to Written Arguments); see also Letter from FTR, “Response to Written Comments of Cambria Company LLC,” dated August 17, 2021 (FTR Response to Written Arguments); see also Letter from Gold Stone, “Response to Written Comments of Cambria Company LLC,” dated August 17, 2021 (Gold Stone Response to Written Arguments); see also Letter from Granite Collection, “Response to Written Comments of Cambria Company LLC,” dated August 17, 2021 (Granite Collection Response to Written Arguments); see also Letter from Ilkem, “Response to Written Comments of Cambria Company LLC,” dated August 17, 2021 (Ilkem Response to Written Arguments); see also Letter from Next Generation, “Response to Cambria Company, LLC’s Written Argument,” dated August 17, 2021 (Next Generation Response to Written Arguments); see also Letter from RQ Sales Nevada, “RQ Sales LLC’s Written Comments for EAPA Consolidated Case Number 7522,” dated August 17, 2021 (RQ Sales Nevada Response to Written Arguments); see also Letter from YNJ, “YNJ Management LLC’s Voluntary Response To Alleger’s Written Argument,” dated August 17, 2021 (YNJ Response to Written Arguments).

¹⁸ See CBP Memorandum, “Re: Notice of Extension of Determination,” dated September 8, 2021, in accordance with 19 USC 1517(c)(1)(B) and 19 CFR 165.22(c).

¹⁹ See 19 CFR 165.1; see also 19 USC 1517(a)(5)(A).

²⁰ See Granite Collection CF-28 Response at 172, 195; see also Ilkem CF-28 Response at 295, 301; see also GHS Sect A-C&E RFI at 6, 13, 15; see also GHS Supplemental RFI at 10.

²¹ See Granite Collection Supplemental RFI at 16 and Exhibit O; see also Ilkem Supplemental RFI at 13-14.

²² See February 9 Memorandum at Attachment 1, pages 1, 3-4.

and [COMPANY] means that Granite Collection's, Ilkem's, and GHS' assertions that their Chinese suppliers referred production to their purported affiliate Stone Direct are not true.

CBP reviewed photographs from Stone Direct's website, ostensibly of its facility, which indicated that Stone Direct may perform cutting or fabrication of the QSP.²³ Under the scope of the AD/CVD Orders, cutting and additional fabrication of Chinese-origin QSP in Malaysia would not transform it into Malaysian-origin QSP.²⁴ To be Malaysian-origin, QSP must be produced from raw materials in Malaysia. In their CF-28 and RFI responses, GHS, Granite Collection, Ilkem, and North Creation provided documents for Stone Direct ostensibly pertaining to its purchase and use of raw materials in QSP production.²⁵ According to the raw material documents North Creation provided, the raw material quantities Stone Direct purchased were not enough to produce North Creation's QSP as referenced in the allegedly corresponding production documents.²⁶ According to these documents, Stone Direct needed an additional 22 metric tons of quartz sand and 1.45 metric tons of polyester resin to produce the entries' QSP.²⁷ Furthermore, based on other record evidence and Chinese production discussed in GHS', Granite Collection's, Ilkem's, and North Creation's subsequent sections, the raw material and production documents must, perforce, be inauthentic. Additionally, CBP rejected Stone Direct's RFI response because Stone Direct repeatedly did not comply with CBP's RFI instructions and later submitted an incomplete and untimely RFI response.²⁸ Thus, the authenticity of the raw material documents submitted in various CF-28 and RFI responses and the authenticity of Stone Direct's QSP production cannot be substantiated.

It is noteworthy that even if Stone Direct had some level of legitimate QSP production, such production would not exclude Stone Direct's involvement in transshipment. In fact, there is much evidence on the record that Stone Direct was used to transship Chinese-origin QSP. For example, Granite Collection and Ilkem ordered product numbers from the Chinese producer Amani/Betop's [DESCRIPTION] rather than from Stone Direct and many of the corresponding invoices stated "[DESCRIPTION] China Port."²⁹ Likewise, an Amani/Betop salesperson admitted in a conversation on the record that Amani/Betop used Stone Direct for transshipment purposes.³⁰ Moreover, the LinkedIn profile of a Stone Direct employee stated that he had the following transshipment-related duties: "locate the supply of product in China ... Negotiate and arranging with the supplier ... Manage the shipment from supplier factory till the Malaysia Factory through sea freight between Xiamen Port and Klang Port."³¹ It is further noteworthy that the employee located Stone Direct's supply of "product" from China and not of raw

²³ *Id.* at Attachment 4, pages 15-26.

²⁴ *See* AD/CVD Orders.

²⁵ *See* GHS CF-28 Response at 40-52; *see also* Granite Collection RFI at Exhibit J; *see also* Ilkem RFI at Exhibit L; *see also* North Creation CF-28 Response at 6-7, 16-20.

²⁶ *See* North Creation CF-28 Response at 6-7, 16-20.

²⁷ *Id.*

²⁸ *See* July 1 Memorandum at Attachment 20.

²⁹ *See* Granite Collection RFI at 25; *see also* Interim Measures at 11; *see also* Granite Collection CF-28 Response at 212, 219, 240, 247; *see also* Ilkem CF-28 Response at 239, 247, 249, 259; *see also* Ilkem RFI at Exhibit B, pages 95-96 and Exhibits F(1) - F(5); *see also* Ilkem Supplemental RFI at Exhibit I, pages 58, 94, 102, 105; *see also* Allegations at Exhibit 9.

³⁰ *See* Allegations at Exhibits 8-9; *see also* Alleger Written Arguments.

³¹ *See* July 1 Memorandum at Attachment 4.

materials or inputs, which indicates that he helped import finished merchandise.³² GHS', Granite Collection's, Ilkem's, and North Creation's sections below discuss multiple other items of evidence pertaining to Stone Direct's transshipment role.

To corroborate the Allegations and the claims in the Importers' CF-28 responses, CBP emailed an RFI to Stone Direct on March 1, 2021.³³ On March 19, Stone Direct sent an RFI response to CBP that did not bracket business confidential information, provide a public version, or answer most of the RFI's questions.³⁴ Later that day, CBP instructed Stone Direct to answer all of the RFI's questions, bracket business confidential information, provide public summaries of bracketed information, and provide a business confidential and public version.³⁵ CBP explained each step needed to perform these tasks. CBP advised Stone Direct that "Failure to fully respond to CBP's RFI by the March 26, 2021, deadline may result in CBP applying an inference adverse to the interests of Stone Direct Sdn Bhd in accordance with 19 USC 1517(c)(3) and 19 CFR 165.6."³⁶ In response, Stone Direct answered a few more, but not all, of the RFI questions and again did not bracket business confidential information or provide a public version with public summaries of the bracketed information as requested.³⁷

On April 12, 2021, CBP once more asked Stone Direct to answer every question, provide a business confidential version, and provide a public version by April 19.³⁸ CBP explained how to create business confidential and public versions and noted that Stone Direct needed to perform these steps before CBP could accept its RFI response. Nevertheless, Stone Direct did not respond to CBP by the April 19 deadline. Therefore, on April 21, CBP asked Stone Direct to confirm whether they were "okay with CBP treating the entire document as public and serving the documents that Stone Direct Sdn. Bhd. provided in the form submitted to the other parties to the investigation."³⁹ Stone Direct did not respond to this email by the required April 23 deadline.

At this point, CBP had explained to Stone Direct multiple times the RFI response's regulatory requirements concerning its business confidential version, public version, and public summaries. CBP had also given Stone Direct several opportunities and deadline extensions to correct its RFI response. Nevertheless, Stone Direct was repeatedly non-compliant with CBP's RFI instructions and non-responsive to CBP's April 19 and April 23 deadlines. Further, Stone Direct never requested an extension of time to comply with CBP's requests for information. In its April 12 email, CBP advised Stone Direct "a failure to comply with this request may result in the entirety of Stone Direct's RFI response being rejected and with an imposition of adverse inferences

³² *Id.* Please note that the Stone Direct employee wrote the details of his LinkedIn profile in English, he states that he speaks English, and he states he has given presentations in the United Kingdom. Thus, CBP believes that use of the term "product" in this context meant final product and did not encompass simply "raw materials."

³³ *Id.* at Attachment 20, page 8. The email on record indicates that it was sent on March 2, 2021, but that is according to Malaysian time.

³⁴ *Id.* at Attachment 20, pages 7-8.

³⁵ *Id.* at Attachment 20, pages 6-7.

³⁶ *Id.* at Attachment 20, page 7.

³⁷ *Id.* at Attachment 20, page 6.

³⁸ *Id.* at Attachment 20, pages 4-5.

³⁹ *Id.* at Attachment 20, page 4.

pursuant to 19 C.F.R. 165.6.”⁴⁰ Therefore, in light of Stone Direct’s overall non-responsiveness and its repeated failure to comply with CBP’s instructions, CBP rejected the entirety of Stone Direct’s RFI response on April 27.⁴¹

After CBP rejected its response, Stone Direct attempted to resubmit its RFI narrative response, without the exhibits, on May 6.⁴² EAPA investigations are conducted according to strict statutory and regulatory deadlines. CBP’s regulations at 19 CFR 165.5(c)(2) state: “Rejection of untimely submissions. If a submission is untimely filed, then CBP will not consider or retain it in the administrative record and adverse inferences may be applied....” Accordingly, on May 10, CBP rejected Stone Direct’s RFI response because the company submitted it 13 days after the previous deadline.⁴³ Because CBP rejected Stone Direct’s RFI response and removed it from the administrative record, CBP cannot substantiate the Importers’ claims that Stone Direct has manufacturing facilities in Malaysia that produced their QSP.

Furthermore, EAPA’s regulations at 19 CFR 165.6(a) state that if “the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP, CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion....”⁴⁴ Because Stone Direct was non-responsive to two CBP emails, repeatedly neglected to comply with CBP’s instructions, and filed only a partial RFI response which itself was untimely, CBP finds that Stone Direct failed to cooperate and comply to the best of its ability with CBP’s requests for information. As such, CBP is applying an adverse inference against Stone Direct and relying on adverse information submitted in the Allegations.⁴⁵ In particular, CBP is relying on claims, contained in the Allegations, that Stone Direct transshipped Chinese-origin merchandise to the United States that evaded the payment of AD/CVD duties.⁴⁶ Consequently, CBP determines that all entries from Stone Direct that are subject to this investigation are Chinese-origin.

Foreign Exporter - MEDA ZZ

Multiple Importers claimed that the Chinese producers and exporters Amani/Betop; Newstar (China) Industrial Co. Ltd. (Newstar); Goldtop Stone Co, Ltd (Goldtop); and Glory Stone Group Limited (Glory Stone) were affiliated with MEDA ZZ.⁴⁷ However, these Importers did not provide evidence substantiating their respective supplier’s claim or reconciling any competing claims of affiliation with their own. In response to CBP’s requests, none of the Importers could provide any articles of incorporation for MEDA ZZ. MEDA ZZ’s ownership details that were

⁴⁰ *Id.* at Attachment 20, page 5.

⁴¹ *Id.* at Attachment 20, pages 2-3.

⁴² *Id.* at Attachment 20, pages 1-2.

⁴³ *Id.* at Attachment 20, page 1.

⁴⁴ *See also* 19 USC 1517(c)(3)(A).

⁴⁵ *See* 19 USC 1517(c)(3)(B)-(C); *see also* 19 CFR 165.6(c); *see also* Allegations.

⁴⁶ *See* Allegations at 2, 6, 11-12, and Exhibits 8-9.

⁴⁷ *See* Granite Collection CF-28 Response at 163, 226; *see also* Ilkem RFI at 16; *see also* Top Shop Supplemental RFI at Exhibit 1, page 8; *see also* Gin RFI at 1; *see also* Gin Supplemental RFI at 161; *see also* YNJ Supplemental RFI at 4 and Exhibit A, page 512; *see also* Gold Stone RFI at 10; *see also* Gold Stone Supplemental RFI at 2, 4, 8; *see also* RQ Sales Nevada RFI at 6.

registered with the Malaysian government further contradict the claims of the Chinese producers and exporters. A Malaysian government document indicates that MEDA ZZ is a sole proprietorship owned by a Malaysian citizen named Hamida Binti Mat Rawi.⁴⁸ These details are corroborated by MEDA ZZ's list of owners and corporate officers, which lists "[NAME AND POSITION] and does not denote any other owner."⁴⁹ Consequently, these facts indicate that MEDA ZZ is not affiliated with any of the Importers' Chinese suppliers or with Stone Direct. The fact that MEDA ZZ is unaffiliated with any Chinese companies means that the Importers' assertions that their Chinese suppliers referred production to their purported affiliate MEDA ZZ are not true.

With reference to evasion, there is much evidence that MEDA ZZ was used to transship QSP, some of which is very straightforward. For example, Next Generation's Chinese supplier said that its QSP from MEDA ZZ, "have been transshipped in Malaysia ... We sailed them from Xiamen to Malaysia, then Malaysia sails to the USA."⁵⁰ Additionally, regarding its QSP from MEDA ZZ, Newstar told Top Shop that "[SITUATION DESCRIPTION]"⁵¹ Other items of evidence pertaining to MEDA ZZ's use for transshipment are discussed in the importer sections below.

Several Importers, such as FTR, Granite Collection, Ilkem, Next Generation, and YNJ claimed that MEDA ZZ produces QSP and provided photographs purportedly showing MEDA ZZ's factory.⁵² However, because MEDA ZZ did not respond to CBP's RFI, the authenticity of these photographs could not be substantiated. Furthermore, some of these photographs indicated that they were taken in China. YNJ provided a photograph showing a large red banner with Chinese characters on the background wall of a factory.⁵³ Although the presence of a banner with Chinese characters is not necessarily conclusive evidence that the photograph took place in China, it is, nevertheless, consistent with a factory in China. Furthermore, one of Next Generation's factory photographs showed a blue sign with Chinese characters on a metal column and another photograph showed a shipping container with QSP inside that was on a truck trailer with a Fujian Province, China license plate.⁵⁴

Several importers, such as AAA, FTR, Gold Stone, Granite Collection, and Ilkem, provided documents ostensibly pertaining to MEDA ZZ's purchase and use of raw materials for QSP production in their CF-28 and RFI responses.⁵⁵ However, because MEDA ZZ did not respond to CBP's RFI, the authenticity of these documents could not be substantiated. Furthermore, record evidence indicates that these raw material documents are not reliable. Several Importers provided CBP with the same raw material documents, such as purchase orders and delivery

⁴⁸ See February 9 Memorandum at Attachment 2.

⁴⁹ See FTR CF-28 Response at 10.

⁵⁰ See Next Generation RFI at 518, 521.

⁵¹ See Top Shop RFI at Exhibit J, page 915.

⁵² See FTR CF-28 Response at 11, 28; *see also* Granite Collection RFI at Exhibit D; *see also* Ilkem RFI at Exhibit D; *see also* Next Generation RFI at 20, 26, 45, 48; *see also* YNJ CF-28 Response at 34-54.

⁵³ See YNJ CF-28 Response at 47.

⁵⁴ See Next Generation RFI at 20, 45.

⁵⁵ See AAA CF-28 Response at 18-29; *see also* FTR CF-28 Response at 14-20, 27; *see also* Gold Stone CF-28 Response at 21-32; *see also* Gold Stone RFI at Exhibit E, pages 2-9; *see also* Granite Collection RFI at Exhibit J, pages 2-9; *see also* Ilkem RFI at Exhibit L, pages 2-9.

invoices, however, there was no indication that these raw materials were enough to produce all of their QSP orders.⁵⁶ Moreover, the Chinese supplier Glory Stone provided RQ Sales Colorado and RQ Sales Nevada with raw material invoices that it surreptitiously altered to appear as though they pertained to MEDA ZZ, as explained further below.⁵⁷

As a corollary, other record evidence indicates that MEDA ZZ does not have QSP manufacturing facilities. MEDA ZZ registered two addresses with the Malaysian government's Companies Commission of Malaysia.⁵⁸ Through its research, CBP took screenshots of the address MEDA ZZ listed as its principal place of business indicate that it is a house and screenshots of the address it listed under "branch information" indicate that it is located inside a shopping mall.⁵⁹ A third MEDA ZZ address is an alternate address for the same shopping mall.⁶⁰ As such, none of these addresses evinces any QSP production. Furthermore, MEDA ZZ's own description of its business activities do not indicate that it produces QSP. MEDA ZZ described its business type as "manufacturing and selling wood and iron-based furniture, selling women accessories and beauty product {sic}."⁶¹

To corroborate the Allegations and the claims in the Importers' CF-28 responses, on March 1, March 22, March 29, and April 7, 2021, CBP sent an RFI to the two MEDA ZZ email addresses that six of the Importers provided.⁶² CBP also mailed RFI copies to MEDA ZZ's three physical addresses.⁶³ In its email reminders, CBP advised MEDA ZZ that "If MEDA ZZ does not submit its RFI response by this deadline, CBP's intention is to apply an inference adverse to the interests of MEDA ZZ as referenced in 19 USC 1517(c)(3) of the statute and 19 CFR 165.6 of the regulations applicable to this investigation."⁶⁴ In spite of the mailed RFIs and email reminders, MEDA ZZ did not contact CBP, or ever ask for an extension of time to respond to CBP's requests for information. Because MEDA ZZ never responded to CBP's requests for information, CBP cannot substantiate the Importers' claims that MEDA ZZ has manufacturing facilities in Malaysia that produced their QSP.

EAPA's regulations at 19 CFR 165.6(a) state that if "the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP, CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion..."⁶⁵

⁵⁶ See FTR CF-28 Response at 14-20, 27; *see also* Gold Stone RFI at Exhibit E, pages 2-9; *see also* Granite Collection RFI at Exhibit J, pages 2-9; *see also* Ilkem RFI at Exhibit L, pages 2-9. AAA and Gold Stone also provided the same raw material documents. *See* AAA CF-28 Response at 18-29; *see also* Gold Stone CF-28 Response at 21-32.

⁵⁷ *See* RQ Sales Colorado CF-28 Response at 9-11, 36-38; *see also* RQ Sales Nevada CF-28 Response at 72-74.

⁵⁸ *See* February 9 Memorandum at Attachment 2; *see also* Ilkem Supplemental RFI at Exhibit B.

⁵⁹ *See* February 16 Memorandum at Attachment 2.

⁶⁰ *See* July 19 Memorandum at Attachment 10, page 4; *see also* AAA Allegation at Exhibit 3.

⁶¹ *See* February 9 Memorandum at Attachment 2, pages 1, 4. This is a translation of the original quote, which was in Malay.

⁶² *See* July 1 Memorandum at Attachment 14; *see also* AAA CF-28 Response at 2; *see also* Gold Stone CF-28 Response at 7; *see also* RQ Sales Colorado CF-28 Response at 5; *see also* RQ Sales Colorado RFI at 24; *see also* RQ Sales Nevada CF-28 Response at 71; *see also* Top Shop RFI at Exhibit J, page 108; *see also* YNJ CF-28 Response at 4, 24.

⁶³ *See* July 19 Memorandum at Attachment 10, pages 4-6, 8-9.

⁶⁴ *See* July 1 Memorandum at Attachment 14, pages 1-2, 4-5.

⁶⁵ *See also* 19 USC 1517(c)(3)(A).

Because MEDA ZZ failed to respond to the requests for information CBP issued on March 1, March 22, March 29, and April 7, 2021, CBP finds that MEDA ZZ has not cooperated and complied to the best of its ability. As such, CBP is applying an adverse inference against MEDA ZZ and relying on adverse information submitted in the Allegations.⁶⁶ In particular, CBP is relying on these documents' claims that MEDA ZZ transshipped Chinese-origin merchandise to the United States.⁶⁷ Consequently, CBP determines that all entries from MEDA ZZ that are subject to this investigation are Chinese-origin.

U.S. Importer - AAA

AAA submitted a CF-28 response denoting that the company entered QSP slabs from MEDA ZZ in June 2020.⁶⁸ However, AAA did not provide the requested proof of payment for the imported merchandise or for its freight costs in its CF-28 response. CBP had further questions for AAA and sent the company an RFI on March 1, March 22, and March 29, 2021; however, AAA did not submit an RFI response.⁶⁹

In its emails on March 22 and March 29, 2021, CBP told AAA that it did not receive AAA's RFI response by the deadline and gave AAA two additional opportunities to submit its response. In both emails CBP advised AAA that "If AAA Innovation does not submit its RFI response, CBP's intention is to apply an inference adverse to the interests of AAA Innovation as referenced in 19 USC 1517(c)(3) of the statute and 19 CFR 165.6 of the regulations applicable to this investigation."⁷⁰

EAPA's regulations at 19 CFR 165.6(a) state that if an "importer ... of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP, CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion...."⁷¹ Because AAA failed to respond to the requests for information CBP issued on March 1, March 22, and March 29, 2021, CBP finds that AAA has not cooperated and complied to the best of its ability. As such, CBP is applying an adverse inference against AAA and relying on adverse information submitted in the AAA Allegation.⁷² In particular, CBP is relying on the AAA Allegation's claims that AAA entered QSP that was manufactured in China, transshipped through Malaysia to the United States, and falsely claimed as Malaysian-origin.⁷³

⁶⁶ See 19 USC 1517(c)(3)(B)-(C); see also 19 CFR 165.6(c); see also Allegations.

⁶⁷ See Allegations at 2, 6, 11-12, and Exhibits 8-9.

⁶⁸ See Letter from AAA, "Response to Request for Information by AAA Innovation LLC," dated February 11, 2021 at 8-11.

⁶⁹ See July 1 Memorandum at Attachment 19.

⁷⁰ *Id.*

⁷¹ See also 19 USC 1517(c)(3)(A).

⁷² See 19 USC 1517(c)(3)(B)-(C); see also 19 CFR 165.6(c); see also AAA Allegation.

⁷³ See AAA Allegation at 1, 6-11, and Exhibits 3, 8-9.

U.S. Importer - Astera

Astera is a Georgia-based importer of cabinets and QSP that has existed since 2013.⁷⁴ Astera entered three shipments of QSP in 2020 that were ostensibly from MEDA ZZ. Astera noted that it did not have any contact with MEDA ZZ or pay them.⁷⁵ Instead, Astera stated that it ordered and paid for these entries through an intermediary company based in Atlanta, Georgia named StoneVic International Inc. (StoneVic USA).⁷⁶

Multiple invoices and emails denote that Astera ordered QSP model “White Quartz SQ028” through StoneVic USA as a part of these entries.⁷⁷ CBP research revealed several websites indicating the existence of a QSP manufacturer in China named Xiamen StoneVic Co., Ltd., also known as StoneVic Group and StoneVic Groups Enterprises Limited (Xiamen StoneVic).⁷⁸ Two of these websites indicated that Xiamen StoneVic produces QSP model “Sq028 Pure White Quartz Kitchen Countertop” and that this model departed from Xiamen Port, China.⁷⁹ The Allegations note that MEDA ZZ is the QSP’s transshipment point between China and the United States. Correspondingly, two invoices that StoneVic USA issued to Astera listed SQ028 and denoted its place of delivery as Port Klang, Malaysia.⁸⁰

Notably, emails between Astera and StoneVic USA referenced other QSP models that Astera considered purchasing as well, namely [PRODUCT], [PRODUCT], and [PRODUCT].⁸¹ The websites from CBP’s research evinced that these were Xiamen StoneVic’s QSP models.⁸² These websites indicated that the [PRODUCT] and [PRODUCT] models depart from Xiamen Port, China.⁸³ Although Astera did not order these three QSP models, the emails and websites corroborate that StoneVic USA sources its QSP models from its affiliated Chinese factory.

Several other items on the record allude to the merchandise’s origin at Xiamen Port. Prior to one of Astera’s entries, StoneVic USA stated that “[

SITUATION DESCRIPTION

].”⁸⁴ This email demonstrates StoneVic USA’s familiarity with delays at [ABBREVIATION], an abbreviation for [CITY].⁸⁵ Correspondingly, the entries’ house bills of lading numbers also begin with [ABBREVIATION].⁸⁶ Furthermore, personnel from the entries’ freight forwarder, [

⁷⁴ See Astera RFI at 6 and at Certificate of Incorporation.

⁷⁵ *Id.* at 3-4.

⁷⁶ *Id.* at 2-4.

⁷⁷ *Id.* at 27, 29-30, 38, 41, 54, 56-57, 76, 84, 86, 88, 117.

⁷⁸ See July 1 Memorandum at Attachment 12, pages 1, 4-5.

⁷⁹ *Id.* at Attachment 12, pages 6-7, 13, 20.

⁸⁰ See Astera RFI at 30, 41. [SITUATION DESCRIPTION]”

⁸¹ *Id.* at 86, 95-96; see also Astera Supplemental RFI at 71, 95, 285, 307. StoneVic stated that “[SITUATION DESCRIPTION].” A StoneVic invoice describes another product as “[SITUATION DESCRIPTION].”

⁸² See July 1 Memorandum at Attachment 12, pages 16, 18, 24, 26, 31.

⁸³ *Id.*

⁸⁴ See Astera RFI at 134; see also CBP Memorandum, “Adding Information to the Administrative Record of EAPA Consolidated Case 7522,” October 27, 2021 at Attachment 15, page 12 (October 27 Memorandum).

⁸⁵ See Astera RFI at 135; see also October 27 Memorandum at Attachment 15, page 12.

⁸⁶ See Astera RFI at 23, 34, 37, 45, 49.

NAME] and [NAME], are located in Xiamen, have Chinese telephone numbers, work for [COMPANY], and have email addresses containing the [ABBREVIATION] abbreviation.⁸⁷

In addition to StoneVic USA's affiliation with Xiamen StoneVic, record evidence indicates that StoneVic USA is affiliated with another company in Singapore. StoneVic USA issued invoices referring to itself as an "Authorized Factory Agent of SV International Pte LTD/Singapore" (SV International).⁸⁸ SV International's website lists a Singapore address and indicates its factory is located at the following address: Lot 104206, 6 ¾ Miles Off Jalan Gopeng, Keramat Pulau, 31300 Simpang Pulau, Ipoh, Perak Darul, Ridzuan, Malaysia.⁸⁹ Through its research, CBP found that this is essentially the same address listed on the Malaysian QSP exporter Agrostone's website: Lot 104206, 6 ¾ Miles, Off Jalan Gopeng, Keramat Pulau, Kg. Kepayang, 31300 Ipoh, Perak, Malaysia.⁹⁰ A search for each of these addresses on Google Maps only results in a listing for Agrostone's factory.⁹¹ Additionally, SV International's website lists a mobile number with a China country code, which indicates its connection to China.⁹² SV International's website also lists a Malaysian telephone number matching a phone number on Agrostone's website.⁹³ The preceding facts indicate that SV International and Agrostone have some sort of relationship.

Furthermore, SV International's website contains multiple photographs of its purported Malaysian factory. However, two photographs of its "Desk Machining Center" appear to be photoshopped. SV International's insignia, "SV Quartz," has a different size and is placed in a markedly different location on the front exterior of the Desk Machining Center in each of these photographs.⁹⁴ Specifically, the first photograph's "SV Quartz" is larger and its "z" is directly above the right side of the right middle window; whereas, the second photograph's "SV Quartz" is smaller and its "z" is directly above the left side of the right middle window. SV International's Chinese mobile number, its use of Agrostone's address and phone number, and the altered photographs of its Desk Machining Center cast doubt on the existence of SV International's Malaysian factory.

Correspondingly, StoneVic USA's emails contain references connecting Astera's entries to Xiamen StoneVic's factory rather than SV International's purported factory. For example, Astera provided correspondence between StoneVic USA and [NAME]. Ms. [NAME] is listed on Xiamen StoneVic's website as one of its sales representatives and her contact information includes a Chinese telephone number.⁹⁵ Ms. [NAME] told StoneVic USA's owner that the "[

SITUATION DESCRIPTION

]."⁹⁶ This email demonstrates Ms. [NAME]'s involvement in the logistics of the shipment and

⁸⁷ *Id.* at 135-136; *see also* Astera Supplemental RFI at 60-61. Their email addresses are [EMAIL ADDRESS] and [EMAIL ADDRESS].

⁸⁸ *See* Astera Supplemental RFI at 94-96, 105, 304.

⁸⁹ *See* July 1 Memorandum at Attachment 13, page 9.

⁹⁰ *Id.* at Attachment 13, page 11.

⁹¹ *Id.* at Attachment 13, page 10.

⁹² *Id.* at Attachment 13, page 9.

⁹³ *Id.* at Attachment 13, pages 9, 11-12. This common telephone number is +605 357 2830.

⁹⁴ *Id.* at Attachment 13, pages 7-8.

⁹⁵ *See* July 19 Memorandum at Attachment 26, pages 8-9.

⁹⁶ *See* Astera Supplemental RFI at 57-58.

her implicit communication with factory personnel who loaded the shipment or were aware of when it was loaded.

An Astera email to StoneVic USA also referenced “[NAME AND DESCRIPTION]”⁹⁷ Record correspondence indicated that Cindy was involved in the logistics of at least one Astera entry.⁹⁸ Astera stated that it did not know Cindy’s full name but learned of her from StoneVic USA’s emails.⁹⁹ Astera further stated that Cindy’s email is [EMAIL ADDRESS], which is notable because Xiamen StoneVic’s main email address, [EMAIL ADDRESS], contains the same email domain.¹⁰⁰ In contrast, SV International’s main email address, info@svquartz.com, and StoneVic USA’s email addresses, [EMAIL ADDRESS] and [EMAIL ADDRESS], have different email domains.¹⁰¹ The fact that Cindy is “[DESCRIPTION]” and that her email domain matches Xiamen StoneVic’s email domain indicate that she works at Xiamen StoneVic’s factory rather than SV International’s purported factory. Furthermore, because Xiamen StoneVic produces the QSP model Astera ordered from StoneVic USA and Cindy works for Xiamen StoneVic and was involved in this product’s logistics, CBP finds that StoneVic USA sourced this entry’s QSP from Xiamen StoneVic’s factory.¹⁰²

To clarify the information on the record, CBP sent a truncated RFI to StoneVic USA. In its response, StoneVic USA stated that it had a single employee and was “in the process of winding down its operations.”¹⁰³ StoneVic USA also claimed that “Production of the requested information is burdensome” and that “a response to the Request for Information is not possible under the current circumstances.”¹⁰⁴ As such, CBP did not receive further information from StoneVic USA.

In conclusion, multiple facts on the record establish that StoneVic USA and Xiamen StoneVic transshipped Astera’s merchandise through MEDA ZZ in Malaysia.

- Astera ordered QSP model White Quartz SQ028 from StoneVic USA. The Chinese QSP producer Xiamen StoneVic produces this model. Xiamen StoneVic produces other QSP models that Astera referenced in its emails with StoneVic USA as well.
- Record evidence indicates that QSP model White Quartz SQ028 departs from Xiamen Port, China.
- StoneVic USA corresponded with [NAME], who is listed as a sales representative on Xiamen StoneVic’s website.
- StoneVic USA referenced Cindy [DESCRIPTION], who works for Xiamen StoneVic and was involved in at least one entry’s logistics.

Consequently, based on the aforementioned analysis of relevant evidence, CBP determines that substantial evidence exists demonstrating that, by means of material false statements or material

⁹⁷ *Id.* at 91, 134.

⁹⁸ *Id.* at 57-70.

⁹⁹ *Id.* at 4.

¹⁰⁰ *Id.* at 4, 57, 61-66, 68-69.

¹⁰¹ *See* July 1 Memorandum at Attachment 12.

¹⁰² *Id.* at Attachment 12, page 46.

¹⁰³ *See* StoneVic RFI at 1.

¹⁰⁴ *Id.* at 2.

omissions, Astera entered Chinese-origin QSP subject to the AD/CVD Orders and failed to pay the requisite duties.

U.S. Importers - FTR and Top Shop

Top Shop is a Kansas-based company that performs custom countertop fabrication, installation, and importation.¹⁰⁵ It was founded in 2003 and does business as (DBA) Bluewood Trading Company, Inc.¹⁰⁶ Top Shop declared two entries from MEDA ZZ to CBP in 2020.¹⁰⁷ Top Shop stated that it never contacted MEDA ZZ for these entries but ordered their merchandise from Kob Wang of the Chinese QSP producer Newstar Stone, also known as Newstar (China) Industrial Co. Ltd. and [COMPANY] (Newstar).¹⁰⁸ Newstar also has a brand name, Benyeequartz, that has its own website and QSP manufacturing facilities in Quanzhou City, Fujian Province, China.¹⁰⁹

Top Shop stated that Mr. Wang selected MEDA ZZ as the manufacturer of the QSP it ordered.¹¹⁰ Although Mr. Wang told Top Shop that Newstar [SITUATION DESCRIPTION], Newstar's website did not contain any references to Malaysian branches.¹¹¹ However, Newstar's website had a list of six branch facilities in China.¹¹² Benyeequartz' website also did not reference any facilities in Malaysia.¹¹³ A document from the Malaysian Government's Companies Commission of Malaysia indicates that MEDA ZZ is a sole proprietorship and that its only owner is a Malaysian citizen named Hamidah Binti Mat Rawi.¹¹⁴ Corroborating this document, MEDA ZZ's list of owners and corporate officers likewise lists "[NAME]" as MEDA ZZ's [POSITION].¹¹⁵ These facts considered collectively contradict the claim that Newstar is affiliated with MEDA ZZ.

With reference to the QSP it ordered, Top Shop stated that its U.S. customer [EVENT DESCRIPTION] and QSP product [PRODUCT AND DESCRIPTION].¹¹⁶ CBP identified this product number and [DESCRIPTION] on the Benyeequartz website.¹¹⁷ After Top Shop notified Newstar of its customer's [EVENT DESCRIPTION], Newstar's pro forma invoices, correspondence with Top Shop, and one of its commercial invoices subsequently listed QSP product [PRODUCT].¹¹⁸ The fact that Top Shop's U.S. customer [EVENT DESCRIPTION]

¹⁰⁵ See Top Shop RFI at 1, 4.

¹⁰⁶ *Id.* at 2 and Exhibit E.

¹⁰⁷ *Id.* at 3 and Exhibit C. These entries are [NUMBER]1621 and [NUMBER]6307.

¹⁰⁸ *Id.* at 4-5 and Exhibit J, page 868; *see also* July 1 Memorandum at Attachment 9.

¹⁰⁹ See July 19 Memorandum at Attachment 20, pages 6-12.

¹¹⁰ See Top Shop RFI at 6.

¹¹¹ See Top Shop Supplemental RFI at Exhibit 1, page 8; *see also* July 1 Memorandum at Attachment 9.

¹¹² See July 1 Memorandum at Attachment 9, page 16.

¹¹³ *Id.* at Attachment 9; *see also* July 19 Memorandum at Attachments 20, 24.

¹¹⁴ See February 9 Memorandum at Attachment 2, pages 1-2.

¹¹⁵ See FTR CF-28 Response at 10.

¹¹⁶ See Top Shop Supplemental RFI at 6 and Exhibit 1, page 6; *see also* July 1 Memorandum at Attachment 9.

¹¹⁷ See July 19 Memorandum at Attachment 20, page 12.

¹¹⁸ See Top Shop RFI at Exhibit C, page 3; Exhibit D, page 4; and Exhibit J, pages 868-869. A purchase order issued by Top Shop lists the similarly numbered product [NUMBER] for entry [NUMBER]1621. See Top Shop RFI at Exhibit C, pages 5-6.

from Newstar's Benyeequartz product line, rather than from the purported manufacturer MEDA ZZ, is consistent with Newstar's production of the QSP.

Record evidence indicates that Top Shop paid Newstar's [DESCRIPTION] bank in [DATES] for the two entries rather than MEDA ZZ's bank.¹¹⁹ In December 2020, CBP requested Top Shop's payment documentation for entry [NUMBER]1621 and Top Shop, in turn, requested this information from Mr. Wang.¹²⁰ Although at the time Top Shop had already paid Newstar for its merchandise, Mr. Wang stated the following instructions to Top Shop on [DATE]:

[

DESCRIPTION OF INSTRUCTIONS

]"¹²¹

Because Top Shop had already fully paid Newstar's bank for the entries rather than MEDA ZZ's bank and because the documentation Mr. Wang was working on was intended for submission to CBP, Mr. Wang's response indicates that he was attempting to create fraudulent payment documentation for submission to CBP. Furthermore, in another instance Mr. Wang made a request that appears to indicate another attempt to create inauthentic documentation for CBP. Mr. Wang informed Top Shop that "[EVENT DESCRIPTION]" and later requested "[REQUEST DESCRIPTION]."¹²² Top Shop's response indicated the highly unusual nature of this request: "[STATEMENT AND QUESTIONS]"¹²³ Moreover, after CBP requested payment information, Newstar attempted to persuade Top Shop to make a false statement to CBP. Specifically, Mr. Wang instructed Top Shop to tell CBP the following: "[DESCRIPTION OF INSTRUCTIONS]."¹²⁴ Top Shop refused to submit Newstar's fraudulent payment documentation or to make this false statement to CBP and stated, "[STATEMENT]."¹²⁵

Newstar's attempts to mask the recipient, bank location, and payment status of Top Shop's entry payments cast serious doubt on the reliability of its other documents. Some of these documents denote that the merchandise originated in Malaysia and was shipped from Port Klang. However, some of the other entry documents indicate that the merchandise originated in China. For example, Newstar's pro forma invoices specify transit "[TRANSIT LOCATIONS AND NUMBERS] days."¹²⁶ This transit time is more than enough for the merchandise to depart [CITY] Port, transship in Port Klang, and arrive in the USA. Additionally, the shipper that the

¹¹⁹ *Id.* at 4-5, 15; Exhibit C, pages 9-11; and Exhibit D, pages 8-13. Top Shop also paid a [EVENT DESCRIPTION]. *Id.* at Exhibit J, page 455.

¹²⁰ *See* Top Shop CF-28 Response at 1; *see also* Top Shop RFI at Exhibit J, pages 95, 445.

¹²¹ *See* Top Shop RFI at Exhibit J, pages 94-95.

¹²² *Id.* at Exhibit J, page 280.

¹²³ *Id.*

¹²⁴ *Id.* at Exhibit J, page 103.

¹²⁵ *Id.*

¹²⁶ *Id.* at Exhibit D, page 9, and Exhibit J, pages 490, 943.

freight forwarder listed on some documents is [COMPANY], which is conveniently located near [CITY] Port.¹²⁷

Correspondingly, entry [NUMBER]1621's original commercial invoice and packing list denoted its Chinese-origin. On [DATE], Top Shop emailed these documents to its customs broker.¹²⁸ Later that day Top Shop emailed its customs broker again and stated "[DESCRIPTIONS OF INSTRUCTIONS]".¹²⁹ Newstar issued this first set of documents, which identified that the shipment was "[LOCATION]" and was "[DESCRIPTION]".¹³⁰ Although the information contained in these documents indicated that they were the correct entry documents, they were ultimately not included in the entry documentation. The next day Top Shop informed Mr. Wang that "[SITUATION DESCRIPTION]".¹³¹ Mr. Wang sent a new packing list and invoice that were ostensibly issued by MEDA ZZ and that indicated that the entry was Malaysian-origin.¹³² The table below contains a comparison between the earlier Newstar invoice and packing list and the subsequent MEDA ZZ invoice and packing list.

		Invoices		Packing Lists	
		Newstar Invoice	MEDA ZZ Invoice	Newstar Packing List	MEDA ZZ Packing List
Document Date	[				]
Shipment Date	[				]
From	[				]
To	[				]
FOB	[				]
Invoice Number	[				]
Invoice Value	[				]
Total Quantities	[				]

The fact that the invoices contain the same invoice number and value and that the packing lists contain the same invoice number and quantities indicates that the invoices and packing lists all pertain to the same entry. Additionally, the pro forma invoice number listed on the Newstar invoice and packing list matches the purchase order number listed on the pro forma invoice for entry [NUMBER]1621.¹³³ Furthermore, the shipment date on the Newstar invoice and packing list is only two days later than the date Mr. Wang [EVENT DESCRIPTION]. Similarly, the shipment date listed on the MEDA ZZ invoice and packing list is only two days later than the date Mr. Wang stated that [EVENT DESCRIPTION].

¹²⁷ *Id.* at Exhibit J, pages 546, 548-549, 569.

¹²⁸ *Id.* at Exhibit J, page 829.

¹²⁹ *Id.* at Exhibit J, pages 828-829.

¹³⁰ *Id.* at Exhibit J, pages 868-881.

¹³¹ *Id.* at Exhibit J, page 846.

¹³² *Id.*

¹³³ *Id.* at Exhibit J, pages 109, 868-869, 910, 946, 948. The pro forma invoice number was [NUMBER].

Moreover, Mr. Wang clearly references the Chinese-origin and subsequent transshipment of both entries in multiple emails to Top Shop. With reference to entry [NUMBER]1621, Mr. Wang stated, “[

	SITUATION DESCRIPTION
	].” ¹³⁴ Mr. Wang then told Top Shop, “[
EVENT DESCRIPTION	].” ¹³⁵ Finally, with reference to entry [NUMBER
]6307, Mr. Wang stated, “[	EVENT DESCRIPTION].” ¹³⁶

In addition to transshipment, record evidence indicates that Top Shop misclassified some of entry [NUMBER]6307’s merchandise. Shortly after Top Shop ordered its merchandise in [DATE], Mr. Wang acknowledged that the order contained QSP in two emails and listed the QSP product [PRODUCT NUMBER] on the pro forma invoice.¹³⁷ In an [DATE] email, Mr. Wang again confirmed that the order contained QSP.¹³⁸ The next day, the entry’s commercial invoice, purportedly issued by MEDA ZZ, described the merchandise as “[PRODUCT].”¹³⁹ Top Shop subsequently declared to CBP that this entry contained [PRODUCT] and [PRODUCT].¹⁴⁰ In its RFI responses, Top Shop acknowledged that this entry contained QSP instead of [PRODUCT] and that it [EVENT DESCRIPTION], just after CBP issued the notice of initiation and interim measures.¹⁴¹ Interestingly, shortly before this entry entered the United States, Mr. Wang asked Top Shop, “[INQUIRY DESCRIPTION]?”¹⁴²

Additional record evidence reveals [COMPANY]’s involvement in the entry’s misclassification. [COMPANY] is a freight forwarder. Top Shop stated that it “[SITUATION DESCRIPTION].”¹⁴³ Likewise, Top Shop stated that “Mr. Wang of Newstar Stone provided OEC Logistics, Inc., {and} Top Shop ... with the records and information used to file the CBP entries.”¹⁴⁴ [COMPANY] issued the entry’s bill of lading [EVENT DESCRIPTION] and described the merchandise as “[PRODUCT].”¹⁴⁵ The same day the merchandise arrived in the United States, [COMPANY] asked Top Shop “[INQUIRY DESCRIPTION]”¹⁴⁶ Top Shop responded that the “[STATEMENT].”¹⁴⁷ In spite of this, a few days later [COMPANY] declared to CBP that the entry contained [PRODUCT] rather than QSP.¹⁴⁸

Although [COMPANY] declared that the merchandise was Malaysian origin, record evidence indicates it was likely aware that the entry originated in China. On [DATE], [COMPANY]

¹³⁴ *Id.* at Exhibit J, page 915.

¹³⁵ *Id.* at Exhibit J, page 913.

¹³⁶ *Id.* at Exhibit J, page 606.

¹³⁷ *Id.* at Exhibit D, page 5, and Exhibit J, pages 604-605.

¹³⁸ *Id.* at Exhibit J, page 543.

¹³⁹ *Id.* at Exhibit D, page 6.

¹⁴⁰ *Id.* at Exhibit D, page 1.

¹⁴¹ *Id.* at 4, 10; *see also* Top Shop Supplemental RFI at 5.

¹⁴² *See* Top Shop RFI at Exhibit J, page 397.

¹⁴³ *See* Top Shop Supplemental RFI at 5.

¹⁴⁴ *Id.* at 6.

¹⁴⁵ *Id.* at Exhibit D, page 13.

¹⁴⁶ *See* Top Shop RFI at Exhibit D, page 1, and Exhibit J, page 232. The arrival date was [DATE].

¹⁴⁷ *Id.*

¹⁴⁸ *Id.* at Exhibit D, page 1.

told Top Shop that “[STATEMENT ON SITUATION]”
and that the “[STATEMENT ON SITUATION]”.¹⁴⁹ Top Shop
replied, “[QUESTIONS]{?}”¹⁵⁰
CBP research revealed that the only [CITY] in [COUNTRY] is not a port but a clothing
store.¹⁵¹ Furthermore, [CITY] is a Chinese port south of Xiamen Port.¹⁵²

[COMPANY] has offices in [COUNTRY]; [CITY, COUNTRY]; the [COUNTRY]; and
elsewhere.¹⁵³ Record correspondence indicates that its personnel in these widespread locations
coordinated with each other on shipment logistics and other matters.¹⁵⁴ In light of this freight
forwarder’s coordination among its widely distributed office locations, and the resulting
familiarity with the related shipping routes, it is unlikely it would have been unaware of this
Chinese port or mistaken it for a nonexistent port in [COUNTRY]. Even if [COMPANY]
personnel believed that there was a [CITY] Port in [COUNTRY], the resulting shipping route,
Malaysia to [COUNTRY] to the United States, would have indicated that something was
incorrect. According to this shipped route, the [DESCRIPTION] would travel thousands of
miles [LOCATION], transfer the merchandise to a [DESCRIPTION] in [COUNTRY], and
then again travel thousands of miles [LOCATION] to the U.S. delivery port. As such, [CITY
]’s actual location between Xiamen Port and Port Klang corroborates the [SITUATION
DESCRIPTION]’s email better than its purported and false location in [COUNTRY].

Like Top Shop, evidence on the record indicates that another importer, FTR, imported Chinese-
origin merchandise through Malaysia under similar circumstances. FTR is a Connecticut-based
company that imports QSP and kitchen cabinets.¹⁵⁵ FTR claimed that it “has no affiliated
companies” and “No Parent companies or Subsidiaries{.}”¹⁵⁶ However, record evidence
indicates that this is incorrect and that FTR is affiliated with Navarino Property [COMPANY]
(Navarino Property) and multiple other companies. As a result, FTR did not provide multiple
documents pertaining to affiliates that CBP requested, as described below. The FTR Allegation
contained a June 2020 change of address form to the Connecticut state government listing the
office manager, [NAME], as FTR’s authorizer and signatory.¹⁵⁷ FTR also listed [NAME] as
an FTR employee on its organization chart.¹⁵⁸ Significantly, the change of address form denoted
her email domain as @navarinoproperty.com, which indicates her employment with Navarino
Property as well.¹⁵⁹ Similarly, FTR’s owner, [NAME], has an [EMAIL DOMAIN] email
domain.¹⁶⁰

¹⁴⁹ *Id.* at Exhibit J, pages 146, 148.

¹⁵⁰ *Id.* at Exhibit J, page 205.

¹⁵¹ See July 1 Memorandum at Attachment 10, pages 1-2, 4.

¹⁵² *Id.* at Attachment 10, pages 5-8.

¹⁵³ See Top Shop RFI at Exhibit J, pages 206, 1290, and Exhibit D, page 2.

¹⁵⁴ See, e.g., Top Shop RFI at Exhibit J, pages 3, 6, 136, 147, 569, 1290.

¹⁵⁵ See FTR Allegation; see also FTR RFI at 4, 16, and Exhibit B; see also July 19 Memorandum at Attachment 24.

¹⁵⁶ See FTR RFI at 3, 9.

¹⁵⁷ See FTR Allegation at Exhibit 4; see also October 27 Memorandum at Attachment 7.

¹⁵⁸ See FTR RFI at Exhibit C.

¹⁵⁹ See FTR Allegation at Exhibit 4; see also October 27 Memorandum at Attachment 7.

¹⁶⁰ See FTR CF-28 Response at 5; see also FTR RFI at Exhibit H(2), page 5.

Navarino Property's website states that [NAME] and [NAME] co-founded Navarino Property and [COMPANY].¹⁶¹ It further explains that "[

SITUATION DESCRIPTION

]."¹⁶² Moreover, the signature block of FTR's owner, [NAME], stated "[COMPANY]," which indicates his simultaneous employment with [COMPANY] and FTR and corroborates FTR's affiliation with Navarino Property.

In light of the preceding two paragraphs and affiliation-related information discussed later in this section, CBP determines that FTR is affiliated with multiple other companies. FTR responded to CBP's RFIs under the pretense that it did not have any affiliates.¹⁶³ Consequently, FTR withheld the following affiliate-related items from CBP: website addresses, articles of incorporation, a list of offices, business registration numbers, physical addresses, telephone numbers, an organization chart that includes affiliates, an explanation of FTR's business relationships with its affiliates, affiliates' list of leadership, and external communication between affiliates and any other parties concerning the relevant MEDA ZZ entry.¹⁶⁴ CBP uses this information to gain an accurate understanding of the importer and the context in which it operates. As such, FTR impeded this investigation by providing a false answer and withholding information.

Regarding importation, FTR declared one entry to CBP from MEDA ZZ during the period of investigation.¹⁶⁵ In response to CBP's requests for information, FTR provided conflicting information about its contact with MEDA ZZ claiming that FTR ordered the merchandise from [COMPANY].¹⁶⁶ FTR stated that its relationship with [COMPANY] began in 2015 and that [NAME] was its contact for this entry.¹⁶⁷ [EMAIL ADDRESS] was cc'ed in several emails with [NAME]; however, this email address' owner is unknown.¹⁶⁸ FTR claimed that it never communicated with [COMPANY]'s [POSITION AND NAME].¹⁶⁹ However, [COMPANY]'s pro forma invoice indicates that it was "[DESCRIPTION]," which indicates his involvement nonetheless.¹⁷⁰ Additionally, [NAME] shares the same telephone and fax numbers with [NAME].¹⁷¹

FTR initially gave several answers conveying that it communicated with MEDA ZZ. For example, while explaining how it confirmed the QSP's country of origin, FTR stated that "Origin was conferred through our communication with the factory."¹⁷² When CBP requested FTR's correspondence with MEDA ZZ, FTR replied that it "is collecting the information and will forward once complete."¹⁷³ Moreover, FTR expressly stated that it received MEDA ZZ's list of

¹⁶¹ See July 19 Memorandum at Attachment 24, page 1; see also October 27 Memorandum at Attachment 7, pages 4, 7, 40-43, 60, 62-63, 65-66.

¹⁶² See July 19 Memorandum at Attachment 24, page 1; see also October 27 Memorandum at Attachment 7.

¹⁶³ See FTR RFI at 3, 8-10, 15.

¹⁶⁴ *Id.* This is entry [NUMBER]0823.

¹⁶⁵ *Id.* at Exhibit H(2).

¹⁶⁶ See FTR Supplemental RFI at 4.

¹⁶⁷ *Id.* at 4 and Exhibit B.

¹⁶⁸ *Id.* at Exhibit D, page 6; and Exhibit F, pages 4-5; and Exhibit P, pages 1-2.

¹⁶⁹ *Id.* at 5.

¹⁷⁰ *Id.* at Exhibit C, pages 2, 5, 7.

¹⁷¹ *Id.* at Exhibit B, page 2. These numbers are "[NUMBERS]."

¹⁷² See FTR RFI at 3.

¹⁷³ *Id.* at 12.

owners and corporate officers, raw material invoices, and Malaysian certificate of origin “From MEDA ZZ.”¹⁷⁴ In contrast, FTR later admitted in its supplemental response that it “had no direct communication with MEDA ZZ” and that it actually received these documents “from [NAME] from [COMPANY].”¹⁷⁵

FTR ordered QSP product number [NUMBER] from [NAME].¹⁷⁶ Several facts surrounding this merchandise collectively indicate its Chinese origin. For example, [NAME]’s contact information indicates that she is located in China. Her [DESCRIPTION], one of her email addresses is [EMAIL ADDRESS], and her telephone and mobile numbers both have a Chinese country code.¹⁷⁷ Moreover, [NAME]’s employer, [COMPANY], is a QSP producer in China that does not have any Malaysian factories.

[COMPANY] discusses its QSP production in a section of its website where it also lists product numbers. Like Top Shop, FTR ordered a [COMPANY] QSP product number from one of [COMPANY]’s websites.¹⁷⁸ Also like Top Shop, the packing list for FTR’s entry listed “[DESCRIPTION].”¹⁷⁹ It is worth repeating that [EVENT DESCRIPTION] Top Shop’s QSP in China, but it facilitated the evasion of that merchandise and attempted to persuade Top Shop to submit false payment information. Moreover, the main facilitator of that evasion, [NAME], also [DESCRIPTION] FTR’s pro forma invoice, which indicates his involvement with this entry.

Like Top Shop, the payments for FTR’s entry went to [COMPANY]’s [CITY]-based bank rather than to [COMPANY]’s bank.¹⁸⁰ The fact that these payments went to a [CITY]-based bank is most consistent with a scenario in which the merchandise originated in China. Because [COMPANY AND LOCATION] bank received these payments and it is the manufacturer that produced Top Shop’s QSP in China, it is apparent that [COMPANY] also produced FTR’s QSP at one of its Chinese facilities. Although Top Shop claimed that [COMPANY] had a Malaysian factory to which it could refer production, it is more likely that [COMPANY] would use one of its Chinese facilities than refer production to a Malaysian factory because it has employees and retrospective capital costs in China that would not be utilized if it referred production elsewhere.¹⁸¹ The existence of MEDA ZZ’s QSP production remains unsubstantiated, which also casts doubt on any alleged referral from [COMPANY].¹⁸²

¹⁷⁴ *Id.* at 17.

¹⁷⁵ *Id.* at 4, 12.

¹⁷⁶ See FTR Supplemental RFI at Exhibit C, page 1, and Exhibit F, page 5.

¹⁷⁷ *Id.* at Exhibit B, page 2, and Exhibit C, page 3.

¹⁷⁸ *Id.* at Exhibit B, page 1, and Exhibit F, page 5; see also July 1 Memorandum at Attachment 9, page 11. FTR also requested a quote on [COMPANY] product [NUMBER], which is listed on [COMPANY]’s website. See October 27 Memorandum at Attachment 12.

¹⁷⁹ See FTR Supplemental RFI at Exhibit B, page 4.

¹⁸⁰ See FTR RFI at 5-6.

¹⁸¹ See Top Shop RFI at 5, 13.

¹⁸² See FTR CF-28 Response at 10; see also July 1 Memorandum at Attachment 9; see also February 16 Memorandum at Attachment 2; see also February 9 Memorandum at Attachment 2, pages 1, 4, which states that MEDA ZZ is engaged in “manufacturing and selling wood and iron-based furniture, selling women accessories and beauty products.”

With respect to the payments, FTR repeatedly stated that its U.S. “customer paid the foreign vendor directly.”¹⁸³ FTR also stated that it “did not issue a separate invoice to its customers. Rather, FTR forwarded the foreign vendor’s invoice to its domestic customers for payment.”¹⁸⁴ This is a very unusual business practice because importers normally pay exporters directly to prevent their customers from directly ordering from the exporter and potentially replacing them in future orders.¹⁸⁵ Additionally, it is unusual that FTR did not receive a purchase order from its customers for the QSP.¹⁸⁶ Nevertheless, the payment situation FTR described is plausible in this instance because the entry’s three customers are FTR affiliates that were not reported to CBP.

FTR stated that the entry’s three customers were [COMPANY], [COMPANY], and [COMPANY].¹⁸⁷ FTR and several websites specified that these three customers, FTR, and Navarino Property shared the following agents, principals, telephone numbers, email addresses, and physical addresses:

- FTR listed a telephone number for each of the entry’s three customers that is linked to FTR and to Navarino Property.¹⁸⁸
- FTR listed [EMAIL ADDRESS] as the email address for each of the entry’s three customers.¹⁸⁹
- The Connecticut Secretary of State website listed contact email addresses with an @navarinoproperty.com domain for FTR, Navarino Property, [COMPANY], [COMPANY], and [COMPANY].¹⁹⁰
- The Connecticut Secretary of State website listed [NAME] as the agent for Navarino Property, [COMPANY], [COMPANY], and the entry’s three customers.¹⁹¹
- The Connecticut Secretary of State website listed [COMPANY] as the principal for each of the entry’s three customers.¹⁹²
- The Connecticut Secretary of State and two other websites indicated that Navarino Property, [COMPANY], [COMPANY], [COMPANY], [COMPANY], [COMPANY], [COMPANY], and [COMPANY] share the address [ADDRESS].¹⁹³
- The Connecticut Secretary of State website indicated that Navarino Property, [COMPANY], and [COMPANY] share the address [ADDRESS].¹⁹⁴

The affiliation information collectively demonstrates that FTR is affiliated to Navarino Property, [COMPANY], [COMPANY], and the entry’s three customers. Because [COMPANY] and

¹⁸³ See FTR RFI at 5, 8, 13-14, 17; see also FTR Supplemental RFI at 8-9, 11.

¹⁸⁴ See FTR Supplemental RFI at 11.

¹⁸⁵ See, e.g., Gin RFI at 12; see also Next Generation RFI at 40; see also RQ Sales Colorado RFI at 1476.

¹⁸⁶ See FTR Supplemental RFI at 11.

¹⁸⁷ See FTR RFI at 7; see also FTR Supplemental RFI at 3.

¹⁸⁸ See FTR RFI at 7; see also October 27 Memorandum at Attachment 7, pages 1-3, 23, 40. This telephone number was [NUMBER].

¹⁸⁹ *Id.*

¹⁹⁰ See Allegation at Exhibit 4; see also October 27 Memorandum at Attachment 7.

¹⁹¹ See October 27 Memorandum at Attachment 7. [NAME] is also listed in two instances; however, this appears to be a mistake with the first name because [TWO NAMES] are both listed at the same address: [ADDRESS].

¹⁹² *Id.*

¹⁹³ *Id.*

¹⁹⁴ *Id.*

each of the entry's three customers have [ABBREVIATION] in their names and are affiliated with [COMPANY], [ABBREVIATION] appears to be an abbreviation for [COMPANY].¹⁹⁵ The entry's international wire payment listed "[COMPANY]" as the "[DESCRIPTION]."¹⁹⁶ As previously noted, FTR's owner also works for [COMPANY].¹⁹⁷ Correspondingly, FTR's owner told an employee of [COMPANY] that "[STATEMENT],"¹⁹⁸ which further corroborates FTR's affiliation with its three customers and with [COMPANY].¹⁹⁸

The preceding payment information is pertinent because FTR's statement that its "customer paid the foreign vendor directly" coupled with its repeated denial of its affiliates concealed some of the information CBP requested and, thus, inhibited the investigation.¹⁹⁹ Furthermore, FTR had similar practices with its correspondence records. FTR identified "Email or Wechat" as the source of the various records and information used to file CBP entries.²⁰⁰ FTR stated "This was via WeChat - FTR no longer has the records. They were lost when FTR got a new phone."²⁰¹

Regarding its emails, FTR provided only 14 emails spanning six months, from the QSP's quotation request until its entry.²⁰² In one of these emails, [NAME] asked FTR, "[

QUESTIONS

]"²⁰³ Although this was an important email that anticipated a response, FTR did not provide the response to CBP. Because CBP requested all communications related to this entry, the most likely scenarios are that FTR withheld its response, or its response was among the purportedly erased WeChat records.

FTR provided an email dated several months after the MEDA ZZ entry in which its customs broker sent CBP's CF-28 to FTR.²⁰⁴ This email demonstrates that FTR communicated by email to convey documentation. FTR provided several emails with its customs broker from an entry prior to the MEDA ZZ entry.²⁰⁵ FTR further provided two emails in which [COMPANY] cc'ed its customs broker.²⁰⁶ These emails demonstrated that FTR emailed its customs broker multiple times and that its claim that it did not have any other communications with its customs broker or freight forwarders pertaining to this entry is unlikely.²⁰⁷ In light of the previous information, CBP believes that FTR withheld much of its communications pertaining to this entry from CBP.

¹⁹⁵ *Id.*

¹⁹⁶ See FTR RFI at Exhibit H(2), page 9. "[COMPANY]" is also listed on the "[DESCRIPTION]" line, which further connects the payments to [COMPANY].

¹⁹⁷ See FTR Supplemental RFI at Exhibit F, pages 2, 7.

¹⁹⁸ *Id.* at Exhibit D, page 1.

¹⁹⁹ *Id.* at 8-9, 11; see also FTR RFI at 5, 7, 13-14, 17.

²⁰⁰ See FTR RFI at 5.

²⁰¹ See FTR Supplemental RFI at 2.

²⁰² See FTR RFI at Exhibit B, pages 1-2; Exhibit D, pages 1-2; and Exhibit F, pages 4-7. These 14 emails spanned from [DATE] to [DATE].

²⁰³ See FTR Supplemental RFI at Exhibit D, page 2.

²⁰⁴ *Id.* at Exhibit R, page 4; see also FTR RFI at 2.

²⁰⁵ See FTR Supplemental RFI at Exhibit D, pages 3-6. These emails were with [NAME].

²⁰⁶ *Id.* at Exhibit B, page 1.

²⁰⁷ *Id.* at 11.

FTR claimed that the QSP at issue was outside the scope of the AD/CVD Orders because MEDA ZZ manufactured it onsite in Malaysia from raw materials.²⁰⁸ As such, FTR provided several documents portraying MEDA ZZ's purchase and payment for raw materials that were purportedly used in their QSP.²⁰⁹ Gold Stone, Granite Collection, and Ilkem provided the same MEDA ZZ raw material purchase and payment documents but did not provide any documentation as to whether these raw materials were sufficient to produce all of their collective QSP orders.²¹⁰ FTR also provided a purported MEDA ZZ production schedule that listed the number of QSP slabs and their purported production dates.²¹¹ The production schedule did not list any raw material names or quantities; therefore, MEDA ZZ's purported raw material purchases and their amounts could not be linked to the production of FTR's QSP specifically. Furthermore, because MEDA ZZ did not respond to CBP's requests for information, its production capabilities remain unsubstantiated.²¹² Accordingly, the authenticity and accuracy of FTR's raw material and production documents also remains unsubstantiated.

Several considerations call the authenticity of these raw material and production documents into question. First, the fact that FTR changed its statement that it received the raw material documents "From MEDA ZZ" to "from [NAME] from [COMPANY]" casts doubt on their reliability.²¹³ Second, [COMPANY] is a QSP producer in China and, therefore, was able to produce the QSP. Third, record evidence demonstrates that [COMPANY]'s [NAME] attempted to surreptitiously alter Top Shop's documents. Because FTR received these items from [COMPANY] and [NAME AND DESCRIPTION] one of FTR's documents, CBP cannot rule out that [EVENT DESCRIPTION] likewise altered these documents. Fourth, Top Shop provided MEDA ZZ raw material and production schedule documents that are similar in appearance to FTR's documents.²¹⁴ However, because [NAME] explicitly stated that Top Shop's merchandise was produced in China, Top Shop's raw material and production schedule documents cannot be authentic perforce.²¹⁵ This shows that Top Shop's raw material and production schedule documents were fabricated and because FTR also dealt with [COMPANY], its documents were likely fabricated as well.

CBP's regulations at 19 CFR 165.5(b)(3) state that "Any interested party that provides a material false statement or makes a material omission or otherwise attempts to conceal material facts at any point in the proceedings may be subject to adverse inferences (see § 165.6){.}" Likewise, pursuant to 19 USC 1517(c)(3) and 19 CFR 165.6, CBP may apply an adverse inference if the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with

²⁰⁸ See FTR RFI at 23.

²⁰⁹ See FTR CF-28 Response at 14-20, 27.

²¹⁰ See Gold Stone RFI at Exhibit E, pages 2-9; see also Granite Collection RFI at Exhibit J, pages 2-9; see also Ilkem RFI at Exhibit L, pages 2-9.

²¹¹ See FTR CF-28 Response at 13.

²¹² See February 9 Memorandum at Attachment 2. This attachment indicates that MEDA ZZ is engaged in "manufacturing and selling wood and iron-based furniture, selling women accessories and beauty products." See also February 16 Memorandum at Attachment 2. This attachment shows Google Maps images of MEDA ZZ's two addresses. One of these addresses is a house and the other is a shopping center.

²¹³ See FTR RFI at 17; see also FTR Supplemental RFI at 12.

²¹⁴ See Top Shop RFI at Exhibit J, pages 112, 116-117, 120-121, 124-125, 127, 129, 131-132.

²¹⁵ *Id.* at Exhibit J, pages 915.

an RFI made by CBP. In applying an adverse inference against a party, CBP may use the facts otherwise available to make a final determination as to evasion pursuant to 19 USC 1517(c)(1)(A) and 19 CFR 165.27. Moreover, an adverse inference may be used with respect to U.S. importers, foreign producers, and manufacturers “without regard to whether another person involved in the same transaction or transactions under examination has provided the information sought by CBP....”

CBP repeatedly advised FTR that “If you fail to cooperate and comply to the best of your ability with Section 1 of this request, CBP may apply an inference adverse to FTR’s interest and select from among the facts otherwise available to make the determination as to evasion pursuant to 19 CFR 165.27.”²¹⁶ CBP also told FTR that “Should you or the owner/provider of requested material provide false statements or make a material omission or otherwise attempt to conceal material facts at any point in the proceedings, associated parties may be subject to adverse inferences mentioned above{.}”²¹⁷ FTR did not provide information that CBP requested to substantiate its claims of payment or specific order details. In particular, FTR did not provide all of its emails to [NAME] or to its customs broker and other logistical personnel.²¹⁸ Moreover, FTR claimed that it “has no affiliated companies” and “No Parent companies or Subsidiaries” and yet FTR is affiliated with Navarino Property and multiple other companies.²¹⁹ Consequently, FTR did not provide multiple documents under the premise that it did not have any affiliates, which inhibited CBP’s investigation.²²⁰

In relying on an adverse inference for failure to cooperate and comply to the best of one’s ability with a request for information, CBP will look at the facts otherwise available. In this case CBP relies on the facts from the Allegation that indicate that FTR imported Chinese-origin QSP from China.²²¹ As a result, FTR’s entry from MEDA ZZ will be subject to the China-wide entity rate for the AD Order and the all-others rate for the CVD Order on QSP from China.²²²

In conclusion, multiple facts on the record establish that Top Shop’s and FTR’s QSP was misclassified and/or transshipped through MEDA ZZ in Malaysia.

- Top Shop ordered its merchandise from Newstar, a Chinese producer of QSP, rather than from MEDA ZZ.
- Top Shop paid Newstar’s bank rather than MEDA ZZ’s bank.
- The product number Top Shop ordered is a Newstar product number and was selected from Newstar’s Benyeequartz website.

²¹⁶ See FTR Supplemental RFI at Exhibit A, page 1.

²¹⁷ *Id.* at Exhibit A, page 2.

²¹⁸ *Id.* at Exhibit D, page 2.

²¹⁹ See FTR RFI at 3, 9.

²²⁰ *Id.* at 17.

²²¹ See FTR Allegation at 1, 6-13, and Exhibit 3.

²²² The applicable China-Wide Entity rate for the AD order is 326.15 percent and the applicable All Others rate for the CVD order is 45.32 percent. See *Certain Quartz Surface Products from the People’s Republic of China: Final Affirmative Determination of Sales at Less Than Fair Value, and Final Affirmative Determination of Critical Circumstances*, 84 FR 23767 (May 23, 2019); see also *Certain Quartz Surface Products from the People’s Republic of China: Final Affirmative Countervailing Duty Determination, and Final Affirmative Determination of Critical Circumstances*, 84 FR 23760 (May 23, 2019).

- Some of Top Shop's sales documents referenced [CITY].
- Newstar's Kob Wang attempted to create fraudulent payment documentation and to persuade Top Shop to provide false information to CBP.
- Mr. Wang expressly referenced Top Shop entry [NUMBER]1621's production in China and subsequent transshipment through Malaysia. Mr. Wang also stated that entry [NUMBER]6307 was transshipped through Malaysia.
- Record evidence demonstrates that Top Shop entry [NUMBER]6307's QSP was misclassified as [PRODUCT].
- FTR ordered its merchandise from [COMPANY], a Chinese producer of QSP, rather than from MEDA ZZ.²²³
- FTR, through its affiliates, paid [COMPANY]'s bank in [CITY, COUNTRY] rather than MEDA ZZ's bank.²²⁴
- FTR ordered a [COMPANY] QSP product number from [COMPANY]'s website.²²⁵
- The packing list for FTR's entry indicated Chinese origin, viz. "[DESCRIPTION]."²²⁶
- FTR provided incomplete correspondence records to CBP, which prevents further corroboration of their claims.²²⁷
- [NAME] was involved with FTR's entry. [NAME] admitted in an email that Top Shop's QSP was made in China.
- [NAME] attempted to falsify Top Shop's payment documents. Because [NAME] was involved in this entry, we have reason to doubt the veracity of FTR's documentation, such as the MEDA ZZ raw material and production schedule documents.

Consequently, based on the aforementioned analysis of relevant evidence, CBP determines that substantial evidence exists demonstrating that, by means of material false statements or omissions, Top Shop and FTR entered Chinese-origin QSP subject to the AD/CVD Orders and failed to pay the requisite duties.

U.S. Importer - GHS

GHS is a Michigan-based importer of QSP and sinks.²²⁸ GHS imported three entries of QSP from Stone Direct during the period of investigation. GHS stated that after the AD/CVD Orders "[SITUATION DESCRIPTION] ... referred GHS to [COMPANY AND LOCATION]."²²⁹ GHS stated that it did not correspond with Stone Direct but instead corresponded with [NAME], also known as [NAME], of [COMPANY].²³⁰

²²³ See FTR Supplemental RFI at Exhibit C, page 1, and Exhibit F, page 5.

²²⁴ See FTR RFI at 5-6.

²²⁵ See FTR Supplemental RFI at Exhibit B, page 1, and Exhibit F, page 5; see also July 1 Memorandum at Attachment 9, page 11.

²²⁶ See FTR Supplemental RFI at Exhibit B, page 4.

²²⁷ See FTR RFI at 5 and Exhibit B, pages 1-2; Exhibit D, pages 1-2; and Exhibit F, pages 4-7. These 14 emails spanned from [DATE] to [DATE].

²²⁸ See GHS CF-28 Response at 6; see also GHS Sect D RFI at Exhibit D.1.d, page 2.

²²⁹ See GHS Sect A-C&E RFI at 5-6.

²³⁰ *Id.* at 6, 13, 15; see also GHS Supplemental RFI at 6.

GHS further stated that [COMPANY] “partnered” with Stone Direct and “is the HK branch of the company.”²³¹ GHS paid [COMPANY] for the entries rather than Stone Direct.²³²

Although GHS twice claimed that its relationship with [COMPANY] began in [DATE], that date is contradicted by multiple documents on the record.²³³ Bank statements indicate that GHS made a payment to [COMPANY]’s [NAME] in [DATE].²³⁴ [NAME] emailed GHS in [DATE].²³⁵ Furthermore, [COMPANY] sent GHS a proposal document in [DATE].²³⁶ Therefore, GHS’ relationship with [COMPANY] is at least seven months older than the company previously claimed and predates the [DATE AND DESCRIPTION] and [COMPANY]’s [DATE] registration in Hong Kong.²³⁷

Multiple facts indicate that [COMPANY] and [COMPANY] are affiliated companies. [COMPANY] knew of [COMPANY]’s existence at least six months before it was registered. Accordingly, [COMPANY] referred GHS to [COMPANY] no later than the [DATE] proposal document.²³⁸ [NAME]’s email address corroborated his affiliation with [COMPANY] and [COMPANY], *viz.* “[EMAIL ADDRESS]”²³⁹ Correspondingly, a [COMPANY] employee named “[NAME]” authored numerous articles on [COMPANY]’s website from 2018 to 2021.²⁴⁰

In a [DATE] email, [NAME] told GHS that the “[EVENT DESCRIPTION].”²⁴¹ GHS placed this email in an exhibit for entry [NUMBER]4081; however, that entry’s documents do not mention [PRODUCT].²⁴² The email’s date and reference to [PRODUCT] better fit entry [NUMBER]1591 from [COMPANY], which contained [PRODUCT] and entered on [DATE].²⁴³ GHS corresponded with [COMPANY]’s [NAME] on this entry from [COMPANY], which is consistent with his affiliation with [COMPANY].²⁴⁴ In contrast, in a previous entry from [COMPANY], GHS directly corresponded with [COMPANY] through its [POSITION AND NAME].²⁴⁵ It is unusual that GHS would order an entry directly from [COMPANY] and later order a [COMPANY] entry from an intermediary that would add an additional fee of some sort for its services. Moreover, [COMPANY] and [COMPANY]’s affiliation becomes increasingly perspicuous in light of the following email.

In this email, [NAME] asked GHS to “[

²³¹ See GHS Sect A-C&E RFI at 6, 13, 15; *see also* GHS Supplemental RFI at 10.

²³² See GHS Sect A-C&E RFI at 18.

²³³ *Id.* at 13, 15.

²³⁴ *Id.* at Exhibit C.4.a, page 11.

²³⁵ See GHS Supplemental RFI at Exhibit C 6019-2, page 1.

²³⁶ See GHS Sect D RFI at Exhibit D.1.b, page 3.

²³⁷ See October 27 Memorandum at Attachment 9, page 2.

²³⁸ See GHS Sect D RFI at Exhibit D.1.b, page 3; *see also* October 27 Memorandum at Attachment 9, page 2.

²³⁹ See GHS Supplemental RFI at Exhibit H 4081-1, page 1.

²⁴⁰ See October 27 Memorandum at Attachment 9, pages 21-25.

²⁴¹ See GHS Supplemental RFI at Exhibit H 4081-1, page 2.

²⁴² See GHS Sect D RFI at Exhibit D.1.e; *see also* GHS Supplemental RFI at Exhibit D 4081-1.

²⁴³ See GHS Supplemental RFI at 15, 17.

²⁴⁴ *Id.* at Exhibit D 4081-1.

²⁴⁵ *Id.* at Exhibit D 2615-1. This was entry [NUMBER]2615, which entered on [DATE]. See GHS Sect D RFI at Exhibit D.1.c, pages 2, 14; *see also* October 27 Memorandum at Attachment 9, page 25.

REQUEST DESCRIPTION]”²⁴⁶ Significantly, GHS responded “[RESPONSE DESCRIPTION]”²⁴⁷ GHS likewise stated “[NAME]” in its previous emails to [COMPANY]’s [NAME].²⁴⁸ Because GHS stated “[NAME]” to [NAME]’s and [NAME], because of [NAME]’s dual affiliation to [COMPANY] and [COMPANY], and because [NAME] and [NAME] share the same [DESCRIPTION], [COMPANY]’s [POSITION NAME] is the same person as [COMPANY]’s [NAME].²⁴⁹ The preceding facts considered together indicate that [COMPANY] is an affiliate of the [DESCRIPTION/COMPANY].

In contrast, GHS made multiple statements implying [COMPANY] and [COMPANY] were separate entities:

- “[COMPANY] referred GHS to [COMPANY AND SITUATION DESCRIPTION] GHS was seeking.”²⁵⁰
- “[COMPANY] – GHS’s relationship started with this supplier in [DATE].... [COMPANY] - GHS’s relationship started with this supplier in [DATE].”²⁵¹
- “GHS is aware that [COMPANY] has [EVENT DESCRIPTION] from [COMPANY].”²⁵²
- “[COMPANY] sourced the [PRODUCT] from [COMPANY] in [COUNTRY].”²⁵³
- “GHS in choosing to source product outside of CN utilized a sample ([NUMBER]) from [COMPANY] asking [COMPANY] if they were able to produce the same in Malaysia.”²⁵⁴

In response to CBP’s question about whether [COMPANY] and [COMPANY] were affiliated companies, GHS responded, “No. GHS is not aware of any affiliation between [COMPANY] and [COMPANY].”²⁵⁵ However, the fact that GHS responded “[NAME]” to [NAME]’s [COMPANY] and [COMPANY] email addresses indicates that GHS was aware that [NAME] was the same person as [NAME] and that, correspondingly, [COMPANY] was affiliated to [COMPANY].²⁵⁶ Because GHS was aware of [COMPANY] and [COMPANY]’s affiliation and yet stated that they were not affiliated, CBP determines that GHS withheld material information from CBP.

²⁴⁶ See GHS Supplemental RFI at Exhibit C 6019-2, page 1. [NAME] sent this email from his [COMPANY] email address.

²⁴⁷ *Id.* at Exhibit C 6019-2, page 1.

²⁴⁸ *Id.* at Exhibit D 2615-1.

²⁴⁹ *Id.* at 1 and Exhibits C 6019-2 and D 2615-1; *see also* GHS Sect D RFI at Exhibit C.1.c, page 11; *see also* October 27 Memorandum at Attachment 9, pages 21-25.

²⁵⁰ See GHS Sect A-C&E RFI at 5-6.

²⁵¹ *Id.* at 13-14.

²⁵² See GHS Supplemental RFI at 2.

²⁵³ *Id.* at 15, 18.

²⁵⁴ *Id.* at 5.

²⁵⁵ *Id.* at 1-2.

²⁵⁶ *Id.* at 1 and Exhibits C 6019-2 and D 2615-1; *see also* GHS Sect D RFI at Exhibit C.1.c, page 11.

GHS asserted multiple times that [COMPANY] is a Hong Kong branch of [COMPANY].²⁵⁷ However, GHS provided no substantiation for this assertion. As previously noted, record evidence indicates that [COMPANY] is actually a Hong Kong branch of [COMPANY]. Although GHS claimed that [COMPANY] was in Hong Kong, CBP's research casts doubt on whether [COMPANY] maintains a physical presence in Hong Kong. CBP research revealed more than 16 companies listed at the same address and room number that GHS provided for [COMPANY].²⁵⁸ Additionally, multiple companies claimed the same telephone number that GHS provided for [COMPANY].²⁵⁹ Furthermore, CBP research did not locate any relevant online information corroborating [COMPANY] at this address and telephone number.²⁶⁰ These facts could indicate that [COMPANY] maintains a low internet presence and that multiple companies are simultaneously registered at the same address or they could indicate that [COMPANY] falsely used contact information that belonged to other companies. Regardless, these facts cast doubt on [COMPANY]'s physical presence in Hong Kong and indicate that [COMPANY] may have been set up solely as a company that appears separate from the [DESCRIPTION/COMPANY].

CBP requested all internal and external communications pertaining to the [DATES] entries at issue including all communications with their freight forwarder, customs broker, and [COMPANY].²⁶¹ However, GHS did not provide any correspondence pertaining to entry [NUMBER]0160 or to entry [NUMBER]0840's QSP.²⁶² GHS claimed that a computer became corrupted, "thus losing significant records."²⁶³ Curiously, although GHS ostensibly lost almost all emails pertaining to the period of investigation's QSP, eight emails from the period of investigation concerning out of scope [PRODUCT] escaped the deleterious computer corruption.²⁶⁴ Multiple other emails and instant messages pertaining to out of scope merchandise and entries before the period of investigation eluded the computer corruption as well:

- One screenshot of instant messages from [DATE] between GHS and [COMPANY].²⁶⁵
- Five [DATE] emails from [NAME]'s [COMPANY] email address concerning an entry before the period of investigation.²⁶⁶
- Fifteen [DATE] emails from [NAME]'s [COMPANY] email address concerning out of scope [PRODUCT].²⁶⁷

The fact that emails preceding the lost emails and concerning out of scope merchandise survived calls into question whether GHS actually lost the QSP-related emails or whether it withheld

²⁵⁷ See GHS Supplemental RFI at 5, 10, 13, 16.

²⁵⁸ See GHS Sect A-C&E RFI at 15; *see also* October 27 Memorandum at Attachment 9, pages 4-20. CBP's research on this address was not exhaustive; therefore, more companies could exist at this address.

²⁵⁹ See GHS Supplemental RFI at 1; *see also* October 27 Memorandum at Attachment 9, pages 4-20.

²⁶⁰ See GHS Supplemental RFI at 1; *see also* October 27 Memorandum at Attachment 9, page 1. The first result is an unrelated company. The website that referenced [COMPANY]'s registration in Hong Kong did not contain an address or telephone number for [COMPANY].

²⁶¹ See GHS Sect D RFI at 1-2; *see also* GHS Supplemental RFI at 2-18.

²⁶² See GHS Supplemental RFI at 2.

²⁶³ See GHS Sect D RFI at 2; *see also* GHS Supplemental RFI at 2, 4, 8-9, 12, 15, 18.

²⁶⁴ See GHS Supplemental RFI at Exhibits F 0840-2 and H 4081-1.

²⁶⁵ See GHS Sect A-C&E RFI at Exhibit A.7, page 1.

²⁶⁶ See GHS Supplemental RFI at Exhibit B 6019-2.

²⁶⁷ *Id.* at Exhibit D 2615-1.

them. Furthermore, GHS asserted that it “exhausted significant efforts” to provide the correspondence; however, the record does not substantiate these “significant efforts” or that GHS made any effort whatsoever to obtain the remaining correspondence from its customs broker, freight forwarder, or [COMPANY].²⁶⁸ This incomplete correspondence inhibited CBP’s investigation because what GHS provided either preceded the period of investigation or pertained to out-of-scope merchandise and almost entirely omitted its correspondence records pertaining to the negotiation, sales, transportation, and entry of the QSP at issue.

Additionally, with respect to its communications with its freight forwarder and [COMPANY], GHS stated that “much of the communications occurred by phone/text.”²⁶⁹ CBP explicitly instructed GHS to provide telephone records to substantiate this claim.²⁷⁰ Nevertheless, GHS did not provide its telephone records or explain its failure to do so.²⁷¹

Not only did GHS fail to provide relevant records, but the records they successfully kept contained numerous alleged “inadvertent” errors. These numerous errors bring the accuracy of GHS’ documentation into question:

- Regarding entry [NUMBER]4526, GHS claimed that “[EVENT DESCRIPTION]. The HTS code declared ([NUMBER] at [#]%) on [DESCRIPTION] of the entry should have been [NUMBER] at [#]% duty{.}”²⁷²
- “{T}he broker inadvertently summed the cost of the sink bracket (\$[NUMBER]) with the truck cost (\$[NUMBER]) declaring both (\$[NUMBER]) as the sink bracket.”²⁷³
- With reference to a payment discrepancy, GHS stated “As stated in the initial RFI response, Exhibit D.1.a, this is an inadvertent value error.”²⁷⁴
- Regarding a discrepancy between the commercial invoice and the proposal, GHS stated “As stated in the initial RFI response, Exhibit D.1.b, this is an inadvertent value error{.}”²⁷⁵
- Regarding a payment discrepancy, GHS stated “As stated in the initial RFI response, Exhibit D.1.b, this is an inadvertent value error identified while working on the initial RFI response.”²⁷⁶
- Regarding a freight deduction discrepancy, GHS stated that it was “An inadvertent oversight by the broker.”²⁷⁷
- CBP explained to GHS that the bill of lading, packing list, commercial invoice, affidavit, and information on raw material and production flow that it provided indicated that the merchandise in entry [NUMBER]0160 was composed of agglomerated quartz slabs of the type used for countertops, which should have been declared under HTSUS number

²⁶⁸ *Id.* at 2-3, 5, 8-9, 12, 15, 18.

²⁶⁹ *Id.* at 2-3.

²⁷⁰ *Id.*

²⁷¹ *Id.*

²⁷² *Id.* at 4.

²⁷³ *See* GHS Sect A-C&E RFI at 4.

²⁷⁴ *See* GHS Supplemental RFI at 4.

²⁷⁵ *Id.* at 5.

²⁷⁶ *Id.* at 8.

²⁷⁷ *Id.* at 11.

6810.99.²⁷⁸ It was only after CBP stated this that GHS asserted it made an “inadvertent classification error” and claimed to have corrected it.²⁷⁹

Record evidence demonstrates that GHS not only misclassified entry [NUMBER]0160 but also misclassified entry [NUMBER]4081, both of which are ostensibly from Stone Direct. GHS declared to CBP that this entry contained [#] crates of “bathroom vanity” that weighed [NUMBER] kg; was valued at \$[NUMBER]; and classified under HTSUS 9403.60.8081.²⁸⁰ This HTSUS classification denotes “other wooden furniture.”²⁸¹

The entry’s commercial invoice lists items with a [NUMBER] thickness, which is a standard QSP thickness, and the same total value as the CBP declaration.²⁸² Significantly, the packing list indicates that its items have the same thickness and are described as “[PRODUCT].”²⁸³ The packing list’s combined weight and crate quantity matches the CBP declaration, which corroborates that GHS’ entry contained “[PRODUCT]” and not wooden furniture.²⁸⁴

GHS provided drawings for two of the commercial invoice’s items, [NUMBER] and [NUMBER].²⁸⁵ These drawings’ dimensions matched the corresponding items’ dimensions in the commercial invoice and packing list.²⁸⁶ Significantly, the color listed in both drawings is “[COLOR DESCRIPTION].” Because the drawings tie to the commercial invoice and packing list, which, in turn, tie to GHS’ CBP declaration, the drawing’s color also indicates that the items declared to CBP were QSP rather than wooden furniture.²⁸⁷

Multiple other documents corroborate that the entry contained QSP rather than wooden furniture. The entry’s bill of lading listed the same weight and crate quantity as the CBP declaration, and its second page described the merchandise as “[PRODUCT].”²⁸⁸ The Malaysian certificate of origin and fumigation certificate indicate that the entry contained [#] crates of “[PRODUCT].”²⁸⁹ The freight forwarder invoice said that shipment contained “[PRODUCT].”²⁹⁰ The arrival notice/freight notice denotes the arrival of “[PRODUCT].”²⁹¹ In light of the preceding facts, CBP determines that GHS misclassified entry [NUMBER]4081’s QSP as bathroom vanities.

²⁷⁸ See GHS Sect A-C&E RFI at 18.

²⁷⁹ See GHS CF-28 Response at 12; *see also* GHS Sect A-C&E RFI at 21 and Exhibit E.2, page 4. The updated entry has the same signature date as the original entry summary and, thus, appears to be backdated.

²⁸⁰ See GHS Sect D RFI at Exhibit D.1.e, pages 1-2.

²⁸¹ See October 27 Memorandum at Attachment 6, pages 8-10, and Attachment 8, page 1.

²⁸² See GHS Sect D RFI at Exhibit D.1.e, page 5; *see also, e.g.*, YNJ RFI at 9; *see also* Astera RFI at 50. It lists item numbers “[NUMBERS].”

²⁸³ See GHS Sect D RFI at Exhibit D.1.e, page 6. The packing list denotes a [NUMBER] thickness for each of its items, which corresponds to the commercial invoice’s metric amount.

²⁸⁴ *Id.* at Exhibit D.1.e, pages 6-7. [#] kg + [#] kg = [#] kg. [#] crates + [#] crates = [#] crates.

²⁸⁵ See GHS CF-28 Response at 56-57.

²⁸⁶ *Id.*; *see also* GHS Sect D RFI at Exhibit D.1.e, pages 5, 7.

²⁸⁷ See GHS CF-28 Response at 56-57.

²⁸⁸ See GHS Sect D RFI at Exhibit D.1.e, pages 9-10.

²⁸⁹ *Id.* at Exhibit D.1.e, pages 17-18.

²⁹⁰ *Id.* at Exhibit D.1.e, page 11.

²⁹¹ *Id.* at Exhibit D.1.e, page 14.

Record evidence indicates that GHS misclassified a third entry from Stone Direct, entry [NUMBER]6019. GHS declared to CBP that this entry contained [#] crates of “bathroom vanity” that weighed [NUMBER]; was valued at \$[NUMBER]; and was classified under HTSUS 9403.60.8081.²⁹² As previously noted, this HTSUS number denotes “other wooden furniture.”²⁹³ The entry’s purchase order stated that its “[DESCRIPTION]” and that “[DESCRIPTION],” which is a standard QSP thickness.²⁹⁴ The commercial invoice’s items are, likewise, [#] thick and it has the same value that GHS declared to CBP.²⁹⁵ Half of the packing list’s items are [#] thick, which corresponds to the commercial invoice’s thickness, and its total gross weight and crate quantity are the same amounts declared to CBP.²⁹⁶

Multiple other documents corroborate that the entry did not entirely contain wooden furniture. The bill of lading listed the same weight and crate quantity as the CBP declaration, and its second page described the merchandise as “[PRODUCT].”²⁹⁷ The arrival notice/freight notice indicated that the entry contained “[PRODUCT].”²⁹⁸ The Malaysian certificate of origin and fumigation certificate both indicated the shipment contained [#] of “[PRODUCT].”²⁹⁹ Finally, the customs broker’s invoice denoted that it contained “[PRODUCT].”³⁰⁰ Regardless of whether this entry contained an out of scope [PRODUCT] slabs product, an out of scope [PRODUCT] such as [PRODUCT] slabs, or QSP slabs, the entry did not entirely contain wooden furniture as declared.

Furthermore, GHS declared to CBP that this entry’s value was \$[NUMBER]; however, multiple documents indicate that GHS undervalued this entry.³⁰¹ The Stone Direct commercial invoice denoted that the entry’s value was \$[NUMBER].³⁰² However, [COMPANY]’s purchase order/proposal stated that the merchandise was worth \$[NUMBER].³⁰³ After subtracting freight costs, GHS’ two payments for the entry matched the purchase order/proposal’s \$[NUMBER] valuation.³⁰⁴ GHS claimed that the \$[NUMBER] valuation difference was “an inadvertent value error identified while working on the initial RFI response.”³⁰⁵ GHS then claimed that “[COMPANY] issued a statement to GHS that the invoice value was incorrect and should have been \$[NUMBER] instead of the \$[NUMBER] shown.”³⁰⁶ However, GHS did

²⁹² *Id.* at Exhibit D.1.b, pages 1-2.

²⁹³ *See* October 27 Memorandum at Attachment 6, pages 8-10, and Attachment 8, page 1.

²⁹⁴ *See* GHS Sect D RFI at Exhibit D.1.b, page 3; *see also, e.g.*, YNJ RFI at 9; *see also* Astera RFI at 50. The purchase order is labelled as a “proposal.”

²⁹⁵ *See* GHS Sect D RFI at Exhibit D.1.b, page 5.

²⁹⁶ *Id.* at Exhibit D.1.b, pages 6-8. [#] crates + [#] crates + [#] crates = [#] crates.

²⁹⁷ *Id.* at Exhibit D.1.b, pages 10-11.

²⁹⁸ *Id.* at Exhibit D.1.b, page 15.

²⁹⁹ *Id.* at Exhibit D.1.b, pages 17-18.

³⁰⁰ *Id.* at Exhibit D.1.b, page 12.

³⁰¹ *Id.* at Exhibit D.1.b, pages 1-2.

³⁰² *Id.* at Exhibit D.1.b, page 5.

³⁰³ *Id.* at Exhibit D.1.b, pages 3-4.

³⁰⁴ *Id.* at Exhibit D.1.b, pages 12, 20-21. GHS’ two payments totaled \$[NUMBER], which matches the \$[NUMBER] valuation after subtracting the \$[NUMBER] included in freight.

³⁰⁵ *Id.* at Exhibit D.1.b, page 12; *see also* GHS Supplemental RFI at 5.

³⁰⁶ *See* GHS Supplemental RFI at 6. The \$[NUMBER] included \$[NUMBER] in freight, which leads to a \$[NUMBER] valuation.

not provide any communication or other document relevant to this purported statement nor did GHS substantiate it in any other way.

Because the purported statement occurred after CBP identified the valuation discrepancy, because of its lack of substantiation, and in light of GHS' other questionable statements and practices, CBP determines that GHS' claim concerning this entry is not credible. As such, substantial evidence indicates that GHS undervalued this entry by \$[NUMBER] and that its actual value was \$[NUMBER]. Undervaluation results in the reduction of *ad valorem* duties. Because AD/CVD duties are calculated on an *ad valorem* basis, undervaluation is a form of evasion.

On a separate note, GHS stated that this entry's payments were "made as instructed by [COMPANY]."³⁰⁷ However, these payments went to a different bank than the ones [COMPANY] and [COMPANY] normally used, viz. "[BANK NAME]."³⁰⁸ The entry's proposal listed the payment beneficiary as [COMPANY].³⁰⁹ Because [COMPANY] is affiliated with [COMPANY] and [COMPANY] directed payment to this bank account, [COMPANY] may be an affiliate of [COMPANY] and [COMPANY], but any such relationship is not clear.

Although GHS ordered this entry through [COMPANY] and Stone Direct purportedly produced it, record evidence instead connects it to [COMPANY]. Stone Direct ostensibly issued the entry's commercial invoice, invoice number [NUMBER].³¹⁰ However, GHS' bank statements indicate its payments for this entry were made according to a different invoice number, "[NUMBER]."³¹¹ This invoice number begins with a "[DESCRIPTION]" and [COMPANY] issues invoices beginning with "[DESCRIPTION]" for its sales of [COUNTRY] merchandise. For example, [COMPANY] produced GHS entry [NUMBER]0172's merchandise and GHS paid [COMPANY] according to invoice [NUMBER].³¹² [COMPANY] also produced GHS entry [NUMBER]2615's merchandise and GHS paid [COMPANY] according to "[NUMBER]."³¹³ Although GHS provided [COMPANY] invoice [NUMBER], it did not provide [COMPANY] invoice [NUMBER] or explain its failure to do so.³¹⁴ The fact that this entry was undervalued, misclassified, and had an additional invoice from a [DESCRIPTION] that was not provided to CBP indicates the presence of dual invoicing and of transshipment.

Furthermore, [COMPANY]'s proposal for this entry denoted product "[PRODUCT]."³¹⁵ GHS acknowledged that this was a [COMPANY] product and claimed that [COMPANY] used it as a sample for production in [COUNTRY].³¹⁶ However, the fact that [COMPANY] previously issued invoices for entries it manufactured and likewise issued this entry's invoice indicates that

³⁰⁷ *Id.* at 5.

³⁰⁸ See GHS Sect D RFI at Exhibit D.1.b, pages 4, 21; Exhibit D.1.c, page 14; and Exhibit D.1.d, page 24

³⁰⁹ *Id.* at Exhibit D.1.b, page 4.

³¹⁰ *Id.* at Exhibit D.1.b, page 5.

³¹¹ *Id.* at Exhibit D.1.b, pages 20-21.

³¹² *Id.* at Exhibit D.2.b, page 27; see also October 27 Memorandum at Attachment 6, page 9.

³¹³ See GHS Sect D RFI at Exhibit D.1.c, page 4, 15. GHS provided this invoice.

³¹⁴ *Id.* at Exhibit D.1.c, page 4.

³¹⁵ *Id.* at Exhibit D.1.b, page 3.

³¹⁶ See GHS Supplemental RFI at 5.

it manufactured this entry's merchandise as well. Because [COMPANY] produced this merchandise and is located in [COUNTRY], the merchandise is [COUNTRY] origin. Because the merchandise was [COUNTRY] origin but declared as Malaysian origin, GHS evaded the payment of the requisite AD/CVD duties.

The fact that GHS similarly misclassified entry [NUMBER]4081's QSP [COMPANY] as wooden furniture and that there are no Chinese or Malaysian AD/CVD orders pertaining to the out of scope merchandise named above, along with the fact that GHS ordered both entries from [NAME], indicates that entry [NUMBER]6019 contained QSP.³¹⁷ Furthermore, the fact that GHS dual invoiced, transshipped, and undervalued this entry drastically increases the certainty that at least some of its contents included QSP. Finally, although this entry precedes the period of investigation and has already [DESCRIPTION], it illustrates the extent to which GHS engaged in evasion on its entries from Stone Direct and [NAME].³¹⁸

Entry [NUMBER]0840 was, likewise, ostensibly from [COMPANY] and ordered through [NAME].³¹⁹ GHS declared to CBP that it contained QSP, stainless steel sinks/washbasins, and porcelain sinks.³²⁰ Multiple entry documents corroborated that this entry contained these products.³²¹ Entry [NUMBER]1591 from [COMPANY] included [PRODUCT] that GHS ordered from [NAME].³²² GHS declared entry [NUMBER]1591's and entry [NUMBER]0840's [PRODUCT] under HTSUS [NUMBER], which denotes "[DESCRIPTION]."³²³ Although the last two HTSUS digits of these entries differs, the merchandise they refer to appears to be [PRODUCT] as opposed to another kind of merchandise from the same HTSUS chapter such as a [PRODUCTS].³²⁴ Accordingly, GHS and [NAME] described entry [NUMBER]1591's merchandise as "[PRODUCT]" and [NAME]'s emails referenced entry [NUMBER]0840's "[PRODUCT]."³²⁵ Specifically, [NAME] told GHS that entry [NUMBER]1591's "[EVENT DESCRIPTION]."³²⁶ The fact that "GHS was unable to source the [PRODUCT] from [COUNTRY]" for entry [NUMBER]1591 and then "[COMPANY] sourced the [PRODUCT] from [COMPANY] in [COUNTRY]" indicates that entry [NUMBER]0840's [PRODUCT] would also be sourced from [COMPANY] in [PRODUCT]. Because entry [NUMBER]0840 included QSP and [COMPANY] is a [DESCRIPTION], this entry's QSP likely came from [COUNTRY].

³¹⁷ *Id.* at Exhibits B 6019-1 and H 4081-1.

³¹⁸ See GHS Sect D RFI at Exhibit D.1.b, pages 1-2; *see also* October 27 Memorandum at Attachment 6, page 10.

³¹⁹ See GHS Sect D RFI at Exhibit D.1.d, pages 2, 7; *see also* GHS Supplemental RFI at Exhibit F 0840-2.

³²⁰ See GHS Sect D RFI at Exhibit D.1.d, pages 2-3, 6.

³²¹ *Id.* at Exhibit D.1.d, pages 4-11, 13, 18, 20-21.

³²² See GHS Supplemental RFI at Exhibit H 4081-1, page 4. Although the email was placed in an exhibit pertaining to entry [NUMBER]4081, it actually pertains to entry [NUMBER]1591 due to reasons previously discussed. *See also* October 27 Memorandum at Attachment 6, pages 9.

³²³ See October 27 Memorandum at Attachment 6, page 10, and Attachment 8, page 1.

³²⁴ The last two digits of entry [NUMBER]1591's HTSUS classification, [#], indicate "[PRODUCTS]" and the last two digits of entry [NUMBER]0840's HTSUS classification, [#], indicate "[PRODUCTS]."

³²⁵ See GHS Supplemental RFI at 15; Exhibit H 4081-1, page 4; and Exhibit 0840-1, page 1.

³²⁶ *Id.* at Exhibit H 4081-1, page 4. Although the email was placed in an exhibit pertaining to entry [NUMBER]4081, it actually pertains to entry [NUMBER]1591 due to reasons previously discussed.

GHS provided raw material invoices and production plans for entry [NUMBER]0160 from Stone Direct in its CF-28 response.³²⁷ Because Stone Direct's production capabilities remain unsubstantiated, these raw material invoices and production plans likewise remain unsubstantiated. Accordingly, these unsubstantiated invoices and production plans do not support Stone Direct's production of GHS' imported merchandise, or any portion thereof.

CBP's regulations at 19 CFR 165.5(b)(3) state that "Any interested party that provides a material false statement or makes a material omission or otherwise attempts to conceal material facts at any point in the proceedings may be subject to adverse inferences (see § 165.6){.}" Likewise, pursuant to 19 USC 1517(c)(3) and 19 CFR 165.6, CBP may apply an adverse inference if the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with an RFI made by CBP. In applying an adverse inference against a party, CBP may use the facts otherwise available to make a final determination as to evasion pursuant to 19 USC 1517(c)(1)(A) and 19 CFR 165.27. Moreover, an adverse inference may be used with respect to U.S. importers, foreign producers, and manufacturers "without regard to whether another person involved in the same transaction or transactions under examination has provided the information sought by CBP...."

CBP repeatedly advised GHS that "If you fail to cooperate and comply to the best of your ability with Section 1 of this request, CBP may apply an inference adverse to GHS's interest and select from among the facts otherwise available to make the determination as to evasion pursuant to 19 CFR 165.27."³²⁸ CBP also told GHS that "Should you or the owner/provider of requested material provide false statements or make a material omission or otherwise attempt to conceal material facts at any point in the proceedings, associated parties may be subject to adverse inferences mentioned above{.}"³²⁹ Nevertheless, GHS did not provide most of the requested correspondence records or other information to CBP. GHS also did not provide the telephone records CBP requested or invoice [NUMBER]. Moreover, record evidence indicates that [COMPANY] and [COMPANY] are affiliated and that GHS was aware of this, yet GHS stated that "No. GHS is not aware of any affiliation between [COMPANY] and [COMPANY]."³³⁰ Therefore, in light of the preceding facts, GHS concealed the affiliation of two of its suppliers and omitted material documents that CBP requested. As a result of these material omissions, GHS inhibited CBP's investigation.

In relying on an adverse inference for failure to cooperate and comply to the best of one's ability with a request for information, CBP will look at the facts otherwise available. In this case CBP relies on the facts from the Allegation that indicate that GHS imported Chinese-origin QSP from China.³³¹ As a result, GHS' entries from Stone Direct will be subject to the China-wide entity rate for the AD Order and the all-others rate for the CVD Order on QSP from China.³³²

³²⁷ See GHS CF-28 Response at 40-52.

³²⁸ See Initial RFI sent to GHS at 1; *see also* Supplemental RFI sent to GHS at 1.

³²⁹ See Initial RFI sent to GHS at 2; *see also* Supplemental RFI sent to GHS at 2.

³³⁰ See GHS Supplemental RFI at 1-2.

³³¹ See GHS Allegation at 1, 6-13, and Exhibit 3.

³³² The applicable China-Wide Entity rate for the AD order is 326.15 percent and the applicable All Others rate for the CVD order is 45.32 percent. *See Certain Quartz Surface Products from the People's Republic of China: Final*

In conclusion, multiple facts on the record indicate that GHS evaded payment of AD/CVD duties on merchandise it ostensibly entered from Stone Direct:

- GHS ordered the merchandise from Hong Kong-based [COMPANY] rather than from Stone Direct.
- GHS paid [COMPANY] for the entries rather than Stone Direct.³³³
- GHS' relationship with [COMPANY] began at least seven months earlier than they claimed. Additionally, this relationship began six months before [COMPANY] was registered in Hong Kong. This discrepancy calls GHS' narrative into question.
- [COMPANY] is affiliated with [COMPANY], a [COUNTRY] producer of QSP. GHS was aware of this affiliation but withheld it from CBP. This indicates a likelihood that the merchandise originated from [COMPANY]'s [COUNTRY] factory.
- [COMPANY] shares the same address and telephone number with multiple other companies. However, there is no online proof that it has a physical presence at that Hong Kong address. Although [COMPANY] and [COMPANY] are affiliated and [NAME] is the same person as [NAME], the facts that [COMPANY] uses an address it may not be physically located at, a different address than [COMPANY], a different bank account than [COMPANY], along with the fact that [NAME] was repeatedly presented as a different person than [NAME], indicates that [COMPANY] was set up to appear as a separate company from its [DESCRIPTION] affiliate [COMPANY]. This scenario is consistent with a finding of evasion.
- GHS did not provide much of the correspondence pertaining to the entries at issue. Most of the correspondence it provided pertained to out-of-scope merchandise and entries preceding the period of investigation. This calls into question whether GHS lost the correspondence CBP asked for or withheld it. Further, GHS did not provide telephone records CBP requested or explain its failure to do so. Because GHS provided incomplete correspondence, CBP lacked documentation that could have corroborated claims made by GHS.
- GHS misclassified three entries from Stone Direct: [NUMBER]6019, [NUMBER]0160, and [NUMBER]4081. While [NUMBER]4081 is outside of the relevant period of investigation, the misclassification is consistent with a pattern of evasion.
- GHS undervalued entry [NUMBER]6019 by \$[NUMBER].
- Although GHS claimed that Stone Direct produced entry [NUMBER]6019, [COMPANY] produced it. Because [COMPANY] is located in [COUNTRY], the merchandise originated in [COUNTRY]. Because the entry's QSP was declared as [COUNTRY] origin, GHS evaded AD/CVD duties on [COUNTRY]-origin QSP. GHS ordered this entry from [NAME], who was also involved in the undervalued and misclassified entries. Mr. [NAME] works for [COMPANY] and the [DESCRIPTION/COMPANY]; Mr. [NAME] likely facilitated the transshipment of [COMPANY]-produced QSP on the other Stone Direct entries as well.

Affirmative Determination of Sales at Less Than Fair Value, and Final Affirmative Determination of Critical Circumstances, 84 FR 23767 (May 23, 2019); *see also Certain Quartz Surface Products from the People's Republic of China: Final Affirmative Countervailing Duty Determination, and Final Affirmative Determination of Critical Circumstances*, 84 FR 23760 (May 23, 2019).

³³³ *See* GHS Sect A-C&E RFI at 18.

- GHS had to source entry [NUMBER]1591's [PRODUCT] from [COUNTRY] because it could not obtain them in [COUNTRY]. Thus, it is likely that GHS also sourced entry [NUMBER]0840's [PRODUCT] and QSP from [COUNTRY] rather than [COUNTRY] as well.

Consequently, based on the aforementioned analysis of relevant evidence, CBP determines that substantial evidence exists demonstrating that, by means of material false statements or material omissions, GHS entered QSP subject to the AD/CVD Orders and failed to pay the requisite duties. CBP further determines that in light of the evidence of evasion, false statement, and missing documentation, all of GHS' entries from Stone Direct are of Chinese-origin.

U.S. Importers - Gin and YNJ

Gin is a California-based importer of QSP.³³⁴ Gin entered three entries of QSP from MEDA ZZ during the period of investigation. YNJ is an Ohio-based hotel management firm and occasional importer of QSP.³³⁵ YNJ entered one entry of QSP from MEDA ZZ during the period of investigation.³³⁶ Gin and YNJ have no relationship with each other but both importers ordered QSP from the same Chinese supplier.

Gin stated that an individual named Vincent was its contact person at MEDA ZZ. Gin explained that a friend from the Las Vegas Stone Fair referred the company to Vincent, and Vincent subsequently stated that he had a company in Malaysia named MEDA ZZ.³³⁷ Gin noted that Vincent was Chinese and provided his two telephone numbers, both of which had a China country code.³³⁸ Further research revealed that these telephone numbers belonged to Vincent Wu of Goldtop Stone Co, Ltd; Goldtop (Xiamen) Imp. & Exp. Co., Ltd.; and Goldtop (HK) International Limited (Goldtop).³³⁹ Goldtop also appears to have a subsidiary in the United States.³⁴⁰

In three instances, Gin denoted one of Mr. Wu's telephone numbers as the contact number for [EMAIL ADDRESS].³⁴¹ Gin also listed this as the email address for MEDA ZZ, however, Gin did not provide any emails to, from, cc'ing, or mentioning an individual named [NAME].³⁴² However, YNJ listed Vincent Davis as MEDA ZZ's contact person.³⁴³ Although vincent.davis1112@gmail.com was cc'ed in two of its emails, YNJ stated that it "does not know if it had any communications with Vincent Davis at any time."³⁴⁴ YNJ instead corresponded

³³⁴ See Gin RFI at 3. Some of the documentation also indicated that Gin was Florida-based.

³³⁵ See YNJ Supplemental RFI at 2; see also DC NTAC YNJ Receipt Report, dated November 4, 2020 at 14.

³³⁶ See YNJ CF-28 Response at 2; see also DC NTAC YNJ Receipt Report at 14.

³³⁷ See Gin RFI at 1, 3; see also Gin Supplemental RFI at 161.

³³⁸ See Gin RFI at 1-3; see also Gin Supplemental RFI at 132, 149. These telephone numbers are [NUMBER] and [NUMBER].

³³⁹ See February 10 Memorandum at Attachment 11, pages 5, 8, 11-12; see also July 1 Memorandum at Attachment 8; see also July 19 Memorandum at Attachment 14, pages 12, 17; see also Gin RFI at 2; see also Gin Supplemental RFI at 149-150, 152, 157; see also YNJ Supplemental RFI at Exhibit A, page 18.

³⁴⁰ See YNJ Supplemental RFI at Exhibit A, page 50. "Now we also have our USA company...."

³⁴¹ See Gin RFI at 1-2. This telephone number was [NUMBER].

³⁴² See Gin Supplemental RFI at 131-157. These pages are the entirety of the correspondence Gin provided.

³⁴³ See YNJ CF-28 Response at 4; see also YNJ RFI at 17.

³⁴⁴ See YNJ Supplemental RFI at 11 and Exhibit A, page 172.

with Goldtop employees Vincent Wu and Jolin [NAME].³⁴⁵ Gin likewise only corresponded with Mr. Wu and his colleague [NAME].³⁴⁶

CBP's online research for "vincent davis goldtop" and "vincent davis meda zz" did not produce any relevant results.³⁴⁷ CBP's research located multiple websites mentioning Mr. Wu, including one that referenced Mr. Wu, Mr. [NAME], Ms. Jolin, and four other Goldtop employees; however, none of these websites referenced an individual named Vincent Davis.³⁴⁸ Thus, in light of the lack of research results concerning Vincent Davis, Gin's and YNJ's correspondence with Mr. Wu rather than Vincent Davis, and subsequent evidence of Mr. Wu's facilitation of evasion, CBP believes that the Vincent Davis name functions as a pseudonym for Vincent Wu.³⁴⁹

Gin obtained its sales documents from Goldtop rather than from MEDA ZZ.³⁵⁰ Gin explained that "only [NAME] sent documents to me."³⁵¹ Gin submitted some of these documents; however, they contained multiple omissions and irregularities that cast doubt on their overall completeness and integrity. With respect to entry [NUMBER]4394, its certificate of origin showed a different invoice number and date than those shown on the commercial invoice and pro forma invoice.³⁵² Consequently, CBP believes that another iteration of the commercial invoice was presented to Malaysian authorities to obtain the certificate of origin. CBP doubts the veracity of the underlying information submitted to obtain the certificate of origin. Gin may have alluded to an alternate invoice in an email to [NAME]: "your company proform is In HK You send proform from Malaysia not from China. HK belongs to China."³⁵³ Additionally, this entry's bill of lading number did not match the house or master bill of lading number listed on the broker invoice.³⁵⁴

With respect to Gin entry [NUMBER]1727, the certificate of origin shows a different invoice date than the commercial invoice and pro forma invoice.³⁵⁵ As such, CBP believes that another iteration of the commercial invoice may have been presented to Malaysian authorities to obtain the certificate of origin. CBP doubts the veracity of the underlying information submitted to obtain the certificate of origin. Additionally, Gin did not provide the entry's bill of lading.

With respect to Gin entry [NUMBER]2864, the certificate of origin shows a different invoice date than the commercial invoice and pro forma invoice.³⁵⁶ As such, CBP believes that another

³⁴⁵ *Id.* at 10 and Exhibit A, pages 80, 472; *see also* February 10 Memorandum at Attachment 11, page 12. In these emails, Vincent Wu's email address is vincent@goldtopstone.com. As discussed, his telephone number is connected to Vincent Wu.

³⁴⁶ *Id.*

³⁴⁷ *See* July 19 Memorandum at Attachment 23, page 21.

³⁴⁸ *See* February 10 Memorandum at Attachment 11; *see also* July 1 Memorandum at Attachments 7-8; *see also* July 19 Memorandum at Attachment 14.

³⁴⁹ *Id.* at Exhibit A, pages 53, 76, 79, 171-172, 416, 458.

³⁵⁰ *See, e.g.,* Gin Supplemental RFI at 155.

³⁵¹ *See* Gin Supplemental RFI at 161-162.

³⁵² *See* Gin CF-28 Response at 10, 14; *see also* Gin RFI at 28, 32, 34.

³⁵³ *See* Gin Supplemental RFI at 141.

³⁵⁴ *See* Gin CF-28 Response at 9, 13; *see also* Gin RFI at 30-31.

³⁵⁵ *See* Gin RFI at 14, 16, 18.

³⁵⁶ *Id.* at 20, 24, 26.

iteration of the commercial invoice may have been presented to authorities to obtain the certificate of origin. CBP doubts the veracity of the underlying information submitted to obtain the certificate of origin. Additionally, Gin did not provide the entry summary or a broker invoice. Gin's owner claimed that he asked Mr. Wu about many of these three entries' discrepancies and omissions, but Mr. Wu did not respond and deleted him from his WeChat list.³⁵⁷

Although Mr. Wu and Ms. Jolin claimed that MEDA ZZ was their Malaysian company, there is no evidence corroborating their assertion.³⁵⁸ The Malaysian government's Companies Commission of Malaysia document indicates that MEDA ZZ is a sole proprietorship and denotes the Malaysian citizen Hamidah Binti Mat Rawi as MEDA ZZ's only owner.³⁵⁹ Correspondingly, "[NAME]" is listed in MEDA ZZ's "List of Owners and Corporate Officers."³⁶⁰ These documents do not list Mr. Wu, Mr. [NAME], Ms. Jolin, or the apparent owner of Goldtop, Sunny King, nor do they contain any other indication that MEDA ZZ is affiliated with any other company.³⁶¹ Correspondingly, Goldtop's website and other websites referencing Goldtop only refer to its Chinese production capacities.³⁶² Thus, the claim that MEDA ZZ is affiliated with Goldtop is false.

Regarding the QSP Gin and YNJ ordered and imported, record evidence indicates it is from China. Goldtop's factory is located near Xiamen in "Shuitou, Quanzhou, Fujian Province, China."³⁶³ Likewise, Mr. Wu's, Mr. [NAME]'s, and Ms. Jolin's signature blocks and multiple websites indicate that Goldtop is based in Xiamen, China and is "a manufacturer and exporter of stone slabs and countertops ... {and they} offer the Granite and Quartz Stones."³⁶⁴ Additionally, payments for Gin's and YNJ's entries went to Goldtop's bank in China rather than MEDA ZZ's bank.³⁶⁵ Goldtop had the ability to manufacture Gin's and YNJ's imported QSP in its Chinese facility and received corresponding payments at its bank in China.

Three of the four products Gin ordered from Goldtop - [PRODUCTS] - were listed on Goldtop's website and in Goldtop's Alibaba vendor profile.³⁶⁶ The fact that Gin ordered Goldtop products indicates that its QSP originated from Goldtop rather than from MEDA ZZ. Moreover, online information for two of these products indicated that they originated in China. Alibaba's website indicates the following for [PRODUCT AND LOCATIONS].³⁶⁷ Alibaba's

³⁵⁷ See Gin Supplemental RFI at 162.

³⁵⁸ *Id.* at 161; see also Gin RFI at 1; see also YNJ Supplemental RFI at 4 and Exhibit A, page 512.

³⁵⁹ See February 9 Memorandum at Attachment 2, page 2.

³⁶⁰ See FTR CF-28 Response at 10.

³⁶¹ See February 9 Memorandum at Attachment 2, page 2; see also February 10 Memorandum at Attachment 11, page 10; see also July 1 Memorandum at Attachment 7, page 55, and Attachment 8, pages 1-2.

³⁶² See February 9 Memorandum at Attachment 11; see also July 1 Memorandum at Attachments 7-8; see also July 19 Memorandum at Attachments 14, 23.

³⁶³ See July 19 Memorandum at Attachment 23, page 15.

³⁶⁴ See Gin Supplemental RFI at 148-149; see also YNJ Supplemental RFI at Exhibit A, pages 39, 54; see also February 10 Memorandum at Attachment 11, pages 1, 8; see also July 1 Memorandum at Attachments 7-8; see also July 19 Memorandum at Attachment 14, page 17.

³⁶⁵ See YNJ Supplemental RFI at 14 and Exhibit A, pages 18-19; see also Gin CF-28 Response at 10-11; see also Gin RFI at 12, 17, 35; see also Gin Supplemental RFI at 99, 115, 127.

³⁶⁶ See Gin RFI at 34; see also July 1 Memorandum at Attachment 7, pages 31-32, 35, 42, 44-45

³⁶⁷ See July 1 Memorandum at Attachment 7, pages 44-45.

website likewise indicates that [PRODUCT] departs from “Port: Xiamen, Guangzhou, Shanghai.”³⁶⁸ The fact that Gin ordered these Goldtop products and that their [DESCRIPTION] and departure ports are in China corroborate the Chinese-origin of Gin’s QSP entries.

Ms. Jolin attempted to sell 5007 Delicato Crema to YNJ and stated “Here are one of our project we just finished, the {sic} pattern is our hot pattern of 5007 Delicato Crema.”³⁶⁹ Below her email was a photograph of a QSP slab hanging mid-air from a gray metal clamp in a factory. The right side of this photograph portrayed a large red horizontal banner on the right wall containing at least 12 Chinese characters.³⁷⁰ Although the banner’s Chinese characters do not prove perforce that the photograph took place in China; nevertheless, they are consistent with a Chinese location because Goldtop has a Chinese factory and 5007 Delicato Crema has Chinese departure ports according to the Alibaba website.

Another Goldtop product, “Calacatta Zodiac Quartz Slabs,” is listed on a website listing various QSP vendors and their products. This website lists Goldtop’s name, Xiamen address, and Mr. Wu’s contact information in the product’s supplier profile section.³⁷¹ Its product detail section indicates “Color: White” and that it departs from the following Chinese ports: “Port: Xiamen, Shenzhen, Foshan, Guangzhou.”³⁷² YNJ’s sales documents indicate that it ordered “Zodiac-Snow White” and “Calacatta Quartz” from Goldtop.³⁷³ Jolin also told YNJ that “We are start {sic} to do the cutting of Zodiac-Snow White Quartz now.”³⁷⁴ These products share the same white color, Zodiac brand name, and Calacatta pattern as the “Calacatta Zodiac Quartz Slabs.” Thus, YNJ may have ordered the “Calacatta Zodiac Quartz Slabs” under a truncated name, in which case they would have departed from a Chinese port.

Goldtop made statements indicating that the Chinese New Year (CNY) holiday affected its production schedule for YNJ’s QSP. In 2020, CNY occurred from January 24 to February 2 in China and from January 25 to 27 in Malaysia.³⁷⁵ On January 27, 2020, Jolin told YNJ, “Our production will based on these final drawings. I will push our production once we finish our holiday of CNY.”³⁷⁶ On February 5, 2020, Vincent Wu explained to YNJ, “This is Vincent from Goldtop Stone. Our office already opened this week.. and Our factory will open next Monday.. Please kindly help us to confirm all of the drawings, then we should start fabricating as soon as possible.”³⁷⁷ Because CNY ended six days earlier in Malaysia, the Monday, February 10 reopening of Goldtop’s factory that Mr. Wu referenced aligns more comfortably with China’s longer CNY holiday schedule. This later reopening date indicates that Goldtop eventually

³⁶⁸ *Id.* at Attachment 7, page 35.

³⁶⁹ See YNJ Supplemental RFI at Exhibit A, pages 162-163.

³⁷⁰ *Id.* at Exhibit A, page 163.

³⁷¹ See July 1 Memorandum at Attachment 7, pages 46-48.

³⁷² *Id.* at Attachment 7, page 46.

³⁷³ See YNJ Supplemental RFI at Exhibit A, pages 2-6, 20-21, 474-475, 485.

³⁷⁴ *Id.* at Exhibit A, pages 75, 91, 379. Jolin mentioned cutting these Zodiac-Snow White Quartz slabs and also noted that there was a Goldtop product specifications drawing. Correspondingly, the QSP sales website stated that Goldtop’s Calacatta Zodiac Quartz Slabs were “Cut to Size: Cut by drawings.”

³⁷⁵ See October 27 Memorandum at Attachment 13.

³⁷⁶ See YNJ Supplemental RFI at Exhibit A, page 84.

³⁷⁷ *Id.* at Exhibit A, page 80.

produced the QSP in China because production in Malaysia would have recommenced at an earlier date.

Goldtop also described the impact of the Coronavirus in China on its production of YNJ's QSP. On February 13, 2020, Jolin said "We need {to} produce slabs firstly and then start to do the cutting. And because of the influence of coronavirus, the delivery time may delay about one week."³⁷⁸ On February 20, 2020, Jolin explained that "The production of your project is arranged ... We are sorry that there are some delay because of influence of the Coronvarius {sic} in China."³⁷⁹ On February 28, 2020, Mr. Wu stated:

This is Vincent, the manager of Goldtop Stone. I am really sorry that we will {be} shipping later because of the virus happed {sic} in China. In China, Many workers are not allowed to come to factories before Feb 20. Now the virus already controlled by the Chinese doctors and government, and all of our workers have came back. We will work day and night to push all of our production. I think we can finish the slabs produciton {sic} before March 10, then finish the fabricating before March 25.³⁸⁰

In light of the preceding quotations, several observations are in order. First, the preceding two quotes reference the coronavirus situation in China rather than Malaysia. Second, Mr. Wu's statement indicates that the factory workers not being allowed to return to work before February 20 are in China rather than Malaysia. Third, the statement about the factory workers in China was not an isolated, unrelated statement, instead Mr. Wu mentioned it as part of the last quotation's causal chain. In other words, the coronavirus situation in China delayed the return of factory workers in China. Because the factory workers in China had not yet returned, Goldtop could not produce YNJ's QSP in China. Because the factory workers could not produce YNJ's QSP in China, they could not ship it from China under the previously agreed on timeline. Because Goldtop could not ship the QSP from China under the previously agreed on timeline, Vincent Wu apologized to YNJ.

On March 16, 2020, Jolin sent three emails to YNJ stating, "Please see the attached pictures of our packing.... We will finish all the package {sic} of all of the products tomorrow morning ... we can catch the vessel of this week.... We plan to load the container tomorrow."³⁸¹ According to these emails, Goldtop possibly obtained a vessel departing March 17-21; later emails between Jolin and YNJ may also indicate that the shipment departed China about March 31.³⁸² Mr. Wu told Gin that transit from Qingdao Port to Port Klang was five to seven days.³⁸³ Accordingly, YNJ's shipment would have arrived in Port Klang between April 5-7. The bill of lading for YNJ's shipment indicated an April 8 departure from Malaysia, which corroborates the overall timeline pertaining to the QSP's departure from China.³⁸⁴

³⁷⁸ *Id.* at Exhibit A, page 79.

³⁷⁹ *Id.* at Exhibit A, page 78.

³⁸⁰ *Id.* at Exhibit A, pages 77-78.

³⁸¹ *Id.* at Exhibit A, pages 287-289.

³⁸² *Id.* at Exhibit A, pages 284-286.

³⁸³ *See* Gin Supplemental RFI at 131.

³⁸⁴ *See* YNJ Supplemental RFI at Exhibit A, page 32.

[NAME] told Gin that the merchandise would depart from Qingdao, China. Although Qingdao is not close to Goldtop's Xiamen location, it is still in China. Furthermore, Goldtop is not merely a manufacturer but is a supplier and exporter of QSP as well. [NAME] also noted the merchandise's subsequent transshipment in Malaysia. In this email [NAME] explained that "The shipping cost from Kelang West to Tampa, USA, It is \$3300/Container. The shipping time is about 38 days. From Qingdao to Kelang West, It is 5-7 days. Thank you [NAME]."³⁸⁵

Additionally, a comparison between the sales documents, payments, and declared value of YNJ's entry indicates that it was substantially undervalued. YNJ declared to CBP that the entry's QSP value was \$[NUMBER], its sinks' value was \$[NUMBER], and its faucets' value was \$[NUMBER], for a total entry value of \$[NUMBER].³⁸⁶ Likewise, the YNJ purchase order, MEDA ZZ sales contract, and MEDA ZZ invoice indicated a total value of \$11,764.³⁸⁷ In contrast, an invoice issued by Goldtop only two days before the entry's Port Klang departure, listed a total value of \$56,948.³⁸⁸ This invoice referenced two deposit payments, which did not cover the entire invoice amount but were several thousand dollars more than the entry's declared value nonetheless.³⁸⁹ YNJ provided wire transfer documents containing amounts that matched the deposit amounts on the Goldtop invoice. YNJ confirmed that these two payments "did not capture all the payments reflected in the responsive documents."³⁹⁰

The fact that the Goldtop invoice was more recent than the MEDA ZZ invoice and that the wire transfer documents corroborated the Goldtop invoice's deposit amounts indicate that the Goldtop invoice was the correct invoice and that the entry was undervalued.³⁹¹ As such, the entry's correct total value is \$56,948, its QSP value is \$47,383.42, its sinks value is \$5,175.98, and its faucet value is \$3,408.60.³⁹² Although YNJ states that two hotel companies rather than YNJ paid for the entry, the identity of the parties paying for this entry is irrelevant for entry valuation purposes.³⁹³

In conclusion, multiple facts on the record establish that Gin's and YNJ's QSP was undervalued and/or transshipped through MEDA ZZ in Malaysia.

- Gin ordered its merchandise from Vincent Wu of Goldtop, a Chinese producer of QSP, rather than from MEDA ZZ.
- Gin paid Goldtop's bank in China rather than MEDA ZZ's bank.

³⁸⁵ See Gin Supplemental RFI at 131. Similarly, Alibaba listed a "[SITUATION DESCRIPTION]" for one of Goldtop's products, which corroborates this delivery time. See July 1 Memorandum at Attachment 7, page 45.

³⁸⁶ See YNJ DC NTAC Report at 14.

³⁸⁷ See YNJ Supplemental RFI at Exhibit A, pages 2-6, 30. These documents were dated January 7, 2020; January 7, 2020; and April 2, 2020, respectively.

³⁸⁸ *Id.* at Exhibit A, pages 20, 32. The Goldtop invoice was dated April 6, 2020.

³⁸⁹ *Id.* at Exhibit A, pages 18, 21-22, 35-36; see also YNJ Written Arguments at 3, footnote 1. The deposit payments to Goldtop were $\$8,536.19 + \$6,499.46 = \$15,035.65$. The remaining balances were $\$23,457.82 + \$17,474.73 = \$41,912.55$. All amounts are USD.

³⁹⁰ See YNJ Written Arguments at 3, footnote 1.

³⁹¹ See YNJ Supplemental RFI at Exhibit A, pages 18, 21-22, 34-36.

³⁹² *Id.* at Exhibit A, pages 20-22. The values of the faucets were $1,656.00 + \$1,752.60 = \$3,408.60$. The values of the sinks were $2,517.50 + \$2,658.48 = \$5,175.98$. The QSP's value is $\$56,948 - \$3,408.60 - \$5,175.98 - \980 (disposable face masks) = $\$47,383.42$.

³⁹³ *Id.* at 13-14.

- Three of the four QSP product numbers that Gin ordered were listed on Goldtop's website. Record evidence from various websites denoted that two of these products were Chinese in origin.
- In an email to Gin, [NAME] stated that the merchandise would depart from China.
- Gin paid Goldtop's bank in China rather than MEDA ZZ's bank.
- YNJ ordered its merchandise from Vincent Wu and Jolin [NAME] of Goldtop, a Chinese producer of QSP, rather than from MEDA ZZ.
- Goldtop manufactures QSP model 5007 Delicato Crema in China. Jolin tried to sell this product to YNJ.
- Goldtop sent emails to YNJ detailing their production delays in China due to the COVID situation in China.
- The container loading dates in YNJ's emails corroborate shipping from China to Malaysia and then Malaysia to the United States.
- Record documents demonstrate that YNJ substantially undervalued its entry from MEDA ZZ.

Consequently, based on the aforementioned analysis of relevant evidence, CBP determines that substantial evidence exists demonstrating that, by means of material false statements or material omissions, Gin and YNJ entered Chinese-origin QSP subject to the AD/CVD Orders and failed to pay the requisite duties.

U.S. Importers - Gold Stone, RQ Sales Colorado, and RQ Sales Nevada

Gold Stone, RQ Sales Colorado, and RQ Sales Nevada all imported QSP from the same Chinese supplier. Gold Stone is a Utah-based importer of QSP.³⁹⁴ In response to CBP's request for a list of shareholders, Gold Stone stated "None."³⁹⁵ After CBP pointed out its trial balance's shareholder line, Gold Stone changed its answer and admitted that it has five shareholders.³⁹⁶ Gold Stone entered three entries of QSP from MEDA ZZ during the period of investigation.³⁹⁷ However, Gold Stone did not pay, communicate with, or select MEDA ZZ as its supplier.³⁹⁸ Instead, Gold Stone stated that it purchased the QSP from Glory Stone Sdn Bhd, an affiliate of Glory Stone Group Limited (Glory Stone), selected MEDA ZZ as the supplier.³⁹⁹ Gold Stone further stated that it ordered the three entries' merchandise from a Glory Stone sales associate named Mala, also known as Junlong Hong.⁴⁰⁰

Glory Stone was reported to be a QSP fabricator with a factory in China.⁴⁰¹ Gold Stone stated that Glory Stone's legal representative was Hank Ye, also known as Suhai Ye.⁴⁰² The email address, telephone number, and Malaysian address that Gold Stone provided did not indicate that

³⁹⁴ See Gold Stone CF-28 Response at 1; see also Gold Stone Allegation at Exhibit 4.

³⁹⁵ See Gold Stone RFI at 6-7.

³⁹⁶ See Gold Stone Supplemental RFI at 6.

³⁹⁷ See Gold Stone DC NTAC Report at 14.

³⁹⁸ See Gold Stone RFI at 11.

³⁹⁹ *Id.* at 3-4; see also RQ Sales Nevada RFI.

⁴⁰⁰ See Gold Stone RFI at 10; see also Gold Stone Supplemental RFI at 2, 8.

⁴⁰¹ See RQ Sales Nevada RFI at 6; see also RQ Sales Nevada Supplemental RFI at 8.

⁴⁰² See Gold Stone RFI at 10; see also Gold Stone Supplemental RFI at 2, 4, 8; see also RQ Sales Nevada RFI at 6.

Mr. Ye was located in China; however, record evidence from other importers indicated that he is based in China.⁴⁰³ Mr. Ye used three different signature blocks, two of which indicated that he works for Glory Stone in either Batu Pahat or Ipoh, Malaysia and another that indicated that he works for Glory Stone in Xiamen, China.⁴⁰⁴

The telephone and fax numbers in each of the three signature blocks had Chinese country codes; however, the telephone number Gold Stone provided lacked a country code.⁴⁰⁵ Mr. Ye sent all of his emails from the Chinese email address “sales@glory-stone.cn.”⁴⁰⁶ In the extensive email correspondence on the record, Mr. Ye never used the email address that Gold Stone reported, “sale@glory-stone.com.”⁴⁰⁷ Mr. Ye’s Ipoh address is the same address listed for Malaysian QSP producer Agrostone Malaysia Sdn Bhd (Agrostone).⁴⁰⁸ Further, images on Google Maps did not show any evidence that Glory Stone occupied this Ipoh address or any of the shops at or around Mr. Ye’s Batu Pahat address.⁴⁰⁹ These facts cast doubt on whether Glory Stone has a physical presence in Malaysia. Moreover, Mr. Ye’s LinkedIn account corroborates that he is located in China and lists him as the “Director General” of the Glory Stone Group in Xiamen, China.⁴¹⁰

Gold Stone claimed that Hank Ye is a stockholder and co-owner of MEDA ZZ.⁴¹¹ However, Gold Stone did not provide any documentation to substantiate this claim other than the assertions in their RFI narratives and emails. Correspondingly, Mr. Ye’s LinkedIn profile does not mention MEDA ZZ and neither Mr. Ye nor Ms. Hong is listed on MEDA ZZ’s list of owners and corporate officers.⁴¹² In contrast to Gold Stone’s claim, a document from the Malaysian government’s Companies Commission of Malaysia does not indicate that MEDA ZZ has stock ownership or multiple owners, but rather, that MEDA ZZ is a sole proprietorship owned by the Malaysian citizen Hamidah Binti Mat Rawi.⁴¹³

Gold Stone ordered several products from Glory Stone that begin with an “[DESCRIPTION]” designation, such as “[PRODUCT NUMBERS].”⁴¹⁴ The corresponding purchase order and commercial invoice also began with an “[DESCRIPTION].”⁴¹⁵ CBP research revealed two Chinese companies, [COMPANY] and [COMPANY], have some QSP products beginning with the “[DESCRIPTION]” designation.⁴¹⁶ [COMPANY] describes itself as a “[

⁴⁰³ *Id.*

⁴⁰⁴ See RQ Sales Nevada RFI at 201 (in the public version), 965, 1143, 1063, 1173; see also Gold Stone RFI at 10.

⁴⁰⁵ See RQ Sales Nevada RFI; see also RQ Sales Colorado RFI; see also Gold Stone RFI at 10. This telephone number is +86-592-625-2021. Gold Stone reported Mr. Ye’s telephone number was +0124509499.

⁴⁰⁶ See RQ Sales Nevada RFI; see also RQ Sales Nevada Supplemental RFI; see also RQ Sales Colorado RFI; see also RQ Sales Colorado Supplemental RFI; see also Gold Stone RFI at 10.

⁴⁰⁷ *Id.*

⁴⁰⁸ See RQ Sales Nevada RFI at 201 (in the public version), 965, 1143; see also July 1 Memorandum at Attachment 13, pages 10-11.

⁴⁰⁹ See July 19 Memorandum at Attachment 12.

⁴¹⁰ See October 27 Memorandum at Attachment 10.

⁴¹¹ See Gold Stone RFI at 10; see also Gold Stone Supplemental RFI at 2, 4, 8; see also RQ Sales Nevada RFI at 6.

⁴¹² See FTR CF-28 Response at 10; see also October 27 Memorandum at Attachment 10.

⁴¹³ See February 9 Memorandum at Attachment 2, pages 1-2.

⁴¹⁴ See Gold Stone RFI at Exhibit F, pages 2-4, 10.

⁴¹⁵ *Id.* at Exhibit F, pages 2-3.

⁴¹⁶ See October 27 Memorandum at Attachment 11; see also July 19 Memorandum at Attachment 1. [COMPANY] is also discussed in Granite Collection and Ilkem’s section.

DESCRIPTION]” and the “[DESCRIPTION].”⁴¹⁷ [COMPANY] states that it uses the “[SITUATION DESCRIPTION].”⁴¹⁸ Likewise, [COMPANY] is in the same province, [LOCATIONS].⁴¹⁹

CBP research evinced a Chinese QSP supplier named Linyi Glory Stone Co., Ltd. (Linyi Glory Stone), which might be affiliated with Glory Stone.⁴²⁰ CBP research indicates that companies in Linyi use Qingdao Port.⁴²¹ Significantly, one of the commercial invoices that Gold Stone provided states “[DESCRIPTION] Qingdao.”⁴²² As such, this departure port coincides with departure ports used by Chinese QSP suppliers [COMPANY], [COMPANY], and Linyi Glory Stone.⁴²³

Additionally, Gold Stone’s documents contained numerous discrepancies that called their accuracy into question. For example, Gold Stone declared to CBP that entry [NUMBER]8943 was worth \$[NUMBER].⁴²⁴ The [DATE] commercial invoice, which was ostensibly from MEDA ZZ, and the Malaysian export declaration denoted the same value.⁴²⁵ In contrast, the [DATE] purchase order stated a value of \$[NUMBER].⁴²⁶ Likewise, Gold Stone’s payment to Glory Stone was \$[NUMBER].⁴²⁷ Regarding the discrepancy, Gold Stone claimed that:

Glory Stone made the wrong color in the original PO. They weren’t able to remake the correct color for me, so they arranged a discount and they changed the invoice paper, but they did not change and resend the corrected the PO paper. That is why there are around [NUMBER] difference. Such difference was refunded and applied to the freight cost.... The variance derived from Glory Stone’s mistake in the color of the ordered goods (i.e., Glory Stone charged Gold Stone a higher price based on the wrong color). When Gold Stone brought this error to Glory Stone’s attention, Glory Stone modified the color and the invoice amount, and applied the difference (about \$3400) to the ocean freight cost. In the entry package related to this entry in the last submission, the invoice actually included a notation on the related items.⁴²⁸

Several factors indicate that these claims are not accurate. First, Gold Stone submitted two versions of a MEDA ZZ invoice. Although both invoices contain the same date, invoice number, product numbers, dollar amounts, quantities, and MEDA ZZ address, the later version contains several other changes not present in the version that Gold Stone submitted earlier. Gold Stone claims that Glory Stone “changed the invoice paper,” which included “a notation on the related items.” However, the added notations do not contain any indication of a color change. The later

⁴¹⁷ See October 27 Memorandum at Attachment 11.

⁴¹⁸ *Id.*

⁴¹⁹ *Id.*

⁴²⁰ See Interim Measures at 8; see also February 10 Memorandum at Attachment 5.

⁴²¹ See February 10 Memorandum at Attachment 4; see also October 27 Memorandum at Attachment 11, pages 1, 3-4.

⁴²² See also Interim Measures at 9; see also Gold Stone CF-28 Response at 12.

⁴²³ See Gold Stone RFI at 16; see also Gold Stone CF-28 Response at 12, 112.

⁴²⁴ See Gold Stone RFI at Exhibit G, page 1.

⁴²⁵ See Gold Stone CF-28 Response at 12; see also Gold Stone Supplemental RFI at Exhibit N, page 7.

⁴²⁶ See Gold Stone CF-28 Response at 9.

⁴²⁷ *Id.* at 10.

⁴²⁸ See Gold Stone RFI at 15; see also Gold Stone Supplemental RFI at 13.

version removed the MEDA ZZ stamp at the bottom and added “[#]” near one of the amounts, “[ABBREVIATION]” near the total dollar amount, and “[DESCRIPTION]” and “[DESCRIPTION]” near the bottom.⁴²⁹ Second, Gold Stone previously claimed MEDA ZZ issued this commercial invoice.⁴³⁰ However, Gold Stone also claimed that Glory Stone “changed the invoice paper” and modified the invoice amount.⁴³¹ If it is true that MEDA ZZ issued the commercial invoice and Glory Stone modified its amount, CBP never received the corresponding commercial invoice containing a different amount. Furthermore, it is noteworthy that the date and invoice number were not changed in the two commercial invoices. It is also significant that Glory Stone changed MEDA ZZ’s invoice, rather than asking MEDA ZZ to update it, which casts doubt on the accuracy of the narrative Gold Stone provided.

Third, although Gold Stone claims that Glory Stone “made the wrong color in the original PO {purchase order},” the purchase order does not contain any color designation.⁴³² The purchase order’s three product numbers are the only items that could possibly indicate color; however, these product numbers were not changed, which further indicates no color change occurred.⁴³³ Fourth, Gold Stone did not provide any correspondence or other documentation to substantiate its claims concerning the wrong colors. Additionally, other than Gold Stone’s mere assertion, the documentation does not contain any indication that the approximately \$3,400 difference was applied to freight.⁴³⁴ Finally, Gold Stone’s payment documentation for \$[NUMBER] worth of merchandise was further corroborated by the purchase order and, coupled together, these items are more credible than the two versions of the commercial invoice and Gold Stone’s unsubstantiated claims that \$[NUMBER] was produced. In light of Gold Stone’s payment documentation, its purchase order, its unsubstantiated claims concerning the lower entry value, and its other questionable statements, CBP determines that entry [NUMBER]8943 was undervalued.

With reference to its three MEDA ZZ entries, Gold Stone did not provide any of the requested internal company communications or much of the external communication with its customs brokers, freight forwarders, or Glory Stone.⁴³⁵ Gold Stone provided WeChat communications with Mala from [DATE], [DATE], [DATE], and approximately [DATES], and eight emails from its freight forwarder, customs broker, and CBP officials from [DATE].⁴³⁶ In response to CBP’s request for all internal Gold Stone correspondence with Glory Stone, Gold Stone stated “WeChat. See enclosed in Exhibit C.”⁴³⁷ After CBP pointed out the small amount of WeChat correspondence it received, Gold Stone made a statement explaining the reason for its incomplete correspondence:

In the fall of 2020, then U.S. President Trump proposed to ban the use of WeChat in the U.S. In anticipation of U.S. enforcement, Gold Stone uninstalled the application and all

⁴²⁹ See Gold Stone RFI at Exhibit G, page 4.

⁴³⁰ *Id.* at 15.

⁴³¹ *Id.*; see also Gold Stone Supplemental RFI at 13.

⁴³² See Gold Stone CF-28 Response at 9.

⁴³³ See Gold Stone RFI at Exhibit G, page 4.

⁴³⁴ See Gold Stone Supplemental RFI at Exhibit N, pages 7, 10.

⁴³⁵ *Id.* at 14-15.

⁴³⁶ See Gold Stone RFI at Exhibits C-D; see also Gold Stone Supplemental RFI at Exhibit B.

⁴³⁷ See Gold Stone RFI at 11, 14; see also Gold Stone Supplemental RFI at 14-15.

chat history was removed. The chat history sample provided in the last submission was obtained from Glory Stone's Mala at the request of Gold Stone in response to this investigation. Gold Stone was not able to obtain more chat history that occurred prior to this investigation.⁴³⁸

Based on this statement, Gold Stone had advanced awareness of WeChat's potential ending and so had time to back up all of its WeChat records for these three entries. However, Gold Stone did not back up these records. The incomplete records Gold Stone presented to CBP inhibited its ability to conduct this investigation inasmuch as CBP could not corroborate Gold Stone's claims.

Similarly, CBP observed several other discrepancies and omissions that call the completeness and accuracy of the documentation Gold Stone provided into question. With reference to entry [NUMBER]4574, Gold Stone provided the draft bill of lading but did not provide the final bill of lading.⁴³⁹ Furthermore, the draft bill of lading, Malaysian export declaration, and certificate of origin contain two different departure dates that are both different than the departure date declared to CBP.⁴⁴⁰

With reference to entry [NUMBER]8943, the bill of lading indicated the following: “[
SITUATION DESCRIPTION

].”⁴⁴¹

This statement is significant because the bill of lading's purported place of issue is [LOCATION] and, therefore, it is unclear why the laws of Malaysia were not applicable. Additionally, although most Importers provided their respective entries' fumigation certificates, Gold Stone did not provide this entry's fumigation certificate.

With reference to entry [NUMBER]1100, the bill of lading stated, “[
SITUATION DESCRIPTION

].”⁴⁴²

Again, this statement is notable because the bill of lading's purported place of issue is [CITY, COUNTRY] and, therefore, it is unclear why the merchandise, if allegedly Malaysian in origin, would not be subject to the laws of Malaysia. The fact that the bill of lading refers to the [DESCRIPTION] indicates that the merchandise originated in China. Furthermore, although most Importers provided their respective entries' fumigation certificates, Gold Stone did not provide this entry's fumigation certificate or certificate of entry.

Gold Stone claimed that the QSP at issue was outside the scope of the AD/CVD Orders because MEDA ZZ manufactured it in Malaysia from raw materials.⁴⁴³ As such, Gold Stone provided two sets of documents purportedly portraying MEDA ZZ's purchase of and payment for raw materials used in their three MEDA ZZ entries. Gold Stone's first set of raw material documents pertained to entry [NUMBER]8943; interestingly, AAA provided identical documents for its

⁴³⁸ See Gold Stone RFI at 9.

⁴³⁹ See Gold Stone Supplemental RFI at Exhibit M, page 6.

⁴⁴⁰ *Id.* at Exhibit M, pages 1, 6, 8-9.

⁴⁴¹ See Gold Stone Supplemental RFI at Exhibit N, page 9.

⁴⁴² *Id.* at Exhibit O, page 9.

⁴⁴³ See Gold Stone RFI at 21.

MEDA ZZ entry as well.⁴⁴⁴ AAA also provided a production schedule; however, this production schedule did not list any raw material quantities to permit tying them to the raw material invoices' quantities.⁴⁴⁵

Regarding Gold Stone's second set of raw material documents, Gold Stone stated that their "date of delivery (April 5 and 6, 2020) lies within the period of the subject entries."⁴⁴⁶ FTR and Ilkem also provided the same set of raw material documents.⁴⁴⁷ FTR and Ilkem indicated that these raw material documents pertained to their respective MEDA ZZ entries.⁴⁴⁸ Unlike FTR, Gold Stone and Ilkem did not provide any production schedule. Furthermore, because MEDA ZZ did not respond to CBP's requests for information and certain information on the record indicates that MEDA ZZ does not produce QSP, its production capability has not been corroborated.⁴⁴⁹ Correspondingly, the authenticity and accuracy of both sets of Gold Stone's shared raw material documents also remain unsubstantiated.

RQ Sales Colorado and RQ Sales Nevada are importers of QSP that were founded in 2018 and 2013 respectively.⁴⁵⁰ The owner of RQ Sales Colorado is a relative of one of RQ Sales Nevada's owners.⁴⁵¹ In 2020 RQ Sales Colorado imported one and RQ Sales Nevada imported two entries of QSP from MEDA ZZ.⁴⁵² Both RQ Sales entities did not communicate with MEDA ZZ, but rather, they communicated with and ordered QSP from Hank Ye of Glory Stone.⁴⁵³

In 2016 RQ Sales Nevada met Mr. Ye while he was representing Glory Stone at a Las Vegas trade show.⁴⁵⁴ RQ Sales Nevada noted that Glory Stone had a factory in China and both RQ Sales imported Chinese-origin QSP from Mr. Ye until the AD/CVD Orders issued.⁴⁵⁵ RQ Sales Colorado claimed that after the AD/CVD Orders, "[NAME AND COMPANY], set up production at a factory in Malaysia called MEDA ZZ" and that MEDA ZZ uses Agrostone's factory.⁴⁵⁶ However, this scenario is contradicted by Agrostone's statement that it was "registered in Malaysia by Taiwanese in 2005."⁴⁵⁷ Thus, Agrostone existed in Malaysia long before [NAME] supposedly set up MEDA ZZ/Agrostone's production. Further contradicting this scenario is RQ Sales Nevada's statement that "Hank's company, after some time, worked

⁴⁴⁴ See Gold Stone CF-28 Response at 21-32; see also AAA CF-28 Response at 18-29.

⁴⁴⁵ See AAA CF-28 Response at 30.

⁴⁴⁶ See Gold Stone RFI at 12 and Exhibit E.

⁴⁴⁷ *Id.* at Exhibit E, pages 2-9; see also Ilkem RFI at Exhibit L, pages 2-9.

⁴⁴⁸ See FTR CF-28 Response at 14-20; see also Ilkem RFI at 21 and Exhibit L.

⁴⁴⁹ See February 9 Memorandum at Attachment 2. This attachment indicates that MEDA ZZ is engaged in "manufacturing and selling wood and iron-based furniture, selling women accessories and beauty products." See also February 16 Memorandum at Attachment 2. This attachment shows Google Maps images of MEDA ZZ's two addresses. One of these addresses is a house and the other is a shopping center.

⁴⁵⁰ See RQ Sales Colorado RFI at 6, 126; see also RQ Sales Colorado Supplemental RFI at 12; see also RQ Sales Nevada RFI at 8.

⁴⁵¹ See RQ Sales Nevada RFI at 8.

⁴⁵² See RQ Sales Colorado RFI; see also RQ Sales Nevada RFI.

⁴⁵³ See RQ Sales Colorado RFI at 2; see also RQ Sales Nevada RFI at 12.

⁴⁵⁴ See RQ Sales Nevada RFI at 6.

⁴⁵⁵ See RQ Sales Colorado RFI at 7; see also RQ Sales Nevada RFI at 6; see also RQ Sales Nevada Supplemental RFI at 8; see also RQ Sales Colorado DC NTAC Report at 13; see also RQ Sales Nevada DC NTAC Report at 13.

⁴⁵⁶ See RQ Sales Colorado RFI at 7-8; see also RQ Sales Nevada RFI at 13.

⁴⁵⁷ See July 19 Memorandum at Attachment 4, page 8; see also AD/CVD Orders.

out an agreement with a factory in Malaysia called Argostone {sic}.”⁴⁵⁸ RQ Sales Colorado and RQ Sales Nevada also did not pay MEDA ZZ or Argostone for the imported QSP.⁴⁵⁹

Several other factors indicate that the claim that MEDA ZZ uses Argostone’s factory is not true. Argostone’s facility is in Ipoh in northern peninsular Malaysia, whereas MEDA ZZ is in Batu Pahat, which is a considerable distance away in southern peninsular Malaysia.⁴⁶⁰ Additionally, in multiple entries on the record, importers declared Argostone, or its [COMPANY DESCRIPTION], as the manufacturer.⁴⁶¹ Likewise, before its MEDA ZZ entry, RQ Sales Colorado ordered QSP from Mr. Ye that it also declared was manufactured by Argostone.⁴⁶² These entries indicate that if Argostone’s facility actually manufactured both RQ Sales’ QSP, the companies would have declared the QSP as manufactured by Argostone or [COMPANY]. Moreover, Mr. Ye provided fraudulent raw material documents, as described in the four paragraphs below, which indicates MEDA ZZ did not manufacture the QSP and so could not provide authentic raw material documents.⁴⁶³

With respect to these fraudulent documents, RQ Sales Colorado provided three raw material invoices for its MEDA ZZ entry and three raw material invoices for its Argostone entry.⁴⁶⁴ Multiple common variables and their overall visual similarity clearly indicate that the MEDA ZZ raw material invoices were derived from the Argostone raw material invoices. Each set of documents contain a handwritten invoice from the raw material supplier Stone Paradise. Each of these invoices had the same product quantities, unit prices, total amounts, and invoice number.⁴⁶⁵ Because the copied MEDA ZZ invoice is faded in comparison to the Argostone invoice, someone added a second layer of handwriting, which can be perspicuously observed. Because the second layer of handwriting was written directly over the original’s first layer of handwriting, a side-by-side comparison displays their common origin. Furthermore, someone changed the buyer name to MEDA ZZ, changed part of the date, and added the word “Quartz” after the pre-existing “Sand” to give the appearance that it was a different invoice. RQ Sales Nevada provided the same altered invoice that ostensibly pertained to one of its MEDA ZZ imports as well.⁴⁶⁶

Each set of raw material documents contained two invoices from the raw material supplier Luxchem. A comparison of the first Luxchem invoices indicates that someone copied the MEDA ZZ version from the Argostone version. Tellingly, the MEDA ZZ version retained a copy of the same blue and white striped central portion from the original Argostone invoice.⁴⁶⁷ As such, the striped areas of both invoices had the same production description, quantity, unit

⁴⁵⁸ See RQ Sales Nevada RFI at 6.

⁴⁵⁹ See RQ Sales Colorado RFI at 13; *see also* RQ Sales Nevada RFI at 402, 451, 1505.

⁴⁶⁰ See October 27 Memorandum at Attachment 4. They are 442 km apart.

⁴⁶¹ See RQ Sales Colorado CF-28 Response at 34-52; *see also* RQ Sales Colorado RFI at 829; *see also* [COMPANY] Supplemental RFI at Exhibit K; *see also* [COMPANY] Supplemental RFI at 86-93; *see also* October 27 Memorandum at Attachment 1.

⁴⁶² See RQ Sales Colorado CF-28 Response at 34-52; *see also* RQ Sales Colorado RFI at 8, 829.

⁴⁶³ See RQ Sales Colorado CF-28 Response; *see also* RQ Sales Nevada CF-28 Response.

⁴⁶⁴ See RQ Sales Colorado CF-28 Response at 9-11, 36-38.

⁴⁶⁵ See RQ Sales Colorado CF-28 Response at 10, 36.

⁴⁶⁶ See RQ Sales Nevada CF-28 Response at 74.

⁴⁶⁷ See RQ Sales Colorado CF-28 Response at 9, 38.

price, and total price.⁴⁶⁸ To remove Agrostone-related information, the MEDA ZZ version whited-out the areas above and below the central striped area. In these whited-out areas someone added MEDA ZZ's name, account number, invoice number, and date. However, unlike the Agrostone original's format, the MEDA ZZ version is missing the bank number at the bottom. This is notable because a Luxchem invoice would be expected to stick with the same format in which the bank number is present in the same area. Both RQ Sales entities provided this altered first Luxchem invoice.⁴⁶⁹ The second set of Luxchem invoices featured the same quantities, DO/DR Numbers, LOT number, and invoice number, which pointed to their common origin.⁴⁷⁰ Again, both RQ Sales provided the same altered second Luxchem invoice.⁴⁷¹

Both RQ Sales confirmed that they did not modify these raw material invoices in any way after they received them from Mr. Ye.⁴⁷² Therefore, it is reasonable to conclude that Mr. Ye is the person who surreptitiously altered the invoices because both RQ Sales received these documents from him, because he has a relationship of some sort with Agrostone, and because he is in a position to access these raw material invoices on account of this relationship.⁴⁷³ The fact that Mr. Ye provided fraudulent raw material invoices to RQ Sales Colorado and RQ Sales Nevada indicates that their entries did not originate with MEDA ZZ in Malaysia.

RQ Sales Nevada later stated that it "was advised by Hank Ye that the the {sic} raw material invoices provided originally from Luxchem, and Stone Paradise are not the correct raw materials invoices."⁴⁷⁴ RQ Sales Nevada then submitted another set of raw material invoices from different raw material suppliers. This set of raw material invoices had the same raw material suppliers as several other Importers' raw material invoices purportedly from MEDA ZZ. Among the new set of raw material invoices were purchase orders ostensibly issued by MEDA ZZ to the raw materials suppliers. Notably, each purchase order had Agrostone's Ipoh address in the delivery address area.⁴⁷⁵ This is significant because every other corresponding MEDA ZZ purchase order that the other Importers' submitted had MEDA ZZ's Batu Pahat address in the delivery address area.⁴⁷⁶ The fact that RQ Sales Colorado's purchase orders are the only ones with Agrostone's Ipoh address indicates that Hank Ye altered them to fit the narrative that MEDA ZZ used Agrostone's facility.⁴⁷⁷ In light of the preceding facts, CBP determines that the claim that MEDA ZZ uses Agrostone's factory is not true.

Considering Mr. Ye's provision of fraudulent documents, CBP notes certain other omissions that call the accuracy and completeness of the documentation into question. With reference to RQ Sales Nevada entry [NUMBER]5567, the Malaysian certificate of origin and RQ Sales

⁴⁶⁸ *Id.* at 9, 38.

⁴⁶⁹ *Id.* at 9; *see also* RQ Sales Nevada CF-28 Response at 72.

⁴⁷⁰ *See* RQ Sales Colorado CF-28 Response at 11, 37.

⁴⁷¹ *Id.* at 11; *see also* RQ Sales Nevada CF-28 Response at 73.

⁴⁷² *See* RQ Sales Colorado RFI at 14; *see also* RQ Sales Nevada RFI at 18.

⁴⁷³ *See, e.g.,* RQ Sales Colorado RFI at 848.

⁴⁷⁴ *See* RQ Sales Nevada RFI at 18 and 188, 191, 194, 201-209 of the public version.

⁴⁷⁵ *Id.* at 188, 191, 194, 201, 204, 207 of the public version.

⁴⁷⁶ *See* AAA CF-28 Response at 20-21, 26; *see also* Astera CF-28 Response at 77-78, 82; *see also* FTR CF-28 Response at 14, 18; *see also* Gold Stone CF-28 Response at 23, 26, 29; *see also* Gold Stone RFI at Exhibit E, pages 2, 6; *see also* Ilkem RFI at Exhibit L, pages 2, 6; *see also* Top Shop RFI at Exhibit J, pages 112, 120, 127; *see also* YNJ CF-28 Response at 57, 59, 67, 69, 73.

⁴⁷⁷ *Id.*

Nevada's purchase order identified invoice number GS1121 as a source document; however, RQ Sales Nevada did not provide this invoice.⁴⁷⁸ Similarly, with reference to RQ Sales Nevada entry [NUMBER]5978, the Malaysian certificate of origin identified invoice number GS0903 as a source document; however, RQ Sales Nevada did not provide this invoice.⁴⁷⁹ It is common for an abbreviation or acronym of the issuing party's name to appear at the beginning of the invoice number.⁴⁸⁰ As such, Glory Stone issued the missing invoices beginning with "GS." Additionally, entry [NUMBER]5978's bill of lading does not have a signature or date stamp, which indicates it is not the final version.⁴⁸¹ Thus, CBP did not receive this entry's final bill of lading.

Additionally, multiple items on the record pointed to the QSP's Chinese-origin. In August 2020, the freight forwarder notified RQ Sales Nevada about an upcoming [EVENT DESCRIPTION] for RQ Sales Colorado. The shipment was scheduled to travel from [COMPANY, DEPARTURE LOCATION, DESTINATION].⁴⁸² Although the shipment did not contain QSP, it originated from [COMPANY, CITY, COUNTRY], and pertained to the same project containing QSP that RQ Sales Colorado imported from MEDA ZZ.⁴⁸³ The invoice for RQ Sales Nevada entry [NUMBER]5567 denoted that the QSP was "[DESCRIPTION]."⁴⁸⁴ Although this invoice was ostensibly from MEDA ZZ, RQ Sales Nevada indicated that the invoice originated from Mr. Ye, who is located in Xiamen, China.⁴⁸⁵

The Chinese logistics company, [COMPANY], was also included in emails for RQ Sales Colorado's entry.⁴⁸⁶ Due to its location in the center of China's QSP production, [CITY], [COMPANY] was conveniently placed to facilitate the QSP's initial movement from China to Malaysia.⁴⁸⁷ Additional Malaysian and American companies, [COMPANY] and Cosmic USA, were involved in this entry's transportation.⁴⁸⁸ These companies coordinated the logistics of this entry among each other and Hank Ye.⁴⁸⁹ Because freight forwarders from Malaysia and USA were already involved in the entry, an additional freight forwarder from [CITY] indicates that the merchandise originated in [CITY], China. As such, these logistics companies were located in China, Malaysia, and the United States, the three locations needed for transshipment.

Separate from both RQ Sales' MEDA ZZ orders, it is noteworthy that RQ Sales Nevada ordered QSP from [NAME] of Petrlink International, also known as Petrlink Int'l Inc. (Petrlink). RQ Sales Nevada stated that Petrlink is a U.S. sales representative for Xiamen Wan Long Stone Co.

⁴⁷⁸ See RQ Sales Nevada CF-28 Response at 79, 86; *see also* RQ Sales Nevada RFI at 2095.

⁴⁷⁹ See RQ Sales Nevada RFI at 2279.

⁴⁸⁰ See, e.g., Gin RFI at 16; *see also* YNJ RFI at 12; *see also* Next Generation RFI at 19, 49, 488. In these examples, GT stands for Goldtop and TS stands for Timeless Stone.

⁴⁸¹ See RQ Sales Nevada RFI at 2272-2273.

⁴⁸² *Id.* at 812-813, 1420.

⁴⁸³ See RQ Sales Colorado RFI at 1469; *see also* RQ Sales Nevada RFI at 1420.

⁴⁸⁴ See RQ Sales Nevada RFI at 2081-2082.

⁴⁸⁵ *Id.* at 10; *see also* RQ Sales Colorado RFI at 66.

⁴⁸⁶ See RQ Sales Colorado RFI at 1523-1527, 1531-1532, 1535-1536, 1539-1540, 1543-1545, 1547-1548, 1592, 1594.

⁴⁸⁷ *Id.* at 1547.

⁴⁸⁸ *Id.* at 3, 1523.

⁴⁸⁹ *Id.* at 1543-1544.

Ltd., also known as WL Stone Manufacturing.⁴⁹⁰ Petrilink’s website states that it is “the US based office representing its stone factory in Xiamen, China.”⁴⁹¹ Ms. [NAME] stated that Petrilink [EVENT DESCRIPTION], and offered to do the same for RQ Sales Nevada. As such, she stated:

[

DESCRIPTION

].⁴⁹²

RQ Sales Nevada expressly declined her offer and stated “[RESPONSE DESCRIPTION]”.⁴⁹³

Pursuant to 19 USC 1517(c)(3) and 19 CFR 165.6, CBP may apply an adverse inference if the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with an RFI made by CBP. In applying an adverse inference against a party, CBP may use the facts otherwise available to make a final determination as to evasion pursuant to 19 USC 1517(c)(1)(A) and 19 CFR 165.27. Moreover, an adverse inference may be used with respect to U.S. importers, foreign producers, and manufacturers “without regard to whether another person involved in the same transaction or transactions under examination has provided the information sought by CBP....”

CBP repeatedly advised Gold Stone that “If you fail to cooperate and comply to the best of your ability with Section 1 of this request, CBP may apply an inference adverse to Gold Stone’s interest and select from among the facts otherwise available to make the determination as to evasion pursuant to 19 CFR 165.27.”⁴⁹⁴ CBP also repeatedly told Gold Stone that “Should you or the owner/provider of requested material provide false statements or make a material omission or otherwise attempt to conceal material facts at any point in the proceedings, associated parties may be subject to adverse inferences mentioned above{.}”⁴⁹⁵ CBP also stated:

In response to question 11h, Gold Stone provided Exhibit C, which was a single conversation regarding the need for ordering quartz slabs. Provide all correspondence between any Gold Stone personnel and any [COMPANY] personnel (i.e., emails; text

⁴⁹⁰ See RQ Sales Nevada Supplemental RFI at 5; *see also* July 19 Memorandum at Attachment 19, page 4. Ms. [NAME] was actually located in [COUNTRY] at the time of the email. See RQ Sales Nevada Supplemental RFI at 101.

⁴⁹¹ See July 19 Memorandum at Attachment 19, page 1.

⁴⁹² See RQ Sales Nevada Supplemental RFI at 81.

⁴⁹³ *Id.*

⁴⁹⁴ See Gold Stone RFI at Exhibit A, page 1; *see also* Gold Stone Supplemental RFI at Exhibit A, page 1; *see also* RFI sent to RQ Sales Colorado; *see also* Supplemental RFI sent to RQ Sales Colorado; *see also* RQ Sales Nevada RFI at 2; *see also* RQ Sales Nevada Supplemental RFI at 1-2.

⁴⁹⁵ See Gold Stone RFI at Exhibit A, page 2; *see also* Gold Stone Supplemental RFI at Exhibit A, page 2; *see also* RFI sent to RQ Sales Colorado; *see also* Supplemental RFI sent to RQ Sales Colorado; *see also* RQ Sales Nevada RFI at 3; *see also* RQ Sales Nevada Supplemental RFI at 3.

messages; and instant messages through Facebook, LinkedIn, WhatsApp, WeChat, Tencent QQ, etc.). Please note that CBP already requested all correspondence with [COMPANY] personnel and this is CBP's second request for this information. If Gold Stone fails to provide all of its correspondence with [COMPANY] personnel, CBP may find that Gold Stone has not cooperated to the best of its ability, may apply an inference adverse to Gold Stone, and select from among the facts otherwise available to make the determination as to evasion pursuant to 19 CFR 165.27.⁴⁹⁶

Nevertheless, Gold Stone did not provide CBP with its complete correspondence records with Glory Stone.⁴⁹⁷ Gold Stone also did not provide any internal company correspondence or most external correspondence with its customs broker or freight forwarder.⁴⁹⁸ Gold Stone failed to provide relevant documents in response to CBP request and failed to cooperate to the best of its ability. CBP needed these records to corroborate Gold Stone's statements and other documents. Consequently, Gold Stone omitted correspondence records and inhibited CBP's investigation.

In relying upon an adverse inference for failure to cooperate and comply to the best of one's ability with a request for information, CBP will look at the facts otherwise available. In this case CBP relies on the facts from the Allegation that indicate that Gold Stone imported Chinese-origin QSP from China.⁴⁹⁹ As a result, Gold Stone's entries from MEDA ZZ will be subject to the China-wide entity rate for the AD Order and the all-others rate for the CVD Order on QSP from China.⁵⁰⁰

In conclusion, multiple facts on the record establish that Gold Stone's, RQ Sales Colorado's, and RQ Sales Nevada's QSP from MEDA ZZ evaded the payment of AD/CVD duties:

- Gold Stone, RQ Sales Colorado, and RQ Sales Nevada ordered this merchandise from Glory Stone rather than from MEDA ZZ.
- Gold Stone's inability to substantiate the raw material amounts in the invoices used in their entries.
- Gold Stone provided incomplete documentation containing multiple irregularities. Gold Stone did not maintain complete records and did not provide complete correspondence to CBP, which prevented further corroboration of their claims.
- Glory Stone appears to be related to QSP supplier Linyi Glory Stone, which is close to Qingdao Port. One of Gold Stone's invoices states "[DESCRIPTION] Qingdao."
- Some of the QSP product numbers that Gold Stone ordered have an "[DESCRIPTION]" prefix, two Chinese companies also sometimes use this prefix and use [CITY] departure ports.

⁴⁹⁶ See Gold Stone Supplemental RFI at 9.

⁴⁹⁷ *Id.*

⁴⁹⁸ *Id.* at 14-15.

⁴⁹⁹ See Gold Stone Allegation at 1, 6-13.

⁵⁰⁰ The applicable China-Wide Entity rate for the AD order is 326.15 percent and the applicable All Others rate for the CVD order is 45.32 percent. See *Certain Quartz Surface Products from the People's Republic of China: Final Affirmative Determination of Sales at Less Than Fair Value, and Final Affirmative Determination of Critical Circumstances*, 84 FR 23767 (May 23, 2019); see also *Certain Quartz Surface Products from the People's Republic of China: Final Affirmative Countervailing Duty Determination, and Final Affirmative Determination of Critical Circumstances*, 84 FR 23760 (May 23, 2019).

- Gold Stone undervalued one entry.
- Gold Stone initially withheld the existence of its multiple shareholders.
- MEDA ZZ was not the payment recipient for the QSP.
- Glory Stone's director general, Hank Ye, is located in Xiamen, China. Mr. Ye's employer, Glory Stone, is a QSP supplier in China.
- RQ Sales Colorado received a shipment from [COUNTRY] pertaining to its MEDA ZZ order.
- The involvement of the Chinese freight forwarder [COMPANY], in addition to American and Malaysian freight forwarders [COMPANY] and Cosmic USA in RQ Sales Colorado's entry.
- The invoice for RQ Sales Nevada entry [NUMBER]5567 denoted that the QSP was "[DESCRIPTION]."⁵⁰¹
- Mr. Ye provided forged raw material invoices to CBP via RQ Sales Colorado's and RQ Sales Nevada's CF-28 and RFI responses.⁵⁰²
- Glory Stone falsely claimed that Hank Ye is a shareholder and a co-owner of MEDA ZZ. Both RQ Sales incorrectly claimed that Hank Ye set up MEDA ZZ/Agrostone's production and that MEDA ZZ used Agrostone's factory.

Consequently, based on the aforementioned analysis of relevant evidence, CBP determines that substantial evidence exists demonstrating that, by means of material false statements or material omissions, Gold Stone, RQ Sales Colorado, and RQ Sales Nevada entered Chinese-origin QSP subject to the AD/CVD Orders and failed to pay the requisite duties.

U.S. Importers - Granite Collection and Ilkem

Granite Collection and Ilkem are New Jersey-based importers of QSP and their owners are related to each other.⁵⁰³ With respect to Granite Collection, CBP requested identifying information for all of its facilities and affiliates. In response, Granite Collection did not report any affiliates and indicated that "There exists one facility at the below location: 485 Arbor Rd Cinnaminson NJ," which is a single-family house.⁵⁰⁴ Conversely, in electronic communications, Granite Collection's owner stated that "[SITUATION DESCRIPTION]."⁵⁰⁵ When CBP asked about these additional locations, Granite Collection replied that the "referenced locations are not owned by Granite Collection Inc."⁵⁰⁶ CBP research revealed that Granite Collection's owner co-owns an Ohio-based company named Keystone Granite and Tile Inc (Keystone).⁵⁰⁷ CBP research further evinced that Keystone has facilities in [LOCATIONS].⁵⁰⁸ Because of its

⁵⁰¹ See RQ Sales Nevada RFI at 2081-2082.

⁵⁰² See Interim Measures at 20, 26; see RQ Sales Colorado RFI at 14; see also RQ Sales Nevada RFI at 18, 186-209 of the public version; see also RQ Sales Colorado CF-28 Response; see also RQ Sales Nevada CF-28 Response.

⁵⁰³ See Granite Collection CF-28 Response at 183; see also Granite Collection RFI at 17; see also Ilkem RFI at 13, 19; see also Ilkem CF-28 Response at 56.

⁵⁰⁴ See Granite Collection RFI at 12; see also July 19 Memorandum at Attachment 15, pages 10-11.

⁵⁰⁵ See Granite Collection RFI at Exhibit B, pages 4, 18.

⁵⁰⁶ See Granite Collection Supplemental RFI at 6.

⁵⁰⁷ See July 19 Memorandum at Attachment 15, page 14.

⁵⁰⁸ *Id.* at Attachment 15, page 15.

common ownership, Keystone is an affiliate of Granite Collection.⁵⁰⁹ As such, Granite Collection withheld the existence of this affiliate from CBP.

Granite Collection entered four entries from MEDA ZZ and one entry from Stone Direct during the period of investigation and Ilkem entered four entries from MEDA ZZ and three entries from Stone Direct during the period of investigation.⁵¹⁰ However, Granite Collection and Ilkem ordered these entries' merchandise from James Zeng of Amani/Betop rather than from MEDA ZZ or Stone Direct.⁵¹¹ Amani/Betop is a QSP producer located near Xiamen in Zhangzhou, Fujian Province, China.⁵¹² Granite Collection stated that its relationship with Mr. Zeng began when he first contacted them in early 2020.⁵¹³ Ilkem claimed Mr. Zeng first called them in January 2020 and that he was a sales agent for MEDA ZZ and Stone Direct.⁵¹⁴ Conversely, Mr. Zeng's LinkedIn profile does not indicate that he is a sales agent but that he is the director of Amani/Betop and is located in Quanzhou, Fujian Province, China.⁵¹⁵ He is also listed as the general manager of Zhangzhou Betop Import & Export Trade Co., Ltd on their website.⁵¹⁶

Ilkem referred to its owner's "initial telephone conversation with James Zeng."⁵¹⁷ Ilkem also claimed that its purchase orders with Mr. Zeng were by telephone.⁵¹⁸ Ilkem subsequently changed its answer to "By 'speak' IMG meant WhatsApp messages through the phone."⁵¹⁹ Ilkem claimed that "The negotiations were mostly through phone conversations.... The WhatsApp conversations no longer exist due to Ali changing his phone. However, they were provided before so customs should have it."⁵²⁰ As such, Ilkem did not retain its WhatsApp conversation records due to Ilkem's owner purportedly changing his phone.

CBP also requested Granite Collection's and Ilkem's email and instant messaging communications with each other. Ilkem initially indicated that these records were available and stated that they were "in regular communication about innumerable matters, resulting in thousands of exchanges. Please advise the subject for which you seek communications and we will be happy to provide."⁵²¹ After CBP requested communications pertaining to MEDA ZZ, Stone Direct, and Amani/Betop, Ilkem rescinded its offer to provide these communications and claimed that "All of these communications are either over the phone or verbal in person conversations."⁵²²

⁵⁰⁹ See Granite Collection RFI at 11-15 and Exhibit G.

⁵¹⁰ See Interim Measures at 9-15.

⁵¹¹ See Granite Collection RFI at 4-5, 16 and Exhibit B; *see also* Ilkem RFI at 7, 17.

⁵¹² See February 10 Memorandum at Attachment 2, pages 9, 11, 13, 22, 36; *see also* July 1 Memorandum at Attachments 5-6; *see also* July 19 Memorandum at Exhibit 16; *see also* Allegations at Exhibits 5-7.

⁵¹³ See Granite Collection RFI at 4.

⁵¹⁴ See Ilkem RFI at 4; *see also* Ilkem Supplemental RFI at 4.

⁵¹⁵ See July 1 Memorandum at Attachment 6, page 1.

⁵¹⁶ See February 10 Memorandum at Attachment 2, page 22.

⁵¹⁷ See Ilkem Supplemental RFI at 2.

⁵¹⁸ See Ilkem RFI at 21.

⁵¹⁹ See Ilkem Supplemental RFI at 14.

⁵²⁰ *Id.* at 3.

⁵²¹ See Ilkem RFI at 19.

⁵²² *Id.* at 4.

With respect to Amani/Betop, multiple items on the record indicate Amani's and Betop's affiliation with each other.⁵²³ One of Mr. Zeng's email addresses, sale@cnbetop.com, is listed on Amani Stone's website and Facebook page.⁵²⁴ A supplier website discussing Betop refers to Amani as a Betop brand.⁵²⁵ Moreover, Mr. Zeng's LinkedIn profile indicates that he is the "Betop Stone Director" and the director of "Amani Quartz."⁵²⁶

Granite Collection and Ilkem acknowledge the existence of Amani/Betop's production in China and further claim that it is headquartered in China and affiliated with MEDA ZZ and Stone Direct.⁵²⁷ Granite Collection stated "Betop Stone is affiliated with the Chinese company Amani Stone; the Chinese entities produce QSP in Malaysia at MEDA ZZ" and "at Stone Direct."⁵²⁸ Likewise, Mr. Zeng claimed that "Stone Direct is our facotry {sic} in Malaysia" and "MEDA ZZ is our facotry {sic} in Malaysia, Betop Stone is our company in HK."⁵²⁹ Although some emails and Amani/Betop's Facebook page claimed Malaysian production, Amani/Betop's company website, Mr. Zeng's LinkedIn profile, and other related websites contain no indication that Amani/Betop has factories or affiliated companies outside China.⁵³⁰

Likewise, other Chinese exporters in this investigation, such as Newstar, Goldtop, Glory Stone, and [COMPANY], claimed affiliation with MEDA ZZ and Stone Direct.⁵³¹ Although these Chinese exporters are unrelated companies, Granite Collection and Ilkem did not attempt to explain or reconcile their competing claims. Furthermore, Granite Collection and Ilkem could not substantiate their claim that Amani/Betop is affiliated with MEDA ZZ and Stone Direct. When CBP requested MEDA ZZ's and Stone Direct's articles of incorporation, Granite Collection and Ilkem instead provided a MEDA ZZ business registration and the first page of a Malaysian Government document for Stone Direct.⁵³² These documents contained no indication that MEDA ZZ or Stone Direct were affiliated with each other or with Amani/Betop.⁵³³

The Malaysian Government's Companies Commission of Malaysia listed Khor Ken Yeon and Khor Yee Lin as Stone Direct's owners and contained no indication that Stone Direct or its

⁵²³ Amani/Betop is affiliated with Betop Imp & Exp Trade Co. Ltd and Zhangzhou Betop Import & Export Trade Co., Ltd. and appears to be affiliated with Xiamen Betop Stone Co., Ltd; Xiamen Import and Export Limited; and Zhangzhou Baitong Import and Export Trade Co., Ltd. See February 10 Memorandum at Attachments 1-2.

⁵²⁴ See July 1 Memorandum at Attachment 5; see also July 19 Memorandum at Attachment 16; see also Allegations at Exhibit 6, page 3, and Exhibit 7, page 3; see also Granite Collection CF-28 Response at 173-174. Although Mr. Zeng's signature block only indicates that he works for Betop, his signature block's website address, physical address, and "Tel/Fax" number matched those listed on Amani's website. The mobile number in his email signature block is also identical to the WhatsApp number on Amani's Facebook page.

⁵²⁵ See February 10 Memorandum at Attachment 2, page 22.

⁵²⁶ *Id.* at Attachment 4; see also July 1 Memorandum at Attachment 6, pages 1, 3-4.

⁵²⁷ See Granite Collection RFI at 5-7, 16-17, 33-34; see also Ilkem RFI at 5, 7, 9, 25.

⁵²⁸ See Granite Collection RFI at 16-17.

⁵²⁹ See Granite Collection CF-28 Response at 163, 172, 195, 226; see also Interim Measures at 10, 13.

⁵³⁰ See also Granite Collection RFI at 5; see also February 10 Memorandum at Attachments 2-3; see also July 1 Memorandum at Attachments 5-6; see also July 19 Memorandum at Attachment 16.

⁵³¹ See Top Shop Supplemental RFI at Exhibit 1, page 8; see also Gin RFI at 1; see also Gin Supplemental RFI at 161; see also Gold Stone RFI at 10; see also Gold Stone Supplemental RFI at 2, 4, 8; see also RQ Sales Nevada RFI at 6; see also GHS Sect A-C&E RFI at 6, 13, 15; see also GHS Supplemental RFI at 10.

⁵³² See Granite Collection RFI at 16 and Exhibit O; see also Ilkem RFI at Exhibit B.

⁵³³ See Granite Collection RFI at Exhibit O.

owners were affiliated with Amani/Betop or MEDA ZZ.⁵³⁴ Although CBP served this document to Granite Collection and Ilkem, they did not attempt to connect Stone Direct's owners to Amani/Betop.⁵³⁵ Additionally, the Companies Commission of Malaysia categorized MEDA ZZ as a sole proprietorship and listed its only owner as a Malaysian citizen named Hamidah Binti Mat Rawi.⁵³⁶ This document also contained no indication that MEDA ZZ or its owner were affiliated with Amani/Betop or Stone Direct. Although CBP served this document to Granite Collection and Ilkem, they did not attempt to connect MEDA ZZ's owner to Amani/Betop.⁵³⁷ In light of the preceding facts and in contrast to Granite Collection's and Ilkem's claims, CBP determines that Amani/Betop, MEDA ZZ, and Stone Direct are unaffiliated with each other.

Multiple facts on the record pertaining to payments and emails indicate that Granite Collection's and Ilkem's QSP from MEDA ZZ and Stone Direct originated in China. Granite Collection and Ilkem paid Amani/Betop's bank [LOCATION] for their QSP rather than MEDA ZZ or Stone Direct.⁵³⁸ This is the opposite payment arrangement that would be expected if Mr. Zeng was a sales agent for MEDA ZZ and Stone Direct as Granite Collection and Ilkem claimed. The subject line of several emails between Mr. Zeng and Ilkem state "[COMPANY]," which would be unusual if Ilkem purchased QSP from MEDA ZZ or Stone Direct.⁵³⁹ Mr. Zeng referred to MEDA ZZ and Stone Direct as a [SITUATION DESCRIPTION].⁵⁴⁰ In one instance he said "[SITUATION DESCRIPTION]."⁵⁴¹ The subject line of another email from Amani/Betop contained Chinese characters that translate as: "[DESCRIPTION]."⁵⁴² This indicates a Chinese-origin because if the QSP originated in Malaysia, there would be [DESCRIPTION] from Malaysia to the United States.

Many of the photographs that Granite Collection and Ilkem provided also indicated a Chinese origin. Ilkem provided factory photographs in which all of the [PHOTOGRAPH DESCRIPTION].⁵⁴³ Although Chinese is spoken in Malaysia, in addition to Malay, the fact that the [PHOTOGRAPH DESCRIPTION] is consistent with a factory location in China. Granite Collection and Ilkem provided photographs showing workers in a factory, and these same photographs were also found on two unrelated Chinese companies' websites.⁵⁴⁴ The fact that these websites utilized the same factory

⁵³⁴ See February 9 Memorandum at Attachment 1.

⁵³⁵ *Id.*

⁵³⁶ *Id.* at Attachment 2.

⁵³⁷ *Id.*

⁵³⁸ See Granite Collection Supplemental RFI at 7 and Exhibit F; *see also* Granite Collection RFI at 16 and Exhibit I, pages 5-7; *see also* Ilkem RFI at Exhibit M; *see also* Ilkem Supplemental RFI at Exhibit H. About this arrangement, Mr. Zeng told Ilkem, "[SITUATION DESCRIPTION]" *Id.* at Exhibit D, page 112.

⁵³⁹ See Ilkem RFI at Exhibit B, pages 42-43, 48-49; *see also* Ilkem Supplemental RFI at Exhibit D, page 1 and Exhibit I, pages 4-5.

⁵⁴⁰ See Ilkem RFI at Exhibit B, pages 27, 52-53; *see also* Ilkem Supplemental RFI at Exhibit D, pages 3, 5, 112; *see also* Granite Collection Supplemental RFI at Exhibit D, page 30.

⁵⁴¹ See Granite Collection Supplemental RFI at Exhibit D, page 30.

⁵⁴² See October 27 Memorandum at Attachment 5.

⁵⁴³ See Ilkem RFI at Exhibit C, pages 11, 17, 19-21.

⁵⁴⁴ See Granite Collection CF-28 Response at 198-206; *see also* Granite Collection RFI at Exhibit D, pages 5-12; *see also* Ilkem CF-28 Response at 230; *see also* Ilkem RFI at Exhibit E, page 1; *see also* July 19 Memorandum at Attachment 15, pages 1-11.

photographs calls into question whether Amani/Betop obtained these photographs from the internet. Additionally, if MEDA ZZ and Stone Direct were Amani/Betop affiliates, it is unlikely that Amani/Betop would distribute these photographs to competitor companies.

Ilkem provided several QSP slab photographs purportedly from MEDA ZZ's product catalog. In the top left corner of the [PRODUCT] QSP slab is [DESCRIPTION], which are similar to those found on Amani Stone's insignia.⁵⁴⁵ The photographs of [PRODUCT] and [PRODUCT] are the same photographs and product names found on Amani Stone's website.⁵⁴⁶ Ilkem's photograph for [PRODUCT] shows a [PHOTOGRAPH DESCRIPTION].⁵⁴⁷ Malaysia is a tropical country that does not receive snow; whereas some areas of China receive snow.⁵⁴⁸ Furthermore, the tops of numbers or letters are visible at the bottom of the photograph. CBP research revealed the same photograph on a QSP sales website, and this website indicated that the QSP in the photograph was the product of the Chinese QSP producer, [COMPANY], which was previously discussed in Gold Stone's section.⁵⁴⁹ The website's version of the photograph showed the full product number, [NUMBER], which is not an Amani Stone product number. The product details on the website note that its origin is "[COUNTRY]" and its [DESCRIPTION], which also indicates that it is Chinese origin.⁵⁵⁰

Correspondingly, in an undated email, Mr. Zeng wrote, "[SITUATION DESCRIPTION]," which indicates an Amani/Betop offer to [SITUATION DESCRIPTION].⁵⁵¹ In another instance, Ilkem instructed Mr. Zeng to "[REQUEST DESCRIPTION]"⁵⁵² This statement is odd because if the QSP was produced in and shipped from Malaysia, there would be no need to [DESCRIPTION].

Many of Granite Collection's and Ilkem's commercial invoices corroborated the references to Chinese departure ports by denoting "[DESCRIPTION] Qingdao" or "[DESCRIPTION] China Port."⁵⁵³ After CBP asked about these references, Granite Collection and Ilkem claimed that Amani/Betop "errantly used an invoice format that is used for China production."⁵⁵⁴ However, the fact that Amani/Betop produces QSP in China, used "an invoice format that is used for China production," and this invoice contained an [DESCRIPTION] from China indicates that the QSP originated in China. Furthermore, although Amani/Betop is not affiliated with MEDA ZZ or Stone Direct, it issued MEDA ZZ's and Stone Direct's invoices. The fact that

⁵⁴⁵ See Ilkem RFI at Exhibit B, page 97; *see also* July 19 Memorandum at Attachment 16, page 20.

⁵⁴⁶ See Ilkem RFI at Exhibit B, pages 93-94; *see also* July 19 Memorandum at Attachment 16, page 4.

⁵⁴⁷ See Ilkem RFI at Exhibit B, page 95. It is near the bottom of the page.

⁵⁴⁸ See October 27 Memorandum at Attachment 14.

⁵⁴⁹ See July 19 Memorandum at Attachment 1; *see also* October 27 Memorandum at Attachment 11.

⁵⁵⁰ *Id.*

⁵⁵¹ See Ilkem RFI at 102.

⁵⁵² *Id.* at 99, 108.

⁵⁵³ See Granite Collection RFI at 25; *see also* Interim Measures at 11; *see also* Granite Collection CF-28 Response at 212, 219, 240, 247; *see also* Ilkem CF-28 Response at 239, 247, 249, 259; *see also* Ilkem RFI at Exhibit F(1), page 2; Exhibit F(2), page 2; Exhibit F(3), page 2; Exhibit F(4), page 2; Exhibit F(5), page 2; Exhibit F(5), page 2; *see also* Ilkem Supplemental RFI at Exhibit I, pages 58, 94, 102, 105. These commercial invoices came from Granite Collection entries [NUMBER]0423, [NUMBER]1603, [NUMBER]1041, [NUMBER]1595 and Ilkem entries [NUMBER]1942, [NUMBER]2478, [NUMBER]3088, [NUMBER]6421, [NUMBER]6603, and [NUMBER]468.

⁵⁵⁴ See Granite Collection RFI at 25-26; *see also* Ilkem RFI at 25.

personnel from an unaffiliated Chinese QSP producer issued these invoices rather than the companies listed on the invoice also indicates a Chinese origin.

Several months after Granite Collection submitted the invoices noted above, it submitted different versions of four of the invoices. In these versions, the “[DESCRIPTION] Qingdao” and “[DESCRIPTION] China Port” were changed to “[DESCRIPTION]” or “[DESCRIPTION].”⁵⁵⁵ A few emails referred to these changes. In one email dated after CBP initiated this investigation, Granite Collection or Mr. Zeng stated, “[DESCRIPTION].”⁵⁵⁶ In another email, Granite Collection asked Mr. Zeng, “[QUESTION DESCRIPTION]” and “[QUESTION DESCRIPTION]”⁵⁵⁷ Mr. Zeng responded “[STATEMENT].”⁵⁵⁸ These conversations indicate that Amani/Betop changed these invoices after it learned about CBP’s investigation and then CBP was provided the revised invoices. Granite Collection’s RFI narratives did not point out or explain the inclusion of these edited invoices, which casts doubt on the originality of its other RFI documents.

In another email, Mr. Zeng told Granite Collection that he “[EVENT DESCRIPTION]” and then separately emailed the “[DESCRIPTION]” and “[DESCRIPTION].”⁵⁵⁹ Similarly, a related email’s subject line was “[DESCRIPTION].”⁵⁶⁰ “[CITY] is a Chinese city that is close to Mr. Zeng’s location in Quanzhou.”⁵⁶¹

After CBP inquired about “[CITY]”, Granite Collection stated that “this reference was an error.” However, these references were germane to the conversation topic on “[DESCRIPTION] QSP” and occurred in multiple emails and spreadsheets, which indicates that they were not erroneous.⁵⁶² Mr. Zeng sent “[#]” photographs of these “[DESCRIPTION].”⁵⁶³ Furthermore, “[DESCRIPTION]” includes a reference to the “[COUNTRY]” in its title, which indicates its intended destination.⁵⁶⁴ After both parties agreed on the “[DESCRIPTION] QSP’s price, quantity, and logistics, Mr. Zeng sent “[DESCRIPTION]” finalizing the sale.⁵⁶⁵ Granite Collection’s wire payment reference indicated that the payment was on the basis of this sales confirmation number, *viz.* “[NUMBER]”⁵⁶⁶ Several packing lists also denote that Granite Collection received “[DESCRIPTION] QSP.”⁵⁶⁷ Each of these facts corroborates that the “[CITY]” references were not erroneous.

⁵⁵⁵ See Granite Collection RFI at Exhibit F(1), page 2; Exhibit F(2), page 2; Exhibit F(3), page 2; and Exhibit F(4), page 2.

⁵⁵⁶ *Id.* at Exhibit B, page 21.

⁵⁵⁷ *Id.* at Exhibit C.

⁵⁵⁸ *Id.*

⁵⁵⁹ *Id.* at Exhibit B, page 6-7; *see also* Granite Collection Supplemental RFI at Exhibit C, page 2 and Exhibit D, page 37.

⁵⁶⁰ See Granite Collection Supplemental RFI at Exhibit D, page 32 and Exhibit H, page 81.

⁵⁶¹ See July 1 Memorandum at Attachment 6, page 1 and Attachment “[#]”, page “[#]”.

⁵⁶² See Granite Collection RFI at Exhibit B, page 6.

⁵⁶³ See Granite Collection Supplemental RFI at Exhibit H{2}, page 87.

⁵⁶⁴ *Id.* at Exhibit D, page 33.

⁵⁶⁵ See Granite Collection RFI at Exhibit B, page 10.

⁵⁶⁶ *Id.* at Exhibit B, page 15; *see also* Granite Collection Supplemental RFI at Exhibit F, page 3.

⁵⁶⁷ See Granite Collection CF-28 Response at 213, 248; *see also* Granite Collection RFI at Exhibit F(2), page 3 and Exhibit F(3), page 3; *see also* Granite Collection Supplemental RFI at Exhibit H{2}, pages 2, 11.

Several sales confirmations referred to in Granite Collection's emails reflect the QSP's Chinese-origin. Mr. Zeng sent Granite Collection "[DESCRIPTION]" and "[DESCRIPTION]."⁵⁶⁸ Each of their respective preview windows showed that the bottom portion of each document listed [COMPANY] as the seller and Granite Collection as the buyer.⁵⁶⁹ Likewise, Mr. Zeng sent Granite Collection "[DESCRIPTION]" and its preview window showed that its top portion listed [COMPANY] at the seller and Granite Collection as the buyer.⁵⁷⁰ Entry [NUMBER]9425's, [NUMBER]0423's, and [NUMBER]1595's commercial invoices referenced these sales confirmations in their top right corners, which indicates that these invoices resulted from their referenced sales confirmations."⁵⁷¹ The fact that these entries are tied to the sales confirmations, which in turn listed the Chinese company [COMPANY] rather than MEDA ZZ or Stone Direct, corroborates the Chinese-origin of these QSP entries.

CBP expressly requested all sales confirmations and invoices from the MEDA ZZ and Stone Direct entries multiple times.⁵⁷² Granite Collection's correspondence demonstrated the existence of sales confirmations listing [COMPANY] as the seller; however, Granite Collection did not provide these sales confirmations. Likewise, Ilkem's correspondence and commercial invoices referenced eight different sales confirmation numbers but Ilkem only provided the sales confirmation for entry [NUMBER]6925.⁵⁷³

Granite Collection and Ilkem provided incomplete records to CBP in other instances as well. For example, CBP requested Ilkem's accounts payable for the two most recent fiscal years multiple times.⁵⁷⁴ However, Ilkem omitted its accounts payable for seven months of 2020.⁵⁷⁵ CBP also requested Granite Collection's pro forma invoices.⁵⁷⁶ Granite Collection told CBP to "see entries in Exhibit F," which only contained the pro forma invoice for entry [NUMBER]9425.⁵⁷⁷ However, Granite Collection's correspondence referenced other pro forma invoices that it did not provide.⁵⁷⁸

⁵⁶⁸ See Granite Collection RFI at Exhibit B, pages 12, 20; *see also* Granite Collection Supplemental RFI at Exhibit H{2}, page 70.

⁵⁶⁹ *Id.*

⁵⁷⁰ See Granite Collection RFI at Exhibit B, page 3, 11.

⁵⁷¹ *Id.* at Exhibit B, page 20; Exhibit F(1), page 2; and Exhibit F(3), page 2; *see also* Granite Collection Supplemental RFI at Exhibit H{2}, page 71. These commercial invoices referenced them as such: "[DESCRIPTION]," "[DESCRIPTION]," and "[DESCRIPTION]."

⁵⁷² See Granite Collection RFI at 21-22; *see also* Granite Collection Supplemental RFI at 12; *see also* Ilkem RFI at 22; *see also* Ilkem Supplemental RFI at 7, 23.

⁵⁷³ See Ilkem RFI at Exhibit B, pages 43, 68, 74, and Exhibit M, pages 9-10; *see also* Ilkem Supplemental RFI at Exhibit D, pages 27, 118, 144, and Exhibit R, page 16. They provided sales confirmation [NUMBER]. The sales confirmations they did not provide were [NUMBERS].

⁵⁷⁴ See Ilkem RFI at 20; *see also* Ilkem Supplemental RFI at 5.

⁵⁷⁵ See Ilkem RFI at Exhibit K; *see also* Ilkem Supplemental RFI at Exhibit F.

⁵⁷⁶ See Granite Collection RFI at 24.

⁵⁷⁷ *Id.* at 24, 58; *see also* Granite Collection Supplemental RFI at 35, 43, 52, 57, 65, 74, 263; *see also* Granite Collection CF-28 Response at 164, 233.

⁵⁷⁸ See Granite Collection CF-28 Response at 164, 233; *see also* Granite Collection RFI at 24, 58; *see also* Granite Collection Supplemental RFI at 35, 43, 52, 57, 65, 74, 263.

Notably, the pro forma invoice for entry [NUMBER]9425 is similar in appearance to the preview window's visible information for [DESCRIPTION].⁵⁷⁹ Both documents listed the same bank information, total price, [DESCRIPTION] column information, and [#] of the [#] QSP models were the same, which indicates that these documents pertained to the same entry.⁵⁸⁰ Significantly, the pro forma invoice listed MEDA ZZ as the seller, whereas the sales confirmation listed [COMPANY] as the seller.⁵⁸¹ The fact that both documents pertain to the same entry and that Granite Collection never submitted the other sales confirmations pertaining to [COMPANY] indicates an attempt to hide documents portraying the QSP's Chinese-origin.

Curiously, although Granite Collection and Amani/Betop had multiple sales agreements memorialized through sales confirmation documents listing [COMPANY] as the seller and issued by Betop's Director James Zeng, Granite Collection stated that it "had no contractual relations with Betop."⁵⁸² Granite Collection's denial of its contractual relations with Amani/Betop and omission of several sales confirmations and pro forma invoices cast doubt on the reliability and completeness of its RFI responses.

Furthermore, evidence on the record indicates that Granite Collection undervalued entry [NUMBER]9425. Granite Collection declared that this entry's value was \$[NUMBER].⁵⁸³ However, the pro forma invoice indicated that the entry was worth \$[NUMBER].⁵⁸⁴ The subsequent commercial invoice denoted that the entry was worth \$[NUMBER] and that Granite Collection had already paid \$[NUMBER].⁵⁸⁵ The remaining balance was \$[NUMBER], which was the entry value Granite Collection declared to CBP.⁵⁸⁶ The commercial invoice's net quantity ties to the entry summary's net quantity, which corroborates that it is the correct invoice. Granite Collection claimed that "the invoice was not separated for each container. The container was cleared based on the invoice."⁵⁸⁷ However, this explanation is incorrect because the entry's commercial invoice ties to the packing list and bill of lading and these documents indicate that the entry's contents were in one container.⁵⁸⁸ Correspondence also refers to the entry's one container and requests Granite Collection to "[REQUEST DESCRIPTION]," which is similar to the commercial invoice's remaining balance.⁵⁸⁹

Evidence on the record indicates that Granite Collection undervalued its other entries as well. The total declared value of Granite Collection's four entries from MEDA ZZ and one entry from Stone Direct is \$[NUMBER].⁵⁹⁰ Granite Collection provided its wire transfer documents to

⁵⁷⁹ See Granite Collection RFI at Exhibit B, page 12; *see also* Granite Collection Supplemental RFI at Exhibit H{2}, page 70.

⁵⁸⁰ *Id.* One product was crossed out.

⁵⁸¹ See Granite Collection Supplemental RFI at Exhibit H{2}, page 70; *see also* Granite Collection RFI at Exhibit B, page 12.

⁵⁸² See Granite Collection RFI at 7 and Exhibit B.

⁵⁸³ See Granite Collection CF-28 Response at 231.

⁵⁸⁴ *Id.* at 164, 233.

⁵⁸⁵ See Granite Collection Supplemental RFI at Exhibit H{2}, page 71.

⁵⁸⁶ *Id.*

⁵⁸⁷ See Granite Collection RFI at 24.

⁵⁸⁸ See Granite Collection Supplemental RFI at Exhibit H{2}, pages 72, 74, 76-77.

⁵⁸⁹ *Id.* at Exhibit H{2}, pages 80-81, 85.

⁵⁹⁰ See Granite Collection CF-28 Response at 231; *see also* Granite Collection RFI at Exhibits F(1)-F(4). [ADDITION FORMULA] = [NUMBER]

Amani/Betop for these entries, which totaled \$[NUMBER].⁵⁹¹ Granite Collection also provided its accounts payable, which listed payments to Amani/Betop totaling \$[NUMBER].⁵⁹² Many of the payments from these two sources could not be tied to the payments noted in Granite Collection's entry documents, such as the commercial invoices' advanced payments and balance payments.⁵⁹³ Granite Collection did not provide any explanation for these discrepancies. This information indicates that Granite Collection undervalued its entries by \$[NUMBERS].

Many of the details in Granite Collection's and Ilkem's documents correspond to details from the Allegations.⁵⁹⁴ [NAME] is an Amani/Betop [EVENT DESCRIPTION].⁵⁹⁵ Like Mr. Zeng, [NAME] works for Amani/Betop and is located in Fujian Province, China.⁵⁹⁶ [EVENT DESCRIPTION] but that his prospective shipment's [SITUATION DESCRIPTION] Malaysia. [EVENT DESCRIPTION]. The [EVENT DESCRIPTION] from entry [NUMBER]9425 and the [EVENT DESCRIPTION] from entry [NUMBER]6421.⁵⁹⁷ [EVENT DESCRIPTION] Stone Direct [DESCRIPTION].⁵⁹⁸ [SITUATION DESCRIPTION].⁵⁹⁹ As previously noted, Mr. Zeng also told Granite Collection on [DATE] that "[SITUATION DESCRIPTION]".⁶⁰⁰

As part of the sales process, [SITUATION DESCRIPTION] in Granite Collection's and Ilkem's commercial invoices.⁶⁰¹ It is noteworthy that products listed on Stone Direct's website begin with "SD"; whereas, product numbers on Granite Collection's and Ilkem's MEDA ZZ and Stone Direct commercial invoices follow Amani/Betop's product format in which products usually begin with "[DESCRIPTION]".⁶⁰²

⁵⁹¹ See Granite Collection Supplemental RFI at Exhibit F. [ADDITION FORMULA] = [NUMBER]

⁵⁹² See Granite Collection RFI at Exhibit I. [ADDITION FORMULA] = [NUMBER]

⁵⁹³ See Granite Collection CF-28 Response at 212, 219, 240, 247; *see also* Granite Collection Supplemental RFI at Exhibit H{2}, page 71.

⁵⁹⁴ See Granite Collection Allegation at Exhibits 8-9; *see also* Ilkem Allegation at Exhibits 8-9.

⁵⁹⁵ See Granite Collection Allegation at Exhibits 5, 8-9; *see also* Ilkem Allegation at Exhibits 5, 8-9.

⁵⁹⁶ *Id.*

⁵⁹⁷ See Granite Collection CF-28 Response at 236; *see also* Ilkem RFI at Exhibit F(1), page 6; *see also* Granite Collection Allegation at Exhibit 9, pages 1, 4-5, 7; *see also* Ilkem Allegation at Exhibit 9, page 5.

⁵⁹⁸ See Granite Collection Allegation at Exhibit 9, page 1; *see also* Ilkem Allegation at Exhibit 9, page 1.

⁵⁹⁹ *Id.*

⁶⁰⁰ See Granite Collection Supplemental RFI at Exhibit D, page 30.

⁶⁰¹ See Granite Collection Allegation at Exhibit 9, pages 2, 8-57; Granite Collection CF-28 Response at 212, 219, 240, 247; *see also* Granite Collection RFI at Exhibits F(1) - F(4); *see also* Granite Collection Supplemental RFI at Exhibit H{2}; *see also* Ilkem CF-28 Response at 239, 247, 249, 259, 303, 306; *see also* Ilkem RFI at Exhibits F(1) - F(6); *see also* Ilkem Supplemental RFI at Exhibit I, pages 14-15, 58, 102 and Exhibit R, page 16. In the allegation, [SITUATION DESCRIPTION] QSP products.

⁶⁰² See Granite Collection CF-28 Response at 212, 219, 240, 247; *see also* Granite Collection RFI at Exhibits F(1) through F(4); *see also* Granite Collection Supplemental RFI at Exhibit H{2}; *see also* Ilkem CF-28 Response at 239, 247, 249, 259, 303, 306; *see also* Ilkem RFI at Exhibits F(1) - F(6); *see also* Ilkem Supplemental at Exhibit I, pages 14-15, 58, 102 and Exhibit R, page 16; *see also* February 9 Memorandum at Attachment 4, page 8; *see also* July 19 Memorandum at Attachment 16, page 21.

Ilkem provided what it claimed was MEDA ZZ's product catalog.⁶⁰³ In one of the catalog's photographs, there were [SITUATION DESCRIPTION] in the left background and its top caption denoted that it was the product [PRODUCT].⁶⁰⁴ The same photograph was present in Amani/Betop's [DESCRIPTION] and its caption also denoted that it was the product [PRODUCT].⁶⁰⁵ Similarly, Ilkem provided photographs from MEDA ZZ's product catalog for [PRODUCTS], which were also found in Amani/Betop's [DESCRIPTION].⁶⁰⁶ These facts indicate that the MEDA ZZ product catalog actually contained Amani/Betop products, which Amani/Betop produces in China.

The following table displays commonalities between the products listed in Granite Collection's and Ilkem's commercial invoices and Amani/Betop's [DESCRIPTION].

Importer Entry Number Declared Manu.	QSP Products on the Commercial Invoice	Corresponding or Similar Amani/Betop Products from their [DESCRIPTION]
Granite Collection [NUMBER]0423 MEDA ZZ	[]	[]
Granite Collection [NUMBER]1041 MEDA ZZ	[]	[]
Granite Collection [NUMBER]1603 MEDA ZZ	[]	[]
Granite Collection [NUMBER]9425 MEDA ZZ	[]	[]
Granite Collection [NUMBER]1595 Stone Direct	[]	[]
Ilkem [NUMBER]6421 MEDA ZZ	[]	[]
Ilkem [NUMBER]6603 MEDA ZZ	[]	[]
Ilkem [NUMBER]8468 MEDA ZZ	[]	[]
Ilkem [NUMBER]1942 MEDA ZZ	[]	[]

⁶⁰³ See Ilkem RFI at 25 and Exhibit B, page 93.

⁶⁰⁴ See Ilkem Allegation at Exhibit 9, page 10.

⁶⁰⁵ *Id.* at Exhibit 9, page 10.

⁶⁰⁶ See Ilkem RFI at Exhibit B, pages 95-96; *see also* Ilkem Allegation at Exhibit 9, pages 18, 22.

Ilkem [NUMBER]2478 Stone Direct	[	]
Ilkem [NUMBER]3088 Stone Direct	[	]
Ilkem [NUMBER]6925 Stone Direct	[	]

Sources: Granite Collection CF-28 Response, Granite Collection RFI, Granite Collection Supplemental RFI, Granite Collection Allegation, Ilkem CF-28 Response, Ilkem RFI, Ilkem Supplemental RFI, Ilkem Allegation

The use of Amani/Betop product numbers, rather than MEDA ZZ or Stone Direct product numbers, indicates Chinese origin. Correspondingly, [SITUATION DESCRIPTION

] ⁶⁰⁷ [EVENT DESCRIPTION] change container into another container” and, to illustrate, sent a video showing a forklift unloading QSP slabs from a shipping container in a warehouse and then immediately reloading them in another container. ⁶⁰⁸

As a corollary, Granite Collection and Ilkem claimed that the QSP at issue was outside the scope of the AD/CVD Orders because MEDA ZZ and Stone Direct manufactured it in Malaysia from raw materials. ⁶⁰⁹ As such, Granite Collection and Ilkem provided several documents ostensibly portraying MEDA ZZ’s and Stone Direct’s purchase and payment for raw materials that were used in their QSP. ⁶¹⁰ FTR and Gold Stone also provided the same MEDA ZZ purchase and payment documents. ⁶¹¹ Two of the raw material documents were dated several months after Granite Collection’s entries from Stone Direct and a couple days after Ilkem’s most recent entry from Stone Direct; therefore, these documents do not pertain to Granite Collection’s or Ilkem’s QSP. ⁶¹² Granite Collection and Ilkem also provided a photograph with a 2016 date stamp that showed large white bags of quartz powder. ⁶¹³ However, this photograph was taken too long ago to be relevant to QSP purchased in the period of investigation; additionally, MEDA ZZ was founded in 2019. Moreover, the bags in the photograph had a different company name printed on them than the quartz powder source Granite Collection and Ilkem claimed. ⁶¹⁴

Furthermore, MEDA ZZ’s and Stone Direct’s production remains unsubstantiated because MEDA ZZ did not respond to CBP’s requests for information and because CBP rejected Stone

⁶⁰⁷ See Granite Collection Allegation at Exhibit 8, pages 1, 3 and Exhibit 9, page 1.

⁶⁰⁸ *Id.* at Exhibit 9, page 1; see also Ilkem Allegation at Exhibit 9, page 1; see also Letter from the Alleger, “Quartz Surface Products from the People’s Republic of China: Public Version of Videos Submitted in Support of EAPA Allegation,” dated May 10, 2021 at Exhibit 2 (Public Version of Videos); see also Alleger Written Arguments at 7.

⁶⁰⁹ See Granite Collection RFI at 27-36; see also Ilkem RFI at 29-39.

⁶¹⁰ See Granite Collection RFI at Exhibit J, pages 2-9, 11-12; see also Ilkem RFI at Exhibit L, pages 2-9, 11-12.

⁶¹¹ See FTR CF-28 Response at 14-20, 27; see also Gold Stone RFI at Exhibit E, pages 2-9.

⁶¹² See Granite Collection RFI at Exhibit F(3), page 1, and Exhibit J, pages 11-12; see also Ilkem RFI at Exhibit L, pages 11-12.

⁶¹³ See Interim Measures at 12-13; see also Granite Collection CF-28 Response at 165, 229; see also Ilkem CF-28 Response at 255, 299.

⁶¹⁴ See Granite Collection CF-28 Response at 162, 225; see also Ilkem CF-28 Response at 253, 290.

Direct's RFI response for repeatedly failing to comply with CBP's RFI instructions, being unresponsive to two CBP emails, and for submitting an untimely, incomplete response.⁶¹⁵ Accordingly, the authenticity and accuracy of Granite Collection's and Ilkem's raw material documents remains unsubstantiated.

CBP's regulations at 19 CFR 165.5(b)(3) state that "Any interested party that provides a material false statement or makes a material omission or otherwise attempts to conceal material facts at any point in the proceedings may be subject to adverse inferences (see § 165.6){.}" Likewise, pursuant to 19 USC 1517(c)(3) and 19 CFR 165.6, CBP may apply an adverse inference if the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with an RFI made by CBP. In applying an adverse inference against a party, CBP may use the facts otherwise available to make a final determination as to evasion pursuant to 19 USC 1517(c)(1)(A) and 19 CFR 165.27. Moreover, an adverse inference may be used with respect to U.S. importers, foreign producers, and manufacturers "without regard to whether another person involved in the same transaction or transactions under examination has provided the information sought by CBP...."

CBP repeatedly advised Granite Collection that "If you fail to cooperate and comply to the best of your ability with Section 1 of this request, CBP may apply an inference adverse to Granite Collection's interest and select from among the facts otherwise available to make the determination as to evasion pursuant to 19 CFR 165.27."⁶¹⁶ CBP also told Granite Collection that "Should you or the owner/provider of requested material provide false statements or make a material omission or otherwise attempt to conceal material facts at any point in the proceedings, associated parties may be subject to adverse inferences mentioned above{.}"⁶¹⁷ Although record evidence indicates that Granite Collection is affiliated with Keystone, Granite Collection did not report this affiliate to CBP.⁶¹⁸ This is relevant because Granite Collection did not provide multiple documents under the premise that it did not have any affiliates, which inhibited CBP's investigation. These omitted documents included business registration numbers, an organization chart that includes affiliates, an explanation of business relationships with affiliates, affiliates' list of leadership, and external communications between affiliates concerning the relevant entries.⁶¹⁹

In relying on an adverse inference for failure to cooperate and comply to the best of one's ability with a request for information, CBP will look at the facts otherwise available. In this case CBP relies on the facts from the Allegation that indicate that Granite Collection imported Chinese-origin QSP from China.⁶²⁰ As a result, the Granite Collection's entries from MEDA ZZ and

⁶¹⁵ See February 9 Memorandum at Attachment 2. This attachment indicates that MEDA ZZ is engaged in "manufacturing and selling wood and iron-based furniture, selling women accessories and beauty products." See also February 16 Memorandum at Attachment 2. This attachment shows Google Maps images of MEDA ZZ's two addresses. One of these addresses is a house and the other is a shopping center. See also July 1 Memorandum at Attachment 20.

⁶¹⁶ See Granite Collection Supplemental RFI at Exhibit A, page 1.

⁶¹⁷ *Id.* at Exhibit A, page 2.

⁶¹⁸ See Granite Collection RFI at 11-15.

⁶¹⁹ *Id.* at 2, 12-15, 18, 21.

⁶²⁰ See Granite Collection Allegation at 1, 6-13, and Exhibit 3.

Stone Direct will be subject to the China-wide entity rate for the AD Order and the all-others rate for the CVD Order on QSP from China.⁶²¹

In conclusion, multiple facts on the record establish that Granite Collection's and Ilkem's entries of QSP were undervalued and/or transshipped through MEDA ZZ and Stone Direct in Malaysia.

- Granite Collection and Ilkem ordered its merchandise from James Zeng of Amani/Betop, a Chinese producer of QSP, rather than from MEDA ZZ.
- Granite Collection and Ilkem paid Amani/Betop's bank [LOCATION] rather than MEDA ZZ's bank.
- The subject lines of several emails indicate that the merchandise originated in China.
- Factory photographs of [PHOTOGRAPH DESCRIPTION].
- MEDA ZZ's and Stone Direct's ownership documents contradicted Granite Collection's and Ilkem's claims that Amani/Betop was affiliated with MEDA ZZ and Stone Direct.
- Ilkem provided QSP slab photographs purportedly from MEDA ZZ's product catalog but some of these photographs were identical to photographs on Amani/Betop's website.
- Ilkem provided a photograph of a [PHOTOGRAPH DESCRIPTION], which indicates that it did not take place in Malaysia. Furthermore, Ilkem obtained the photograph from a QSP sales website, which indicated that the QSP in the photograph belonged to a different Chinese company. The product details also noted that its origin is "[COUNTRY]" and its [DESCRIPTION].
- In an email to Ilkem, Mr. Zeng referenced "[DESCRIPTION]."
- Many Granite Collection and Ilkem commercial invoices denoted "[DESCRIPTION] Qingdao" or "[DESCRIPTION] China Port."
- Mr. Zeng referenced [DESCRIPTION] multiple times during sales negotiations with Granite Collection.
- Granite Collection withheld from CBP multiple sales confirmations and pro forma invoices, which indicated that it confirmed its sales with Amani/Betop rather than MEDA ZZ or Stone Direct.
- Ilkem withheld electronic communications with Granite Collection from CBP.
- Granite Collection ordered the same QSP product names and numbers contained in Amani/Betop's [DESCRIPTION].
- Record documents indicate that Granite Collection substantially undervalued its entries from MEDA ZZ and Stone Direct.

Consequently, based on the aforementioned analysis of relevant evidence, CBP determines that substantial evidence exists demonstrating that, by means of material false statements or omissions, Granite Collection and Ilkem entered Chinese-origin QSP subject to the AD/CVD Orders and failed to pay the requisite duties.

⁶²¹ The applicable China-Wide Entity rate for the AD order is 326.15 percent and the applicable All Others rate for the CVD order is 45.32 percent. *See Certain Quartz Surface Products from the People's Republic of China: Final Affirmative Determination of Sales at Less Than Fair Value, and Final Affirmative Determination of Critical Circumstances*, 84 FR 23767 (May 23, 2019); *see also Certain Quartz Surface Products from the People's Republic of China: Final Affirmative Countervailing Duty Determination, and Final Affirmative Determination of Critical Circumstances*, 84 FR 23760 (May 23, 2019).

U.S. Importer - Next Generation

Next Generation is a Utah-based importer of QSP that was founded in 2006.⁶²² Next Generation has an affiliated company named Amazon Stone Imports, LLC (Amazon Stone). Both companies share the same address and [NAME] is their sole owner.⁶²³ Next Generation entered one entry of QSP slabs in 2020 from MEDA ZZ. However, Next Generation did not select MEDA ZZ as the supplier, communicate with MEDA ZZ, or pay MEDA ZZ.⁶²⁴ Instead, Next Generation ordered this entry's merchandise from Joyce Jiaoping Jian of Xiamen Timeless Stone Co., Limited, also known as Xiamen Timeless Imp. & Exp. Co., Ltd. (Timeless Stone).⁶²⁵ Timeless Stone is a QSP supplier in Xiamen, China.⁶²⁶

Next Generation declared to CBP that its entry's value was \$12,298.⁶²⁷ The commercial invoice that was purportedly from MEDA ZZ also stated that the QSP was worth \$12,298.⁶²⁸ However, the entry's other documents indicate that this amount undervalued the entry's QSP. In its RFI narrative, Next Generation stated that the "original invoice was for around [NUMBER]."⁶²⁹ Ms. Jian told Next Generation that the shipment's "total amount is 36313\$."⁶³⁰ The pro forma invoice listed the QSP's value at \$36,313.⁶³¹ Next Generation's two payments to Timeless Stone's Xiamen-based bank also totaled \$36,313.⁶³² In response to CBP's inquiry, Next Generation could not explain this discrepancy and only stated that they had "no knowledge regarding the reasons a MEDA ZZ invoice was created or why it has the amount it has."⁶³³ Consequently, in light of the discrepancy between the value declared to CBP and the amount Next Generation paid, CBP determines that value mentioned in Ms. Jian's email, the pro forma invoice, and the payment documents more accurately reflect the true value of the QSP entry. As such, CBP determines that the QSP's value was falsely declared at entry.

Correspondence from early in the sales process indicates that the merchandise originated in China. Ms. Jian asked Next Generation, "can you tell me if you have the experience of importing from China?"⁶³⁴ Additionally, Next Generation told Ms. Jian, "Thank you ... for sending me your catalog, we will make an order from you eventually."⁶³⁵ Each of the product numbers in Timeless Stone's catalog begins with "TS", which indicates that the QSP was from Timeless Stone rather than MEDA ZZ.⁶³⁶

⁶²² See Next Generation Supplemental RFI at 7.

⁶²³ *Id.* at 2-3, 7-8; *see also* Next Generation RFI at 6, 25, 27, 35. Next Generation's articles of amendment indicate that [NAME] has been the sole owner of Next Generation since 2011.

⁶²⁴ See Next Generation RFI at 4, 11.

⁶²⁵ *Id.* at 40, 488-525, 568; *see also* July 19 Memorandum at Attachment 17, pages 19, 21.

⁶²⁶ See July 19 Memorandum at Attachment 17, pages 19, 21; *see also* February 10 Memorandum at Attachment 10.

⁶²⁷ See Next Generation RFI at 18.

⁶²⁸ *Id.* at 19, 41.

⁶²⁹ *Id.* at 15. CBP never received this invoice; however, Next Generation paid Timeless Stone a 30 percent deposit based on its total amount.

⁶³⁰ *Id.* at 513.

⁶³¹ *Id.* at 49.

⁶³² *Id.* at 40, 584.

⁶³³ *Id.* at 15.

⁶³⁴ *Id.* at 571.

⁶³⁵ *Id.* at 491.

⁶³⁶ *Id.* at 492.

Timeless Stone provided photographs that also indicated that the QSP originated in China. In one email, Ms. Jian stated, “{y}esterday we have load the container. Here enclose the loading photos.”⁶³⁷ One of these photographs depicts the back of a truck trailer with a shipping container on top.⁶³⁸ The shipping container’s left door is open and QSP slabs are visible inside the container. The truck trailer below the shipping container has a hand-painted Chinese character on it followed on the right by a hand-painted “D” and “K285.”⁶³⁹ Below those hand-painted characters was a yellow license plate with black letters. The license plate’s Chinese character is the same as the Chinese character hand-painted above it and is again followed by the Roman character “D” to the right of it. The top of “K285” is visible in the row below the Chinese character and the letter “D.”⁶⁴⁰ Subsequent research revealed that this Chinese character represents Fujian Province, China and the “D” represents Xiamen City, which is in Fujian Province.⁶⁴¹ Subsequent research also showed that Malaysian license plates can be black, white, red, or blue but not yellow.⁶⁴² Furthermore, Malaysian license plates do not have Chinese characters but only Roman characters.⁶⁴³

Even more significantly, Ms. Jian made several explicit statements to Next Generation that the merchandise originated in China and was then transshipped through Malaysia. In one instance, Ms. Jian told Next Generation, “send the sample to us ASAP so that we can arrange to produce. Because the quartz slabs should be transferred to Malaysia...”⁶⁴⁴ Ms. Jian, who has a Xiamen address, later stated that the “Quartz slabs of Alabaster White and Premium Plus White have been finished well. I have gone to inspect them myself yesterday.”⁶⁴⁵ Ms. Jian then told Next Generation that the “cargoes have been transshipped in Malaysia on Saturday.”⁶⁴⁶ Finally, Ms. Jian explained that “It estimates that cargoes will arrive in the USA after one month. We sailed them from Xiamen to Malaysia, then Malaysia sails to the USA.”⁶⁴⁷

In conclusion, multiple facts on the record establish that Next Generation’s QSP was undervalued and transshipped through MEDA ZZ in Malaysia.

- Next Generation ordered its merchandise from Joyce Jiaoping Jian of Timeless Stone, a Chinese supplier of QSP, rather than from MEDA ZZ.
- Next Generation paid Timeless Stone’s bank in China rather than MEDA ZZ’s bank.
- Ms. Jian provided a photograph to Next Generation indicating the QSP was loaded into a shipping container in China.

⁶³⁷ *Id.* at 514.

⁶³⁸ *Id.* at 45, 514.

⁶³⁹ *Id.*

⁶⁴⁰ *Id.*

⁶⁴¹ See February 10 Memorandum at Attachment 6, pages 15-16, 40-42.

⁶⁴² *Id.* at Attachment 6, pages 43, 45-47, 51-61, 65.

⁶⁴³ *Id.*

⁶⁴⁴ See Next Generation RFI at 499.

⁶⁴⁵ *Id.* at 507; see also July 19 Memorandum at Attachment 17, pages 19-20.

⁶⁴⁶ See Next Generation RFI at 518.

⁶⁴⁷ *Id.* at 521.

- Ms. Jian twice explained the merchandise's transshipment in Malaysia to Next Generation. In another email, Ms. Jian explicitly stated that merchandise originated in Xiamen, China.
- Correspondence, sales, and payment documents demonstrate that Next Generation paid far more for the merchandise than the value of the merchandise it declared to CBP.

Consequently, based on the aforementioned analysis of relevant evidence, CBP determines that substantial evidence exists demonstrating that, by means of material false statements or material omissions, Next Generation entered Chinese-origin QSP subject to the AD/CVD Orders and failed to pay the requisite duties.

U.S. Importer - North Creation

North Creation is an Indiana-based importer of QSP.⁶⁴⁸ North Creation imported four entries of QSP from Stone Direct in 2020 and one entry of QSP from MEDA ZZ in 2021.⁶⁴⁹ North Creation stated that it did not directly contact Stone Direct or MEDA ZZ or select them as suppliers.⁶⁵⁰ Instead, North Creation ordered these entries' QSP from a trading company in Taiwan named Admire Heart Corporation (AHC).⁶⁵¹ North Creation first contacted AHC in [DATE].⁶⁵² AHC later selected Stone Direct and MEDA ZZ as suppliers for several of North Creation's subsequent entries.⁶⁵³

AHC selected [ACRONYM] shipping terms for these entries, under which [DESCRIPTION].⁶⁵⁴ AHC also [SITUATION DESCRIPTION].⁶⁵⁵ AHC further stated that it [SITUATION DESCRIPTION], whereas North Creation then [SITUATION DESCRIPTION].⁶⁵⁶

Regarding North Creation's entries from Stone Direct, record evidence indicates that AHC first contacted Stone Direct in [DATE].⁶⁵⁷ AHC's contact person was Stone Direct's sales manager Carlos, also known as [NAME].⁶⁵⁸ AHC subsequently ordered four entries of QSP from Carlos.⁶⁵⁹ Some of the resulting documentation contained irregularities, as described below, that cast doubt on its completeness and reliability.

⁶⁴⁸ See North Creation RFI at 7.

⁶⁴⁹ See North Creation DC NTAC Report at 13.

⁶⁵⁰ See North Creation RFI at 10-11, 16-17.

⁶⁵¹ *Id.* at 10, 17; see also AHC RFI at 1, 3.

⁶⁵² See North Creation RFI at 17.

⁶⁵³ See AHC RFI at 4, 14.

⁶⁵⁴ See North Creation RFI at 43-44, 72-73, 106, 110-111, 130-131, 152-153, 171, 174-175; see also AHC Supplemental RFI at 4-5.

⁶⁵⁵ See, e.g., AHC RFI at 31-41.

⁶⁵⁶ See, e.g., North Creation RFI at 174-175.

⁶⁵⁷ See North Creation RFI at 54; see also AHC RFI at 4.

⁶⁵⁸ See North Creation RFI at 26; see also AHC RFI at 4.

⁶⁵⁹ See North Creation RFI at 46-154.

North Creation provided documentation for entry [NUMBER]1692, which included the house bill of lading.⁶⁶⁰ This bill of lading had a different bill of lading number than the one listed on the CBP entry declaration.⁶⁶¹ Although CBP requested “All pertinent transportation documents ... such as master and house ocean bills of lading,” North Creation did not provide the master bill of lading used for the entry declaration.⁶⁶² Additionally, the master bill of lading number referenced on the house bill of lading differed from the number listed on the CBP entry declaration.⁶⁶³ The fact that multiple master bills of lading exist and that North Creation did not provide all of them casts doubt on the completeness of this entry’s documentation and on the entry’s ultimate origin.

Entry [NUMBER]5636’s declared export date was [DATE].⁶⁶⁴ However, the house bill of lading denoted a departure date of [DATE]. AHC’s correspondence with North Creation also referenced the earlier [DATE] departure date.⁶⁶⁵ Furthermore, the bill of lading North Creation provided had a different bill of lading number than the one listed on the CBP entry declaration.⁶⁶⁶ Although CBP requested “All pertinent transportation documents ... such as master and house ocean bills of lading,” North Creation did not provide this entry’s master bill of lading.⁶⁶⁷ The fact that North Creation did not provide all of the entry’s bills of lading and that multiple departure dates exist cast doubt on the completeness and accuracy of this entry’s documentation.

Entry [NUMBER]5222’s declared export date was [DATE].⁶⁶⁸ However, the house bill of lading listed a departure date of [DATE].⁶⁶⁹ AHC’s correspondence with North Creation contain contradictions that further complicate efforts to determine the actual departure date. At one point, AHC stated that the QSP had already “[EVENT DESCRIPTION]” and also stated it would be “[EVENT DESCRIPTION].”⁶⁷⁰ Additionally, the house bill of lading denotes a different master bill of lading number than the one listed on the CBP entry declaration. Although CBP requested “All pertinent transportation documents ... such as master and house ocean bills of lading,” North Creation did not provide this entry’s master bill of lading.⁶⁷¹ The facts that North Creation did not provide all of the entry’s bills of lading and that multiple departure dates exist cast doubt on the completeness and accuracy of this entry’s documentation. Furthermore, CBP’s entry declaration denotes that its import date was [DATE], which indicates that the transit time was 45 days. This transit time is more than the normal transit time from Port Klang to the United States and may include shipment time from China to Malaysia.

⁶⁶⁰ *Id.* at 53.

⁶⁶¹ *Id.* at 53, 65.

⁶⁶² *Id.* at 23.

⁶⁶³ *Id.* The house bill of lading referenced master bill of lading number [NUMBER].

⁶⁶⁴ *Id.* at 137.

⁶⁶⁵ *Id.* at 297.

⁶⁶⁶ *Id.* at 136-137, 144.

⁶⁶⁷ *Id.* at 23.

⁶⁶⁸ *Id.* at 115.

⁶⁶⁹ *Id.* at 122.

⁶⁷⁰ *Id.* at 251.

⁶⁷¹ *Id.* at 23.

Entry [NUMBER]4910's declared export date was [DATE].⁶⁷² However, the house bill of lading listed a departure date of [DATE].⁶⁷³ This bill of lading also denotes a different master bill of lading number than the one listed on the CBP entry declaration, and it was not signed.⁶⁷⁴ Furthermore, CBP's entry declaration lists an import date of [DATE], which indicates that the transit time was 55 days. This transit time is more than the normal transit time from Port Klang to the United States and, peradventure, includes shipment time from China to Malaysia. The fact that CBP never received a final house bill of lading, any master bill of lading, and that multiple departure dates exist cast doubt on the completeness and accuracy of this entry's documentation and on its ultimate origin.

CBP research revealed the LinkedIn profile of a Stone Direct employee who, as of March 2021, had coordinated its logistics from China since February 2015.⁶⁷⁵ He stated the following as part of his main responsibilities:

Helping to set up the company since {the} first day {of} registration, locate the supply of product in China and involve in the Biggest Stone Expo in the world in Xia Men, China.
- Negotiate and arranging with the supplier{.}
- Manage the shipment from supplier factory till the Malaysia Factory through sea freight between Xiamen Port and Klang Port.⁶⁷⁶

Significantly, he indicated that he located Stone Direct's supply of "product" from China and not of raw materials or inputs, thus indicating that he sourced finished merchandise from China.⁶⁷⁷ He states that these shipments arrived in Port Klang from Chinese supplier factories. This indicates that these Chinese factories produced the merchandise before its arrival in Port Klang, which is consistent with finished QSP. Although he refers to Stone Direct as a factory, photographs from Stone Direct's website do not portray any machinery that that can transform quartz sand, polyester resin, and other inputs into finished QSP slabs.⁶⁷⁸ Furthermore, the machinery present in the photographs are for cutting, which does not transform the merchandise into Malaysian-origin QSP under the scope of the AD/CVD Orders.⁶⁷⁹ Consequently, these facts indicate that North Creation's QSP from Stone Direct was sourced from China.

Likewise, North Creation's documentation on Stone Direct's purchase and use of raw materials is also questionable. North Creation provided some of Stone Direct's delivery invoices for raw materials.⁶⁸⁰ However, the purchased raw material quantities do not tie to the production documents' raw material quantities consumed. For example, according to these documents, Stone Direct needed an additional 22 metric tons of quartz sand and 1.45 metric tons of polyester

⁶⁷² *Id.* at 90.

⁶⁷³ *Id.* at 89-90, 100. The master bill of lading number was [NUMBER].

⁶⁷⁴ *Id.* at 100. The master bill of lading number that it referenced was [NUMBER].

⁶⁷⁵ See July 1 Memorandum at Attachment 4.

⁶⁷⁶ *Id.*

⁶⁷⁷ *Id.* Please note that the Stone Direct employee wrote the details of his LinkedIn profile in English, he states that he speaks English, and he states he has given presentations in the United Kingdom. Thus, CBP believes that use of the term "product" in this context meant final product and did not encompass simply "raw materials."

⁶⁷⁸ See February 9 Memorandum at Attachment 4.

⁶⁷⁹ *Id.* at Attachment 4, pages 17, 19.

⁶⁸⁰ See North Creation CF-28 Response at 6-7, 16-20.

resin to produce the entries' QSP.⁶⁸¹ Additionally, if the raw material invoices and production documents that GHS provided are also included in these calculations, Stone Direct still did not have enough quartz sand and polyester resin to produce for all of GHS' and North Creation's QSP.⁶⁸² The fact that the quartz sand and polyester resin quantities purchased do not match the quantities consumed in the production of QSP renders these figures unusable for CBP's purposes and points to their potential inauthenticity.

Regarding North Creation's entry from MEDA ZZ, AHC provided a MEDA ZZ email address, [EMAIL ADDRESS], that AHC ostensibly did not use. As such, AHC did not provide any correspondence to, from, cc'ing or mentioning this email address or its owner [NAME].⁶⁸³ The email's owner, [NAME], is listed as an [POSITION] in MEDA ZZ's list of owners and corporate officers.⁶⁸⁴ In contrast, AHC elsewhere stated that it only contacted MEDA ZZ's "[NAME AND DESCRIPTION]".⁶⁸⁵

On [DATE], AHC ordered the entry's QSP from [NAME] and stated, "[DESCRIPTION]".⁶⁸⁶ [NAME] replied, "[STATEMENT]".⁶⁸⁷ Similarly, Goldtop also sells the product "[PRODUCT]" and Vincent Wu is one of Goldtop's sales managers.⁶⁸⁸ Furthermore, Gin [EVENT DESCRIPTION] price from Vincent Wu of Goldtop.⁶⁸⁹ These facts collectively indicate that the merchandise ultimately originated from Goldtop rather than MEDA ZZ.

In addition to QSP, this entry also included [PRODUCT].⁶⁹⁰ While discussing North Creation's potential order of stainless steel sinks, AHC stated that the "difference is square corner, not round corner because the round corner has anti-dumping duty."⁶⁹¹ This is true, for round corner stainless steel sinks from China, which are subject to the AD/CVD Orders on Drawn Stainless Steel Sinks from China.⁶⁹² As such, AHC was offering to sell North Creation stainless steel sinks from China that were also subject to AD/CVD. AHC later told North Creation to "keep the shape as your original round corner sink" and provided them with an invoice, which indicates that AHC ultimately sold Chinese-origin round corner sinks to North Creation.⁶⁹³ AHC "later informed North Creation that {it} could arrange for 'kitchen sinks ship

⁶⁸¹ *Id.*

⁶⁸² See GHS RFI Sect D at Exhibit D.1.f Part 2.

⁶⁸³ See AHC RFI at 2, 4-5, 11, 13; see also FTR CF-28 Response at 10; see also [COMPANY] Supplemental RFI at 4.

⁶⁸⁴ See FTR CF-28 Response at 10.

⁶⁸⁵ See AHC RFI at 4-5, 13-14, 75-76.

⁶⁸⁶ See North Creation RFI at 161; see also AHC RFI at 75-76.

⁶⁸⁷ *Id.*

⁶⁸⁸ See July 1 Memorandum at Attachment 7, page 42.

⁶⁸⁹ See Gin RFI at 34.

⁶⁹⁰ See North Creation RFI at 155-159.

⁶⁹¹ *Id.* at 231.

⁶⁹² See *Alleger Written Arguments* at 8-9; see also *Drawn Stainless Steel Sinks from the People's Republic of China: Amended Final Determination of Sales at Less Than Fair Value and Antidumping Duty Order*, 78 FR 21592 (April 11, 2013); see also *Drawn Stainless Steel Sinks from the People's Republic of China: Countervailing Duty Order*, 78 FR 21596 (April 11, 2013).

⁶⁹³ See North Creation RFI at 232.

together with quartz countertops.’’⁶⁹⁴ Thus, these facts collectively indicate that the QSP that accompanied the stainless-steel sinks was also from China.

With respect to MEDA ZZ’s purported production, North Creation and AHC did not provide any substantiating documentation. MEDA ZZ did not respond to CBP’s RFIs and so it also did not provide production documentation. Because CBP does not have any information to substantiate MEDA ZZ’s production of North Creation’s QSP, and because CBP cannot be certain of MEDA ZZ’s production capabilities generally, CBP cannot be certain that MEDA ZZ had the capability to produce the QSP that North Creation entered from them. Consequently, the origin of the QSP that North Creation imported from MEDA ZZ cannot be reliably assumed to be Malaysia origin. Furthermore, there are explicit admissions of transshipment concerning other entries from MEDA ZZ.⁶⁹⁵

After production of the merchandise, the Chinese logistics company, [COMPANY], was included on the entry’s logistics emails.⁶⁹⁶ Due to its location in [CITY], where Goldtop is [DESCRIPTION AND COMPANY] was conveniently placed to facilitate the QSP’s initial movement from China to Malaysia.⁶⁹⁷ Furthermore, four other Malaysian and American companies were involved in this entry’s transportation: [LIST OF COMPANIES].⁶⁹⁸ The case record indicates that these companies coordinated the logistics of this entry.⁶⁹⁹ For example, in one email, a [COMPANY] employee coordinated with a [COMPANY] employee.⁷⁰⁰ Because freight forwarders from Malaysia and USA were already involved in the entry, an additional freight forwarder from [CITY], China appears superfluous; that is, unless the merchandise originated in [CITY], China. As such, these logistics companies were located in geographically disparate locations and were placed to take over where [COMPANY] left off.

Correspondingly, some uncertainty remains concerning the entry’s departure date. On [DATE], AHC told the freight forwarder [COMPANY] that the [SITUATION DESCRIPTION].⁷⁰¹ On [DATE], in the last email discussing the departure date, [COMPANY] gave AHC an estimated sailing date of [DATE].⁷⁰² However, the bill of lading listed a [DATE] departure date from Malaysia.⁷⁰³ None of the documents CBP received explained why the departure date moved eight days, from [DATE] to [DATE].

Furthermore, even if the [DATE] departure date is accepted for calculation purposes, the transit time remains abnormally long. The [DATE] import date on the CBP entry declaration ostensibly leads to a 57-day transit time from Malaysia to the Port of [CITY].⁷⁰⁴ This transit

⁶⁹⁴ *Id.* at 294; *see also* Allegor Written Arguments at 9.

⁶⁹⁵ *See* Next Generation RFI at 521; *see also* Top Shop RFI at Exhibit J, page 915.

⁶⁹⁶ *See* AHC RFI at 70-74.

⁶⁹⁷ *See* July 1 Memorandum at Attachment 7.

⁶⁹⁸ *See* North Creation RFI at 163, 168-169; *see also* AHC RFI at 66-74, 77.

⁶⁹⁹ *See* AHC RFI at 66-74.

⁷⁰⁰ *Id.* at 72.

⁷⁰¹ *Id.* at 74.

⁷⁰² *Id.* at 70.

⁷⁰³ *See* North Creation RFI at 166.

⁷⁰⁴ *Id.* at 159, 163, 166. [COMPANY]’s invoice estimated that the shipment would arrive in [CITY] on [DATE].

time is enough time for two trips from Malaysia to [CITY]; thus, it is easily enough time for the QSP to go from China to Malaysia and from Malaysia to the United States. For context, [NAME] told Gin that the shipping time from Qingdao Port to Port Klang was five to seven days and Port Klang to the Port of Tampa was about 38 days.⁷⁰⁵

With respect to AHC's RFI responses, there were several instances in which AHC provided false answers that cast doubt on the reliability of its responses and documentation. AHC claimed that AHC "[SITUATION DESCRIPTION]."⁷⁰⁶ However, the website of AHC's brand Star Quartz Stone states that its "factory is located in International Stone Industry City and High-Tech Development Zone Industrial Park in China, Taiwan, Vietnam, Malaysia and Korea."⁷⁰⁷ AHC also claimed multiple times that AHC [SITUATION DESCRIPTION].⁷⁰⁸ However, Tien Chen is listed as the CEO of AHC, AMI High Tech Corporation, and XWIN Prognostics Technology Co., Ltd.⁷⁰⁹ After CBP pointed out these research results, AHC stated "[SITUATION DESCRIPTION]" in spite of the fact that the three companies share the same CEO.⁷¹⁰

Additionally, in late 2019, AHC facilitated North Creation's entries from a Malaysian exporter named WKA Corporation Sdn Bhd (WKA).⁷¹¹ In response to CBP's inquiry, AHC stated that it did not visit WKA's factory because of the COVID-19 pandemic.⁷¹² However, the timeline of the COVID-19 pandemic and of AHC's interactions with WKA demonstrate that this was not true. AHC stated that it contacted WKA in [DATE], issued its purchase order to WKA in October 2019, and CBP records indicate the WKA entries entered the United States in [DATE].⁷¹³ However, the COVID-19 pandemic did not effectively begin in Malaysia until February 2020.⁷¹⁴ Therefore, AHC's statement was false because it could have visited WKA's Malaysia facility between September 2019 – [DATE].

In conclusion, multiple facts on the record establish that North Creation's QSP was transshipped through MEDA ZZ and Stone Direct in Malaysia.

- North Creation ordered its merchandise from AHC rather than from MEDA ZZ or Stone Direct.
- North Creation ordered its MEDA ZZ entry through AHC, who in turn ordered through "[NAME]." [NAME] appears to be [NAME] Goldtop. Likewise, one of the products North Creation ordered appears to be a Goldtop product.

⁷⁰⁵ See Gin Supplemental RFI at 131.

⁷⁰⁶ See AHC RFI at 3; see also AHC Supplemental RFI at 3-4.

⁷⁰⁷ See July 19 Memorandum at Attachment 25, page 21; see also October 27 Memorandum at Attachments 2-3.

⁷⁰⁸ See AHC RFI at 3; see also AHC Supplemental RFI at 3-4; see also October 27 Memorandum at Attachments 2-3.

⁷⁰⁹ See July 19 Memorandum at Attachment 25, pages 1, 3, 7-8, 10, 14; see also October 27 Memorandum at Attachments 2-3.

⁷¹⁰ See AHC Supplemental RFI at 3-4.

⁷¹¹ See AHC RFI at 3, 5, 7.

⁷¹² *Id.* at 3.

⁷¹³ *Id.* at 5, 7; see also North Creation DC NTAC Report at 13.

⁷¹⁴ See July 19 Memorandum at Attachment 23, pages 16-20. "Covid-19 was first detected in Malaysia on 25 January 2020.... The first local infection of Covid-19 was identified on 4 February 2020, and the number of infected individuals remained below 25 until 1 March."

- North Creation did not provide all of the requested bills of lading, which calls into question the completeness of its documentation.
- The transit times of multiple entries were abnormally long, which indicates shipment included transit from both China to Malaysia and from Malaysia to the United States.
- The LinkedIn profile of a Stone Direct employee referenced Xiamen Port and explained Stone Direct's sourcing of finished merchandise from China.
- The raw material documents for Stone Direct that North Creation provided indicated that Stone Direct did not purchase enough raw materials to produce North Creation's QSP.
- The involvement of a Chinese freight forwarder in addition to multiple other Malaysian and United States freight forwarders indicates transit from China to Malaysia.
- MEDA ZZ did not respond to CBP's RFI, thus, the existence of its production remains unsubstantiated. In turn, its production of North Creation's merchandise also remains unsubstantiated.

Consequently, based on the aforementioned analysis of relevant evidence, CBP determines that substantial evidence exists demonstrating that, by means of material false statements or material omissions, North Creation entered Chinese-origin QSP subject to the AD/CVD Orders and failed to pay the requisite duties.

U.S. Importer - Total Scope

On December 10, 2020, CBP sent a CF-28 and several additional questions to Total Scope concerning an entry of QSP from Stone Direct.⁷¹⁵ Later that day, Total Scope's customs broker responded to CBP and said "Received. Will get this to you once received."⁷¹⁶ After Total Scope's response deadline passed, CBP again contacted Total Scope's customs broker on January 13, 2021.⁷¹⁷ Total Scope's customs broker responded later that day and stated "we have provided documents to the importer on numerous occasions, but they have not responded. I will follow up again and revert."⁷¹⁸ CBP then emailed Total Scope directly on January 25 and January 27, 2021, but received no response.⁷¹⁹

After CBP took interim measures on Total Scope and the case's other 14 importers, it sent an RFI to Total Scope on March 1, March 5, March 22, and March 29, 2021.⁷²⁰ CBP also called Total Scope's telephone number, left a voicemail notifying them of the EAPA investigation, and requested that they return the call at their earliest convenience.⁷²¹ Nevertheless, CBP never received an email response or telephone call from Total Scope. In its March 22 and March 29, 2021 emails, CBP told Total Scope that it did not receive Total Scope's RFI response by the deadline and then gave Total Scope an additional opportunity to submit its response.⁷²² In both emails CBP advised Total Scope that "{i}f Total Scope does not submit its RFI response, CBP's

⁷¹⁵ See February 16 Memorandum at Attachment 4, pages 1-4, 9.

⁷¹⁶ *Id.* at Attachment 4, page 8.

⁷¹⁷ *Id.* at Attachment 4, pages 7-8.

⁷¹⁸ *Id.* at Attachment 4, page 7.

⁷¹⁹ *Id.* at Attachment 4, page 10.

⁷²⁰ See July 1 Memorandum at Attachment 1, pages 1-9.

⁷²¹ *Id.* at 1 and Attachment 1, pages 10-11.

⁷²² *Id.* at Attachment 1, pages 1-3.

intention is to apply an inference adverse to the interests of Total Scope as referenced in 19 USC 1517(c)(3) of the statute and 19 CFR 165.6 of the regulations applicable to this investigation.”⁷²³

EAPA’s regulations at 19 CFR 165.6(a) state that if an “importer ... of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP, CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion....”⁷²⁴ Because Total Scope failed to respond to CBP’s requests for information on March 1, March 5, March 22, and March 29, 2021, CBP finds that Total Scope has not cooperated and complied to the best of its ability. As such, CBP is applying an adverse inference against Total Scope and relying on adverse information submitted in the Total Scope Allegation.⁷²⁵ In particular, CBP is relying on the Total Scope Allegation’s claims that Total Scope entered QSP that Amani/Betop manufactured in China, transshipped through Malaysia to the United States, and was falsely claimed as Malaysian origin.⁷²⁶

Written Arguments

A. Alleger’s Arguments

The Alleger’s written arguments are referenced in other areas of this determination.

B. Astera’s Arguments

Astera asserted that its submissions to CBP made during the EAPA investigation “were made in good faith and based on the word and assurances of” StoneVic USA.⁷²⁷ EAPA does not have a culpability requirement necessary to find evasion. Therefore, CBP does not need to establish any level of intent in making its determination. As noted in the preceding Astera section, CBP determined that Astera’s entries from MEDA ZZ evaded the payment of AD/CVD duties on QSP from China.

C. FTR, Gold Stone, Granite Collection, and Ilkem’s Arguments

The same counsel represented FTR, Gold Stone, Granite Collection, and Ilkem and submitted similar written arguments for each importer. Therefore, CBP is treating these written arguments together.

FTR, Gold Stone, Granite Collection, and Ilkem assert MEDA ZZ and Stone Direct are affiliates of Amani/Betop.⁷²⁸ As explained in each of these importers’ and exporters’ preceding sections, FTR, Gold Stone, Granite Collection, and Ilkem could not offer any substantiation of this claim. MEDA ZZ’s and Stone Direct’s company information from the Malaysian government also offer

⁷²³ *Id.*

⁷²⁴ *See also* 19 USC 1517(c)(3)(A).

⁷²⁵ *See* 19 USC 1517(c)(3)(B)-(C); *see also* 19 CFR 165.6(c); *see also* Total Scope Allegation.

⁷²⁶ *See* Total Scope Allegation at 1, 6-11, and Exhibits 3, 8-9.

⁷²⁷ *See* Astera Written Arguments at 2.

⁷²⁸ *See* FTR Written Arguments at 6-7; *see also* Gold Stone Written Arguments at 6-7; *see also* Granite Collection Written Arguments at 2; *see also* Ilkem Written Arguments at 7-8.

no indication that MEDA ZZ and Stone Direct are affiliated with any other company or with each other. The Malaysian government document denotes that MEDA ZZ is a sole proprietorship owned by a sole Malaysian citizen; whereas Stone Direct is owned by two different individuals with Malaysian addresses. Thus, MEDA ZZ is unaffiliated with Stone Direct and is not affiliated with any other Chinese company.

FTR, Gold Stone, Granite Collection, and Ilkem assert the Allegations are mere conjecture and that its aggregate trade data were circumstantial. The merits of the Allegations and the aggregate trade data were discussed in detail in CBP's initiation memorandum and in its notice of initiation and interim measures. In summary, CBP determined that the Allegations' claims, its aggregate trade data, and the other evidence CBP had at the time met the two evidentiary thresholds – reasonably suggesting evasion and reasonable suspicion of evasion – needed to initiate this investigation and to implement interim measures. Consequently, CBP has since continued its investigation and has continued to gather evidence. In this case, there is substantial evidence of evasion specific to each of the Importers and to MEDA ZZ and Stone Direct. This evidence includes explicit admission of transshipment, fraudulent documents, and multiple other items of specific evidence that are discussed in each of the Importers', MEDA ZZ's, and Stone Direct's sections.

FTR, Gold Stone, Granite Collection, and Ilkem assert that the Allegations' videos are circumstantial, including the video that shows a forklift moving QSP in a warehouse from one shipping container to another.⁷²⁹ Regarding this video, FTR, Gold Stone, Granite Collection, and Ilkem asked rhetorically “What evidence is there that the shipping container on the right side of the scene is from China” and “What evidence is there that the same shipping container was {used} as a means of merchandise conveyance ... into Malaysia” rather than being used as a place of storage?

In response, CBP notes that the context is key and this video's context is that on [DATE], “in a series of messages exchanged with a potential customer, the Amani Stone representative stated that Amani Stone could sell QSP that was manufactured in China but transshipped through Malaysia.”⁷³⁰ On [DATE] at [TIME], the Amani/Betop representative sent the video in question, 00000009-VIDEO-2020-07-07-00-25-19, to the potential customer.⁷³¹ Only 19 seconds later the Amani/Betop “representative explicitly stated that in Malaysia the companies ‘change container into another container.’”⁷³² Less than five minutes before sending this video, the representative also sent the following messages:

[

MESSAGE DESCRIPTIONS

].⁷³³

⁷²⁹ See FTR Response to Written Arguments at 5-8; *see also* Gold Stone Response to Written Arguments at 5-8; *see also* Granite Collection Response to Written Arguments at 5-9; *see also* Ilkem Response to Written Arguments at 5-8.

⁷³⁰ See Allegations at 3; *see also* Allegations at Exhibits 8-9.

⁷³¹ See Allegations at Exhibit 9, page 1; *see also* Public Version of Videos at 1 and Exhibit 2.

⁷³² See Allegations at 3; *see also* Allegations at 8-10 and Exhibit 9.

⁷³³ See Allegations at Exhibit 9, page 1.

Because the Amani/Betop representative's statement is only 19 seconds after the video and because the content of the statement mirrors what is happening in the video, the statement is clearly intended to explain the video. Furthermore, because this statement explains how Amani/Betop conducts its transshipment and elaborates on previous statements concerning transshipment and also explains the video, the video concerns transshipment as well. The messages immediately preceding the video refer to Amani/Betop's [

EVENT DESCRIPTION

]. Thus, the context of the messages preceding the video indicate that the container is from China and was used for conveyance from China rather than as storage.

FTR, Gold Stone, Granite Collection, and Ilkem assert that their "extensive documentation" such as the manufacturer's raw material documents, factory information, and shipping records, evidenced that their respective QSP "was manufactured and shipped from Malaysia."⁷³⁴ Conversely, multiple items of evidence discussed in the preceding sections for MEDA ZZ, Stone Direct, FTR, Gold Stone, Granite Collection, and Ilkem demonstrate that the QSP was manufactured in China. This evidence includes, but is not limited to, evidence that a Stone Direct employee sourced finished merchandise from China, evidence that Granite Collection and Ilkem ordered Amani/Betop QSP numbers, and invoices sent to Granite Collection and Ilkem that stated [DESCRIPTION] China Port.

Furthermore, because Stone Direct repeatedly did not comply with CBP's RFI instructions and submitted an untimely, incomplete response, CBP rejected Stone Direct's RFI response. As such, Stone Direct's raw material and production documents have not been substantiated. With reference to the raw material and production documents, several facts call their authenticity into question. In the documents North Creation provided, the raw material quantities that MEDA ZZ ostensibly purchased did not tie to the raw material quantities consumed in the production documents.⁷³⁵ Although North Creation, GHS, Granite Collection, and Ilkem provided raw material documents allegedly for Stone Direct, multiple items of evidence that were previously discussed in each of their respective sections indicated that the QSP was actually produced in China.

Because MEDA ZZ did not respond to CBP's RFI, MEDA ZZ's purported production and its associated raw material and production documents have not been substantiated. Furthermore, this lack of substantiation, along with the Malaysian government document's description of MEDA ZZ as a manufacturer and seller of furniture and women's beauty products, calls the existence of MEDA ZZ's QSP production into question. With reference to the raw material and production documents, several facts call their authenticity into question. Several importers provided CBP with the same raw material documents and failed to indicate that the quantities

⁷³⁴ See FTR Written Arguments at 2; *see also* Gold Stone Written Arguments at 2; *see also* Granite Collection Written Arguments at 7-8; *see also* Ilkem Written Arguments at 2; *see also* Granite Collection Response to Written Arguments at 9-10; *see also* Ilkem Response to Written Arguments at 9-10; *see also* FTR Response to Written Arguments at 9-10; *see also* Gold Stone Response to Written Arguments at 10-11.

⁷³⁵ See North Creation CF-28 Response at 6-7, 16-20.

could produce all of their QSP.⁷³⁶ Several importers claimed that MEDA ZZ purchased unsaturated resin from Singapore Highpolymer Chemical Products Pte Ltd; however, all of the payment status sheets denote “pending execution,” which fails to indicate that payment ever took place.⁷³⁷ Top Shop provided many of the same raw material and production documents for MEDA ZZ as the other importers and yet Top Shop’s supplier expressly stated that it produced Top Shop’s QSP in China.⁷³⁸ Moreover, the Chinese supplier Glory Stone provided RQ Sales Colorado and RQ Sales Nevada with raw material invoices that it surreptitiously altered to appear as though they pertained to MEDA ZZ.⁷³⁹ Consequently, documents indicating that MEDA ZZ’s and Stone Direct’s QSP was manufactured in Malaysia are, perforce, false.

D. Next Generation’s Arguments

While attempting to refute the Allegation, Next Generation claimed that [NAME] was an employee of Amazon Stone but not of Next Generation.⁷⁴⁰ However, record evidence contradicts this claim. As a preliminary matter, [NAME] is the employee who conducted the relevant entry’s sales correspondence and other related tasks, and his father is the sole owner of both Next Generation and Amazon Stone.⁷⁴¹ Record evidence demonstrates that [NAME] acted on behalf of Next Generation. [NAME] told Timeless Stone, “let’s make the consignee, Pablo Romero my dad or our business Next Generation Marble and Granite or our other business Amazon Stone Imports. The bond is filed under Next Generation....”⁷⁴² [NAME] also filled out and signed a CBP Create/Update Importer Identity Form on behalf of Next Generation.⁷⁴³ Moreover, Next Generation’s general ledger contains many [DESCRIPTION AND NAME], which illustrates his employment with Next Generation.⁷⁴⁴

As a corollary, Next Generation asserted that it did not import the entry from MEDA ZZ, but rather, that Amazon Stone imported it.⁷⁴⁵ Next Generation further asserted that Amazon Stone “updated the information that it was an importer prior to the entry of the relevant QSP in July 2020.”⁷⁴⁶ In its RFI response, Next Generation claimed that Amazon Stone imported the QSP in question, then sold it to Next Generation, which sold it to an unrelated customer.⁷⁴⁷ In spite of CBP’s request, Next Generation did not provide any documentation substantiating its claims that Amazon Stone was the QSP’s importer of record or that Amazon Stone sold the QSP to Next

⁷³⁶ See FTR CF-28 Response at 14-20, 27; *see also* Gold Stone RFI at Exhibit E, pages 2-9; *see also* Granite Collection RFI at Exhibit J, pages 2-9; *see also* Ilkem RFI at Exhibit L, pages 2-9. AAA and Gold Stone also provided the same raw material documents. See AAA CF-28 Response at 18-29; *see also* Gold Stone CF-28 Response at 21-32.

⁷³⁷ See YNJ CF-28 Response at 62; *see also* AAA CF-28 Response at 29; *see also* Astera CF-28 Response at 98; *see also* FTR CF-28 Response at 20; *see also* Gold Stone CF-28 Response at 31; *see also* Granite Collection RFI at Exhibit J, page 9; *see also* Ilkem RFI at Exhibit L, page 9; *see also* Top Shop RFI at Exhibit J, page 117.

⁷³⁸ See Top Shop RFI at Exhibit J, pages 112-133, 913, 915.

⁷³⁹ See RQ Sales Colorado CF-28 Response at 9-11, 36-38; *see also* RQ Sales Nevada CF-28 Response at 72-74.

⁷⁴⁰ See Next Generation Response to Written Arguments at 2.

⁷⁴¹ See Next Generation RFI at 6, 25, 27, 35; *see also* Next Generation Supplemental RFI at 2-3, 7-8.

⁷⁴² *Id.*

⁷⁴³ See Next Generation RFI at 34-36.

⁷⁴⁴ *Id.* at 63, 111-112, 116, 119, *etc.*

⁷⁴⁵ See Next Generation Written Arguments at 1, 3.

⁷⁴⁶ *Id.* at 2.

⁷⁴⁷ See Next Generation RFI at 1, 5.

Generation.⁷⁴⁸ In contrast, record documentation confirms that Next Generation was the QSP's importer at each stage of the importation process.

Before the entry arrived in the United States, Timeless Stone asked Next Generation to "Please offer the consignee number and importer of record number."⁷⁴⁹ In response, and as noted above, Next Generation stated "let's make the consignee, Pablo Romero my dad or our business Next Generation Marble and Granite or our other business Amazon Stone Imports. The bond is filed under Next Generation...."⁷⁵⁰ Next Generation was selected as the importer and, as a result, all of the entry's documents listed Next Generation, rather than Amazon Stone, as the consignee, importer, and billed party. For example, the pro forma invoice, commercial invoices, and packing lists are addressed to Next Generation.⁷⁵¹ The bill of lading, fumigation certificate, and arrival notice/freight invoice listed Next Generation as the consignee.⁷⁵² The freight forwarder invoice denoted Next Generation as the billed party.⁷⁵³

Regarding Next Generation's claim that it changed Amazon Stone's importer information before the entry, Next Generation provided a Create/Update Importer Identity Form that it filled out for Amazon Stone.⁷⁵⁴ However, this form's purpose is not to change the importer of record for an upcoming entry but to create/update Amazon Stone's information in CBP's files. Moreover, when the entry subsequently arrived, the ensuing entry/immediate delivery and entry summary forms reflected Next Generation's declaration of the entry's consignee and importer to CBP as "Romero, Pablo DBA Next Generation Marble and Grani" {sic}.⁷⁵⁵ Thus, in light of the preceding information, CBP determines that Next Generation was the importer of the QSP entry at issue.

Next Generation stated that for there to be evasion there must be an "act that is material and false, or any omission that is material...."⁷⁵⁶ Next Generation then asserted that because neither it nor Amazon Stone "did any act that was material and false or any omission," it cannot be responsible for evasion because Timeless Stone performed the acts of evasion. As previously explained, the Chinese exporter Timeless Stone set up the entry's transshipment logistics and explained those logistics to Next Generation. Next Generation's broker then declared an undervalued amount and falsely declared that the entry's contents were Malaysian origin. Again, EAPA does not have a culpability requirement, and therefore, CBP does not need to establish any level of intent in making a determination of evasion.

⁷⁴⁸ See Next Generation Supplemental RFI at 4-5.

⁷⁴⁹ See Next Generation RFI at 519.

⁷⁵⁰ *Id.*

⁷⁵¹ *Id.* at 19, 41-44, 49; see also Next Generation CF-28 Response at 16-20.

⁷⁵² See Next Generation RFI at 25, 39, 46; see also Next Generation CF-28 Response at 14.

⁷⁵³ See Next Generation RFI at 47.

⁷⁵⁴ *Id.* at 27-30; see also Next Generation Written Arguments at 2 and Exhibit 2.

⁷⁵⁵ See Next Generation RFI at 18; see also Next Generation CF-28 Response at 12-13. The cargo release results also list "Romero, Pablo DBA Next Generation Marble and Grani {sic}" as the importer.

⁷⁵⁶ See Next Generation Written Arguments at 3.

E. RQ Sales Nevada's Arguments

RQ Sales Nevada claimed that “we performed our due diligence in researching that all of the Quartz Material that we imported came directly from Malaysia and none of the material was going to come from China.”⁷⁵⁷ In response, CBP reiterates that EAPA does not have a culpability requirement, and therefore, CBP does not need to establish any level of intent in making a determination of evasion. As noted in the preceding RQ Sales Nevada section, CBP determined that RQ Sales Nevada’s entries from MEDA ZZ evaded the payment of AD/CVD duties on QSP from China.

Additionally, RQ Sales Nevada asserted that the existence of importer payments to Chinese bank accounts is not evidence of transshipment. RQ Sales Nevada further asserted that its “introduction to a sales representative for a supplier that later enters an agreement with a factory in Malaysia does not constitute evidence of transshipping.”⁷⁵⁸ In its EAPA investigations, CBP makes determinations of evasion based on substantial evidence.⁷⁵⁹ Thus, in making its determinations CBP looks at the totality of the relevant evidence on the record. In this particular case, CBP has relied on various evidence to determine that RQ Sales Nevada entered Chinese-origin merchandise that evaded AD/CVD duties. These items of evidence are discussed in detail in the MEDA ZZ and RQ Sales Nevada sections above.

Furthermore, CBP did not solely rely on payments to Chinese banks accounts or introductions to Chinese sales representatives, but rather on multiple items of evidence to reach its determination. Nevertheless, the fact that many of the Importers paid Chinese bank accounts for transshipped, Chinese-origin QSP indicates a general correlation. Thus, payments to Chinese bank accounts is an item of evidence pertaining to transshipment that CBP can consider during an EAPA investigation. Likewise, importer relationships with sales representatives of Chinese suppliers can also be indicative of Chinese-origin merchandise. Therefore, CBP can consider these relationships during its investigations as well. With reference to other transshipping evidence and the “agreement with a factory in Malaysia,” CBP discusses these issues in detail in MEDA ZZ’s and RQ Sales Nevada’s previous sections.

F. Top Shop's Arguments

Top Shop asserted that its “documentation provided to CBP evidences our clear intention to order Malaysian quartz from our former supplier, Newstar Stone.”⁷⁶⁰ Top Shop further asserted that its insistence that Newstar provide it with Malaysian certificates of origin showed that it “had no intention to violate any import laws.” Consistent with its responses to the other importers in the previous sections, CBP reiterates that EAPA does not have a culpability requirement, and therefore, CBP does not need to establish any level of intent in making a determination of evasion. As noted in the Top Shop section above, CBP determined that Top Shop’s entries from MEDA ZZ evaded the payment of AD/CVD duties on QSP from China.

⁷⁵⁷ See RQ Sales Nevada Written Arguments at 2.

⁷⁵⁸ See RQ Sales Nevada Response to Written Arguments at 3.

⁷⁵⁹ See 19 USC 1517(c)(1)(A); *see also* 19 CFR 165.27(a).

⁷⁶⁰ See Top Shop Written Arguments at 1.

G. YNJ's Arguments

YNJ asserts that CBP improperly determined that reasonable suspicion of evasion existed based on YNJ's photograph containing a red banner with Chinese characters on a factory wall and YNJ's payments to a Chinese company.⁷⁶¹ CBP's determination of reasonable suspicion was based on the totality of the evidence that it had at the time.⁷⁶² This evidence included MEDA ZZ's lack of production facilities, YNJ's photograph containing a red banner with Chinese characters on a factory wall, and YNJ's payment to a Chinese company.⁷⁶³ Because these specific facts, examined in the context of other record evidence, provided a logical basis that production of the QSP at issue occurred in China, CBP determined that reasonable suspicion of evasion existed.

YNJ implicitly claims that its Chinese supplier Goldtop owned, controlled, or leased MEDA ZZ.⁷⁶⁴ However, neither YNJ nor any of the other importers that claimed these arrangements with MEDA ZZ substantiated their claims. This issue was discussed in further detail in the preceding sections for MEDA ZZ, Gin, and YNJ. In summary, the evidence on the record does not indicate that MEDA ZZ is owned, controlled, or leased by any other company and that the QSP YNJ imported was produced in China.

YNJ asserted that nothing within Goldtop's statement concerning the coronavirus delaying its ability to manufacture QSP indicated that that production occurred in China.⁷⁶⁵ YNJ included the following hypothetical scenario as support:

if a company is headquartered in County A and also secures manufacturing in Country B, a global pandemic impacting County A by limiting travel and the ability for workers in County A to come to the office, receive and send mail, etc., the logical inference is that its ability to timely secure the production of goods in both countries will be delayed – not strictly in County A.⁷⁶⁶

CBP disagrees with YNJ's interpretation of the Goldtop statement in question. YNJ's assertion disregards the key point that Goldtop's statement indicated that the factory workers were in China, not in Malaysia. For convenience, here is that statement again:

This is Vincent, the manager of Goldtop Stone. I am really sorry that we will {be} shipping later because of the virus happed {sic} in China. *In China, Many workers are not allowed to come to factories before Feb 20* {emphasis added}. Now the virus already controlled by the Chinese doctors and government, and all of our workers have came back. We will work day and night to push all of our production. I think we can finish the slabs produciton {sic} before March 10, then finish the fabricating before March 25.⁷⁶⁷

⁷⁶¹ See YNJ Written Arguments at 7-8.

⁷⁶² See Interim Measures at 2, 5, 24-26.

⁷⁶³ *Id.* at 22, 24-26.

⁷⁶⁴ See YNJ Written Arguments at 6, 10, 12.

⁷⁶⁵ See YNJ Response to Written Arguments at 2.

⁷⁶⁶ *Id.*

⁷⁶⁷ See YNJ Supplemental RFI at Exhibit A, pages 77-78.

In this February 28, 2020, statement, the factory workers are in China and their return to work was delayed by the coronavirus situation in China. Goldtop's statement contains no mention of these workers traveling to Malaysia, coordinating Malaysian production, nor any mention of Malaysia whatsoever. As such, YNJ's support concerning country A, country B, travel, sending mail, *etc.* is not persuasive. Because Goldtop's factory workers are in China and they have returned to work in China, their production of YNJ's QSP was in factories in China.

Determination as to Evasion

In conclusion, the previously discussed facts on the record establish that Chinese-origin QSP was misclassified, undervalued, and/or transshipped through Malaysia and imported into the United States. Furthermore, evidence on the record indicates that the Importers subsequently entered the Chinese-origin QSP into the United States as type 01 entries that evaded the payment of AD/CVD duties on QSP from China.⁷⁶⁸ CBP determines that substantial evidence exists demonstrating that, by means of material false statements or material omissions, the Importers entered Chinese-origin QSP that was misclassified, undervalued and/or transshipped through Malaysia into the United States. The QSP that the Importers entered from MEDA ZZ and Stone Direct during the period of investigation is subject to the AD/CVD rates on QSP from China.⁷⁶⁹ Because the Importers did not declare that the merchandise was subject to the AD/CVD Orders on entry, the requisite cash deposits were not collected on the merchandise.

⁷⁶⁸ Entry type "01" is the code that CBP requires importers use to designate a standard consumption entry that is not subject to AD/CVD duties. *See* <https://www.cbp.gov/trade/automated/ace-transaction-details>.

⁷⁶⁹ The Importers' QSP entries from MEDA ZZ and Stone Direct are subject to the "China-Wide Entity" rate of 326.15 percent for AD case A-570-084 and the "All-Others" rate of 45.32 percent for CVD case C-570-085. These two rates equal a combined rate of 371.47 percent. *See* AD/CVD Orders.

Actions Taken Pursuant to the Affirmative Determination as to Evasion

In light of CBP's determination that substantial evidence demonstrates that the Importers entered covered merchandise into the customs territory of the United States through evasion, and pursuant to 19 USC 1517(d) and 19 CFR 165.28, CBP will suspend or continue to suspend the entries subject to this investigation, until instructed to liquidate. For those entries previously extended in accordance with Interim Measures, CBP will rate adjust and change those entries to type 03 and continue suspension until instructed to liquidate these entries.⁷⁷⁰ CBP will also make corrections to the valuation of certain entries as discussed herein. Finally, CBP will continue to evaluate the Importers' continuous bonds in accordance with CBP's policies and will require single transaction bonds as appropriate. None of the above actions preclude CBP or other agencies from pursuing additional enforcement actions or penalties.

Sincerely,



Brian M. Hoxie
Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
CBP Office of Trade

⁷⁷⁰ Entry type "03" is the code that CBP requires importers use to designate a consumption – Antidumping/ Countervailing Duty entry as subject to AD and/or CVD duties. The instructions for CBP Form 7501 (Entry Summary) state that code 03 shall be used for entries subject to AD/CVD duties. *See* <https://www.cbp.gov/trade/automated/ace-transaction-details>.